

# APL Apollo Tubes Ltd. (APLAPOLLO)

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## **Call: May 2023**

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## Call: Aug 2023

10th August 2023  
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NSE Symbol : APLAPOLLO Department of Corporate Services/Listing  
BSE Limited  
Phiroze Jeejeebhoy Tower,  
Dalal Street, Fort,  
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Scrip Code : 533758

Re: Transcript of the Conference Call held on August 7, 2023

Dear Sir/ Madam,

With reference to our letter dated 31st July 2023 intimating you about the conference call with Analysts and Investors held on August 7, 2023, please find attached the transcript of the aforesaid conference call.

This above information is available on the website of the Company.

We request you to kindly take the above information on your record.

Thanking you

Yours faithfully

For APL Apollo Tubes Limited

Deepak C S  
Company Secretary  
M. No.: FCS-5060

Encl: a/a

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"APL Apollo Tubes Limited  
Q1 FY '24 Earnings Conference Call "  
August 07, 2023

MANAGEMENT : MR. SANJAY GUPTA – CHAIRMAN AND MANAGING  
DIRECTOR – APL APOLLO TUBES LIMITED  
MR. DEEPAK GOYAL – DIRECTOR OPERATIONS AND  
GROUP CHIEF FINANCIAL OFFICER – APL APOLLO

TUBES LIMITED  
MR. ANUBHAV GUPTA – CHIEF STRATEGY OFFICER –  
APL APOLLO TUBES LIMITED

MODERATOR : MR. RAHUL AGARWAL – INCRED EQUITIES

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Moderator: Ladies and gentlemen, good day and welcome to the APL Apollo Tubes Limited Earnings Conference Call hosted by InCred Equities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions, after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rahul Agarwal from InCred Equities. Thank you, and over to you, sir.

Rahul Agarwal : Thanks, Zico and good afternoon to everyone on the call. Thanks for joining in. We welcome you all to discuss APL Apollo Tubes' First Quarter Fiscal '24 financial performance of the company. We have with us the senior management of the company led by Mr. Sanjay Gupta, Chairman and Managing Director; Mr. Deepak Goyal, Director Operations and Group CFO; and Anubhav Gupta, Chief Strategy Officer for APL Group.

I now hand over to the management for their remarks and after which, we will get into the Q&A session. Over to you, Anubhav.

Anubhav Gupta: Thanks Rahul and thanks to InCred Capital for hosting APL Apollo Tubes for its Q1 FY '24 Earnings Call and thanks to all the shareholders and analysts who have joined this call. We welcome you to our Q1 FY '24 earnings call.

The Q1 went pretty well in terms of the sales volume as we touched 660,000 tons, highest ever volume for the quarter. This was despite the fact that there was some volatility in the raw material prices. The steel prices globally and in India fell by around 5% to 10%, so there was some sense of destocking in the market, but despite that we were able to achieve our quarterly volumes target, and because of some destocking, there was slight decline in the EBITDA per tons spreads for the company.

So we were expecting around INR4,800 ton to INR5,000 per ton, but we ended up having INR4,600 per ton. So yes, we could have earned extra INR150 million to INR200 million in the quarter in terms of EBITDA, but now things are back to normal and we are seeing very good traction in month of July and August -September also look promising. So we shall be able to make up whatever we lost in Q1.

The EBITDA growth in absolute terms for the quarter was up 58% YoY and so was the net profit, which was up 60% YoY, so we have started FY '24 on a strong note to achieve our volume targets of 2.8 million tons to 3 million tons for the full year and INR14 billion to INR15 billion of absolute EBITDA, which is our target for this year.

Coming to the balance sheet, the working capital days remain good at 6 days, which helped us fund our capex of INR1.8 billion, which was pending for Raipur, and to achieve our 5 million tons capacity. So we told you that almost INR5 billion to INR6 billion would be spent to finish our capacity to 5 million tons and out of that around INR1.8 billion is spent in Q1 and over the next 3 quarters to 4 quarters, we will spend another INR3 billion to INR3.5 billion to complete 5 million ton capacity for the group.

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The debt was slightly higher by INR400 million QoQ basis. In June, we ended with INR2.8 billion of net debt. But they should start coming down, as now Raipur is ramping up and the operating cash flows remain strong with 6 to 7 days of working capital cycle.

Apart from this, just to talk a bit on our Raipur plant, so 1 million ton of capacity which we added, out of this 600,000 ton is fully operational, which is divided into 2 segments; one is heavy structural tubes and second is coated products and our narrow thickset section of 400,000 ton, this will be starting over the next 1 months to 1.5 months, where just 1 line of galvanization is under process and once it

starts, it will -- we will kick-start this 400,000 ton of plant, and this will give us incremental volume over the next 2 quarter to 3 quarters.

In the quarter 1, we did around 75,000 tons of volume from Raipur and if we annualize this, the utilization levels remain at 30% but in Q2, this will ramp up to 100,000 tons and then 150,000 tons, in Q3, and eventually 175,000 tons to 200,000 tons by Q4. So we do believe that Raipur, we should be able to do around 500,000 tons to 600,000 tons for the full year.

Based on our gross margin spreads, we believe that INR6,000 per ton to INR7,000 per ton kind of stabilized EBITDA spreads from Raipur, look very, very promising.

As we are talking about Raipur, which is mix of our innovative products, so market creation also becomes very, very important. So glad to share that for the heavy structural segment with the market creation efforts, we have got now more orders for railway stations, for high-rise building, some of the live sights we had shown in our presentation as well. So the conviction and confidence remain very high, that with our products, we are going to revolutionize the construction industry and these new products will help us achieve our volume targets over the next 2 years to 3 years.

Apart from that, the focus on other value-added products like coated products, the distribution of those products have started and there is good pull demand from our distributors, which carry high EBITDA spreads. So this gives us confidence that we should be able to ramp up Raipur plant to 500,000 tons to 600,000 tons this year, and eventually 1 million tons by FY '25, '26.

Other updates on the capacity addition to achieve 5 million tons. So just to give you a breakup of new incremental capacity which is coming; so Raipur, we're going to add 300,000 tons over 1 million tons then 0.3 million tons is coming in Dubai, 0.2 million tons is coming in East India and around 0.6 million tons we are going to add brownfield capacity in our existing plants. So with this, we will be a 5 million tons capacity company, and we should be able to utilize this capacity by FY '26.

So that's our vision statement for 2025 that we will be selling this much of volume with higher EBITDA spread than INR5,000 per ton, which is the current run rate,

So that's it from our side Rahul and we can open the floor for Q&A.

Moderator : Thank you very much. Our first question is from the line of Amit Dixit from ICICI Securities.

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Amit Dixit: I have couple of questions. The first one is on the narrow tubes' capacity ramp-up at Raipur. But in the prepared remarks, you indicated that it is going to be started shortly. Can you give us a sense of a timeline from the capacity ramp-up plan that you have mentioned, I think, it's more like Q4? And how do we look at EBITDA per ton trajectory in Q4? More specifically, will we hit INR6,000 to INR7,000 EBITDA per ton from Raipur in Q4 itself or will we have to wait for FY '25?

Anubhav Gupta: So coming to the first question, which is around the narrow line in the Raipur; so see, Amit this is the product, which is high-thickness coated sheets, okay. It's a complete innovation from the House of APL Apollo, because so far if you see in India or globally, the color-coated sheets, which are available are full thickness of 1 mm, 1.2 mm. But we started -- we thought that we should be able to produce a color-coated sheet of up to 4 mm thick.

So beyond 1.2 mm, which industry has not produced ever. So we put up the line and it was started last year. We were buying the galvanized sheets from the industry and then we were color coating it, right. So that we started last year and we tested the market because it was a new product, innovative product. Yes, sorry. Amit, you are there?

Amit Dixit: Yes I'm here.

Anubhav Gupta : Yes. So the applications

were pod lathes, right, which are used in the construction industry.

The solar structures, right, ducting, they were like various applications, which you could see.

So we tested the market last year, right, and the result was pretty good. But the difficulty was that we were buying the galvanized sheets from outside, so the supply was not stable. So anyways, we were going to set up our in-house galvanizing line. So that got a bit delayed. We thought we should be able to start in like in July, August.

So now it's pretty much on track and end August, first week of September we should be firing that galvanized line. And once this is there, then it's a continuous process where we put HR coil and then we galvanize it, and then we color-coat it. So this will be like full in-house back to back color coated sheet, and with that like I said last year, we tested the market, there were good demand and we are hopeful that the ramp-up for this product will be pretty strong and the utilization levels for Raipur will start inching up from 30% to 40%, 50%, 55%.

And coming to the second question, the EBITDA spreads from Raipur. So see, I mean if you see that at utilization levels of 30%, we are able to make EBITDA spreads of around INR3,000 to INR4,000. So with 80%, 90% realization, definitely the plant will reach those levels. But it will take 2 to 2.5 years, right? So, but what we can promise you is that EBITDA spreads will

continue to improve, as the utilization levels continue to go up.

Amit Dixit: Okay, that's very helpful. My second question is on, as I look at the broad EBITDA A per ton project -- I mean progression in the quarter, I mean from Q4 to Q1, what I see that Apollo Z as a group, the EBITDA per ton has declined -- I mean EBITDA per ton has been stable or is up. So is it due to purely Raipur effect that Apollo Z is down or is it something else?

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Anubhav Gupta: So Apollo Z is not being manufactured in Raipur. It's a non -Raipur product and this is in our Bangalore plant and in our Secunderabad plant in North India, where the maximum production takes place for Apollo Z.

Amit Dixit: Okay. So what explains the EBITDA per ton decline Q -o-Q, because this is the only category where we are seeing this keenly?

Sanjay Gupta: Hi, good morning, everybody. Amit, you have seen the decline in the EBITDA per ton in the Z product, this product is -- we will purchase from this product from the galvanized coil. And if you see the first quarter, all the steel plants are in the pressures. Our steel plants -- due to almost INR5,500 decline in the raw material prices, steel plants had very less sales. So we never give these galvanized product prices. Because of this, this is an impact that our margin on the product has reduced.

But if you see the overall margin of our -- we done the volume, almost 483,000 ton from APL, 91,000 ton from AMPL and 86,000 ton from ABPL. Total is 660. And we did not have any margin squatter from ABPL in Raipur due to -- there is two reasons behind it. One is we have set up our infrastructure to start. And secondly, we have increased the stock level of raw material due to the fact that we have to ramp up our process. Because of that, we have faced stock loss you can say in our language, stop loss.

Due to which our margin was over and our expenses were high. Our ramp up from August there was a lot of ramp up in July, it is happening in August as well. And from September, the full ramp up and August also. But if you see the old APL, so our volume is 483 plus 91, 574 is our volume and EBITDA is 330 crores. So INR330 crores divide by INR571 crores, almost our EBITDA margin is INR 5,700 per ton in spite of the almost 5% to 10% raw material price have declined.

So, I think we are on the track there. Just a matter of time. Just a matter of time that we have to streamline our ABPL. And the EBIT

DA percent has broken due to the raw material prices.

There was a pressure due to the steel price, they had reduced their margins in the galvanized product.

Moderator: Thank you. Our next question is from the line of Aman Agarwal from Equirus Securities.

Aman Agarwal: Sir, with respect to the upcoming capacities that you have mentioned on the new capacity in the Eastern India and the Dubai and the brownfield expansion. The VAP expansion that you were mentioning, can you give us a breakup of which product would be coming up with these capacity?

Sanjay Gupta: In the East India, our plant is not started yet, we are looking -- right now we are looking for the land, land has not been finalized. But this is very small quantity of 2 lakh ton capacity. So totally it is commodity products. We will service the value added products from Raipur. Because if we install a value added plant in every plant our cost will increase a lot. Because our capex is very small, around INR50 crores. In Dubai, our total structural tuning is our focus, up to 300 square.

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Aman Agarwal: Understood, sir. And sir secondly on the target VAP share, I see a slight trim down from earlier guidance of 75% to around 70% now. Any particular reason why we have slightly trimmed down the guidance?

Sanjay Gupta: Boss, we can't define, we can't define narrow margin 5% is 70% or 75%. When we are in the phase of volume, whatever saleable we sell, whatever margin we get take, the numbers go up and down.

Aman Agarwal: Understood sir, understood. And sir lastly, on the margin side, last quarter we mentioned that due to strong demand pull, we had reduced the channel discount that we were offering. So how was the situation this quarter around the discount that we offered to the channel partner?

Sanjay Gupta: Till July market -- raw material prices in the pressure, so there was a push. But from August

market is now stabilize. Because from August is very good -- not good, I can say very good. July we have done almost 200,000 plus our volume. And August and September, we are targeting 2.5 plus 2.5.

So total in this quarter our target is first quarter -- first half 13 to 14 lakh ton target, with an EBITDA margin of INR650 crores to INR700 crores. So we are right on track. Second half, we are targeting for volume of almost 15 lakh ton to 16 lakh ton with EBITDA margin of INR750 crores to INR800 crores. So for overall full year 28 lakh ton to 30 lakh ton will be the volume and INR1400 crores nearby EBITDA, present scenario, I don't see any pressure.

Aman Agarwal: Understood, sir. And sir, on the long run, EBITDA per ton guidance, we still maintain on the INR5,000 for FY '24 and gradually to around INR6,000 per by FY '25 and maybe FY '26. We stick to that?

Sanjay Gupta: No, boss, see, I'm a promoter. I am always bullish on my numbers. And the work I have done, technically, I'm looking, I'm not satisfied with 6000, 7000, 8000. My target is in five figures. But right now the positions are, we have to slowly and slowly cover up. I feel that as soon as our Raipur will ramp up in the second half, the whole, in August, the last machine of the narrow line is starting. Because of that my EBITDA margin should be stable around 6000 from Q3.

But overall, our demand for super big success is also good, it is getting created. Like our projects, almost we have done, we are designing projects on 300 projects. So, as demand gets created, these two things are key factors to increase our margins.

Moderator: Thank you. Our next question is from the line of Sneha Talreja from Edelweiss Securities.

Sneha Talreja: Just two questions from my end. 1 is related to the new Raipur facility. So you are going to add further 0.3 million tons, so where are you adding this, in which product profile? Also if at all, you could give some breakup of the current product portfolio

oil, you are manufacturing three products here. So which one of them is right now going where and what is the utilization rate amongst these products? Like are we selling more of higher diameter products or color coated

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or color-coated product, so where are we in each of these products, is something that I would want to know?

Sanjay Gupta: First of all, you have to understand what is Raipur. In Raipur, we have 3 segments; one segment is we call HSU segment, where we are making big sections. Our capacity is almost 3 lakhs tons, 4 lakh tons. 3 lakh tons is our capacity. We have not even got 1000 square mm. This 4 lakh ton capacity will be ours. And the second complex is wider. Our capacity is 3 lakh tons. This is on full run.

The third is narrow section. The capacity of this is 4 lakh tons. Total is 1.2. Here it is 4 plus 1. Our HSU's capacity is 4 plus 1. 5 lakh ton capacity total. So, total capacity is 12 lakh tons. In this, 4 of our HSU capsules are already on swing, 3 lakh ton are on swing in the wider. And the narrow section is ready, but we have to start the galvanizing line, which is starting on the 14th August.

In this product, in the HSU section. We have bigger sections. In this, as we have bigger sections in HSU section. As demand ramps up, our sales ramp up. In this quarter, we have almost 50,000 tons in bigger section. We have reached the range of 16,000 tons per month. In this quarter, we are targeting to achieve 20,000 tons per month. Wider is running full, and we are already doing 20,000 tons per month plus.

Number three, narrow section. We have two parts. One is flat product and one is tubes. In tubes, our capacity is 25,000 tons. Flat product has 5000 tons of colour and 5000 tons of GB for our PV. So 5000 tons of colour will be used in our PV and 5000 tons of GB will be used in our PV. So total capacity is 35000 tons. If we define the tube in sector by sector we have 3000 ton, 4000 ton colour tube, 7000 ton, 8000 ton pre-galvanic tube, which is called Apollo Z. And 3000 ton 4000 ton CRCA automotive tube. Then 3000 ton 4000 ton cold load full hardware.

Sneha Talreja: Understood, sir. Sir thanks a lot for the elaborate answer. Sir, one more thing is like last -- this particular quarter you said prices were falling, so how is the channel inventory at this point of time? Last time you had guided that inventory is about 15 to 20 odd days, where is it now?

Sanjay Gupta: Channel inventories are almost blank. So there is a very good symptom of demand creating. Although there is a monsoon time, but actually good demand will be created from August.

Moderator: Thank you. Next question is from the line of Jatin Damania from Kotak.

Jatin Damania: Sir I want to understand one thing, now since we are saying that Raipur will be INR6,000 to INR7,000 EBITDA per ton, so once we ramp up our capacity to 1 million ton. But just wanted to understand while for 2025, we are giving a times of -- near about 2.5 times increase in the EBITDA. So segments and which all facilities will drive the EBITDA?

Sanjay Gupta: Jatin for what we are targeting for INR2,500 crores EBITDA, we have, we -- right now three company we are earning; one is APL, one is AMPL, and one is ABPL. AMPL capacity is almost 400,000 ton. ABPL we are going for 1.2 million ton and Dubai is 300,000 ton and remaining is APL. So 31 lakh tons is APL. Our total capacity out of 5 million ton, APL is 3.1

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million ton, AMPL is 5 million ton is AMPL, Apollo Metalex. 1.2 million ton is ABPL, and 0.3 million ton in Dubai.

My target is INR10,000 per ton EBITDA in Dubai, almost INR300 crores. ABPL I'm looking at least EBITDA of INR7,000 to INR8,000 per ton -- transaction side INR600 crores, INR700 crores -- INR840 crores from ABPL. AMPL we are running same phase of INR8000 a ton EBI

TDA, is almost close to INR400 crores. And APL, I think INR4500 per ton is the EBITDA margin. 3100 into 4500, INR1400 crores, 14 plus 4, 18 plus 8, 26 plus 3, almost we are targeting for INR3,000 crores of EBITDA. Consecutively we are talking INR2,500 crores of EBITDA.

Moderator: Thank you. Our next question is from the line of Vikas Singh from PhillipCapital.

Vikas Singh: Sir, I just wanted to understand this 5 million ton of capacity which we are talking about. What kind of volumes and value additions percentage we would be doing, considering that once we start increasing our SKUs, usually the utilization rates seems to usually decline. So if you could give us some insights into it?

Sanjay Gupta: Our value-added product is almost close to 3.5 million tons and commodity products is 1.5 million ton.

Vikash Singh: So, roughly about 70% we would be doing value addition. And what is the sales volume we are targeting for that 5 million ton?

Anubhav Gupta: Full 5, Vikash. So this is the sellable capacity what we are talking about.

Vikash Singh: Understood. So, actual capacity would be higher than that?

Sanjay Gupta: Whatever you may call, but the actual capacity is that which you can produce. We recognize it like a sales capacity 5 to 5. You may say 10% higher 5.5 million ton.

Vikash Singh: Understood sir. My second question pertains to this railway revamping plan. Now that the capex seems to be pretty large, wanted to understand where we are placed? How big this opportunity could be for us and whether we are already in place to gain this segment, or there is still some time before we can get into that space?

Anubhav Gupta: So, Vikash, when you look at the modernization of railway station, there are 4 structures, okay. One is the station building, which is called the concourse. So, concourse is a modern structure, where there will be platform on the ground floor and then on the upper floor there will be like retail, office complexes etcetera, which are -- which you see in countries outside India. Second structure is the foot over bridges, FOBs, right. Third is the ceiling roofing truss, which is over and above the concourse structure, which covers the complete new building. And fourth is the -- fourth are the office complexes, which a lot of the railway stations are having. So, if you look at our opportunity for Apollo in heavy structural.

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So there are two products -- which are two applications, which are 100% on tubular. One is the foot over bridges right, and second is the truss, the ceiling, the roofing of the structure. So, in India there is like target of 1,500 railway stations which are going for redevelopment. So, depending on like some railway station it will be like 500 tons, some railway station it will be like 2000 tons, 3,000 tons, depending on, like how big the station.

Now what we are trying to do is that the bulk of the consumption of steel will be in the concourse structure and the station -- and the office complexes which are nearby. So, that railways has two option, go for RCC or go for steel. Now where the railway -- where the government has approved steel structures, then there are two options, one is for conventional steel, second is for tubular.

So, here what we are doing is that we are convincing the contractors and its consultants who have secured the project, right that he should build that concourse structure and office complexes on steel tubes. So, glad to share that Tirupati railway station has been approved 100% on tubular, like all the four structures are 100% on tubes. Okay.

So with that, it has opened the -- like, I would say floodgates right, to go and approach the

contractors, that that whosoever has won the contract, that you please construct your buildings, your structures on tubes right? So, as we speak, there are almost 30, 40 plus buildings wher

e

we are going and talking to the contractors, their consultants, and authorities, right?

So, just to throw a numbers, like New Delhi railway station, you can see the tender document, right. Right now it's under bidding. It will have at least 20,000 tons to 30,000 tons of tube consumption. Other than that, like whether it is Mumbai, Ahmadabad, then 1,497 other small cities, where these railway stations are upcoming. So, this -- this throws a huge opportunity to supply or to create market and supply our products.

Vikash Singh: Understood. And all this would be in the value -added segment right, the heavy to super heavy structure right?

Anubhav Gupta: Yes. Heavy and super heavy. That is correct.

Vikash Singh: Thank you. That answers my question and all the best for feedback.

Moderator: Thank you. Our next question is from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: Sir, just I want to confirm if I heard it right. So for FY'25, we are targeting a sales volume of 5 million tons right?

Sanjay Gupta: 25, 26.

Anubhav Gupta: Yes. So that's FY'26.

Sanjay Gupta: This year, we are targeting 28 lakh tons to 30 lakh tons, next year we are targeting 36 lakh tons to 40 lakh tons and 25, 26, we are targeting 46 lakh tons to 50 lakh tons.

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Aditya Welekar: Understood, understood. Sir my next question is, in this quarter, have we taken inventory loss? Is it due to the drop in the secondary steel prices? And if yes, currently what is the spread between primary and secondary?

Sanjay Gupta: After a long battle, now Apollo come out with this inventory loss and gained wholesale but little bit company impact comes, there are unsold material 70,000 tons to 80,000 tons material in our house, so like I can say 70,000 tons into INR5,500 tons price has been dropped in this quarter.

So, 38 crores technically inventory we have to take in our books, but we never count for this position because on our full business, this is very less. Almost all materials get covered with the bank. So, in our books you would have seen inventory loss and profit no impact is there from the last two years since we have made our branding and distribution stronger and before that we used to see the impact of inventory loss and again.

Now, we have come out from this position, but some bit channel de stocking we have to push we can take around 10 crores, 5 crores impact. But in this quarter if there would have not been any loss and our prices should have dropped then our EBITDA should be around 375 crores, 380 crores.

Aditya Welekar: Understood sir. Sir next is, what is our capex guidance for 25? So I guess our, for 24 guidance is INR600 million. So will that be enough?

Sanjay Gupta: Our capex which is there to achieve 5 million ton almost 300 crores is pending maybe INR10 crores, INR20 crores plus minus, 5% plus minus from this 5 million ton capacity it gets completed. For that there is no plan of capex for 1.5 years. From 25 December where our volumes 4 million ton it might have crossed from there we have a roadmap plan for another 5 million ton capacity for next 5 years up to 2030.

In 2030, how we can make the company to reach till 10 million. In this process I think our next capex round will start from 26 January that will remain 26 and 27. 26 January to 27 December we will have INR2000 crores capex that will enhance our capacity to 10 million ton.

Aditya Welekar: Understood sir. That's very helpful. Thank you.

Moderator: Thank you. Our next question is from the line of Lavanya Tottala from UBS.

Lavanya Tottala: So, I just wanted to understand the opportunities that we are seeing for the heavy structural. When should we start realizing the impact of this on the volumes, like in the coming quarters, how do you see that? And in the railway structure business, which you are highlighti

ng, in that

what will be the pricing difference for a contractor to use conventional steel versus tubular steel, will there be any benefit of using tubular over conventional steel for railway bridges and all?

Sanjay Gupta: Thank you, Lavanya. If you see our numbers, last quarter we have done -- last quarter in Q4, we have done 40,000 tons and in Q1 we have come to 50,000 tons. These two type of growth

is coming in the big sectors. One from the projects where our design team is designing and passing the design and from there slowly and gradually inquiry is getting generated. Secondly, from the retail also where replacement RCC were used.

Right now this product is not in the market. Now slowly and slowly the architects and all the consumers are knowing that they can switch to 500 square, 400 square, 600 by 300, 600 by 200. As they are getting the knowledge so I am seeing the trend from the market that from retail we have got the demand. So, I'm hopeful that year-over-year this product to 40% to 50% growth.

Lavanya Tottala: Got it, sir. And on the railway's conventional steel versus tubular steel, how would that differ?

Sanjay Gupta: Lavanya, there is no such data. Whatever our teams says I'm not convinced with the team. We are working on the design and from many places we are getting a positive response like Max Hospital, Nanavati Hospital has completed their first phase and now we have supplied 2,000 ton material in Tirupati railway station. So, all these types almost I have seen what our design team what they have worked that is around 2,000 ton material we have done.

If those projects get clicked so maybe these demand come on one day so it will slowly ramp up. So, this is the right thing that we should commit you that you will get only 10% growth maybe you seen in any quarter with a growth of 50%. So, these growth are project based. But we are very hopeful whosoever contractors are there and we are talking with the consumers we are very, very bullish on these projects, with our product.

Third world, U.S., China and European countries, if you will see this demand it will be more than normal troop. So, we are very hopeful that in India the demand will pick up soon, but there is no such data we can commit to that that quarter-by-quarter we will give you this much demand.

Anubhav Gupta: And just to add that the tubular steel is 10% to 20% lighter than the conventional steel.

Lavanya Tottala: Got it. So, the contractors that we are working on, these are all small contractors or we are in contact with some large EPC contractors also...

Anubhav Gupta: We are working with contractors ranging from Larsen and Toubro to Ahluwalia, to Sam, to Nagarjuna, to Ashoka Buildcon to smaller contractors. So, all types of contractors, because our structure can be used to make a small hut. It can be used to create a 5-star hotel. So, irrespective of the structure, any EPC contractor who is doing the structure we reach out to him.

Lavanya Tottala: Got it. Thank you so much and all the best.

Moderator: Thank you. Our next question is from the line of Mr. Rahul Agarwal from InCred Equities.

Rahul Agarwal: Sir, just one question on the net debt number. It is INR280 crores for the quarter. Can I get the gross debt and the gross cash number, please?

Sanjay Gupta: Just a sec. INR950 crores is our gross debt and INR650 crores is our FDR.

Rahul Agarwal: Okay get it sir. Sir one, why we are asking this sir, there is one trend, which I'm observing that quarter-on-quarter the finance cost and the other income, both are rising sequentially over the last 4 quarters to 5 quarters. Why should this happen?

Sanjay Gupta: Rahul, this is because of AMPL and APL, both of them have come in cash positive. Here, whatever cash is being plus, we are making it

FDs. In ABPL, what we have done, we have infused an equity of INR600 crores. The remaining money there, we are taking the rest of the money as debt over there. Our target is that, we have given INR600 to ABPL through us; we have to bring that money back within three years.

Rahul Agarwal: Understood. And my second question was on the state incentive. There was a press release on the exchange, which talked about incentives for the Raipur plant. There were multiple questions there, but largely wanted to understand, is it only applicable to sales done within Chhattisgarh? Or do we have to assume 3/4th of 9% savings of state GST because it says 75%.

Sanjay Gupta: This is a state incentive. Our Raipur, the Chhattisgarh government has given us an incentive to have a plant in the state. INR500 crores has already been allotted to us. Our INR500 crores file is in process, which we will get more. So from next year, our GST amount is already pending due to capex. First we will consume that first. Next year, local sale will be there in Chhattisgarh, of that GST, we will get 9% reversal of that.

Rahul Agarwal: Sir, we have to take 75% of 9%, right?

Sanjay Gupta: Yes, 75% of 9%. You are right.

Rahul Agarwal: Okay.

Sanjay Gupta: Total GST is 18%, of which local GST is 9% and 9% is 75%. So, almost 6.75% of the local sales in Chhattisgarh state will be returned back to us.

Rahul Agarwal: Understood sir. And what would be the tentative sale volume number for Chhattisgarh? How much absorption can be there in the market?

Sanjay Gupta: Around INR500 crores will be an annual incentive.

Rahul Agarwal: Okay, so INR500 crores is the total, INR500 crores per year, so it will be over in 10 years. Is that correct?

Sanjay Gupta: Yes. It will be over in 10 years, exactly. No, it is INR1000 crores total.

Rahul Agarwal: Okay, so the remaining INR500 crores is for what thing?

Sanjay Gupta: No, we have to get INR500 crores more as per the capex plan. We have got this from the first phase of capex. Another INR500 crores, we have already applied.

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Rahul Agarwal: Sir, what is that in regards to?

Deepak Goyal: Phase II capex plan. We have total investment in Raipur is around INR200 crores. Out of that, INR840 crores capex, government has allowed INR500 crores of the incentive and for the second phase, we have under process to apply.

Rahul Agarwal: Okay, I will get it. And Deepakji, in terms of accounting, this will come as other income in the books of accounting?

Deepak Goyal: Yes, other income.

Sanjay Gupta: Whatever other income we have, Rahul, we are not able to present the numbers properly.

Whatever the reason, I will sit with the team. If you see our quarters numbers, then our APL

volume is 4,83,000 tons. 91,000 tons is the volume of AMPL. Our total volume is 574,000

AMPL and APL and ABPL volume is 86,000 tons. Our ABPL EBITDA in this quarter was almost zero.

Deepak Goyal: It was INR3 crores.

Sanjay Gupta: It was INR3 crores. So if you see the second year, you can see our old APL, EBITDA per ton is INR5,700 ton, which you can see is INR4,600 ton. And the other income which is interest, the maximum part of other than interest, it is the export incentives. It is our business income but you can add it as you want.

Rahul Agarwal: Understood, sir. I will come back in the queue and thank you for giving permission for hosting the call. Thank you.

Sanjay Gupta: Thank you Rahul.

Moderator: Our next question is from the line of Kunal Kothari from Centrum Broking. Please go ahead, sir.

Kunal Kothari: Thank you so much. Sir, I wanted to understand the capacity part. Right now, it is at 3.6 million tons. So, can you give us the timeline about how much capacity will be added, when and it will get commissioned till 5 million tons?

Sanjay Gupta: Up to March '24, we complete our capacity for

5 million tons.

Kunal Kothari: So, you mean 5 million tons will be completed in FY'24, itself?

Sanjay Gupta: Yes.

Kunal Kothari: Okay. And what...

Sanjay Gupta: Once Siliguri plant is got completed by March '24, that is you can say 4.8 million tons.

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Kunal Kothari: Okay. And so only Brownfield expansion on the existing plants, can you elaborate like, in what kind of products that we are expanding earlier? If I believe that the Brownfield expansion was about 3 lakh tons, which you expanded to 6 lakh tons in the existing capacity, is it right?

Anubhav Gupta: : So, here 3,00,000 tons is coming from new Raipur. From one it is going to 1.3 and then, there are 11 plants, which are in APL Apollo which are running and then Apollo Metalex also 1,00,000 tons will get added from 0.4 to 0.5. So in other 10 plants, there will be like small Brownfield expansion, which will take place, right, so put together, it will be like 0.4 from the existing 10 plants.

Kunal Kothari: Okay so in due course of time till March and like some capacitors will come and kicking in, right?

Anubhav Gupta: : That's right. Except East India plant, we target to complete all Brownfield, Greenfield expansions by March '24.

Kunal Kothari: Okay. Thank you so much.

Moderator: Thank you. Our next question is from the line of Madhav from FIL. Please go ahead.

Madhav: Yes, hi sir. Thank you so much for your time. Sir, could you update us on the water tanks in terms of further traction and could you scale up further?

Anubhav Gupta: So Madhav, we did one sample early this year right near Lucknow. So that sample got approved. Based on that, there is another small order of 50 water tanks, which the government has approved as of now. So the work on those 50 water tanks will start. And as we are talking, we are also talking to lot more contractors and authorities to take this number to higher.

One thing is for sure that the government authorities have given their approval. So slowly they are starting. It is a very new thing for them. So they are taking some time. But our design, our sample, everything has been passed by the authority. Now the question is that from 1 to 50, how do we move from 50 to 5,000, 10,000, right? So that also is undergoing.

Madhav: And this again has benefits from like lower cost of construction and faster time to complete?

Anubhav Gupta: So compared to RCC, steel is always expensive. So it will be slightly expensive but the time taken normally in RCC water tank takes six months to complete. Steel end to end can be done in two months - three months. Almost three months - four months.

Madhav: Thank you, sir. Okay, sir.

Moderator: Thank you. Our next question is from the line of Dhnananjay Bagrodia from ASK. Please go ahead.

Dhnananjay Bagrodia: Sir, congratulations on a good set of numbers. Just a couple of questions. Sir, now employee expenses and another expensive has been trending lower per ton. Is this something which we see even more scope from here or would this flatten out going ahead?

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Anubhav Gupta: Dhnananjay, what cost are you mentioning?

Dhnananjay Bagrodia: Employee? Would be flattening out over some time.

Moderator: Mr. Dhnananjay, may we request you to repeat your question, please.

Dhnananjay Bagrodia: Sir, Employee expenses and other expenses per ton year-on-year has been reducing quite a bit. Is this something which we see even more scope reducing or is this something which will be flat going ahead?

Sanjay Gupta: Friend, it's not less, mine is a lot. In the Board meetings, sir, the topic was that the price make cost of our is more.

Dhnananjay Bagrodia: No, so last year...

Sanjay Gupta: This has increased, cost has increased a lot. This is my worry point.

Dhnananjay Bagrodia: Last year, it was 4,90

0 per ton. This year, it is INR3,800. So, it has decreased a lot?

Sanjay Gupta: No. I don't have that much of employee cost. I have around INR700 per ton.

Dhnananjay Bagrodia: No, your employee cost per ton is INR900. Earlier, it was INR1,000. Yes, but your per ton has reduced a lot...

Anubhav Gupta: Dhnananjay, what we are saying is that INR900 per ton, it appears lower than INR1,000 per ton. But we are not satisfied with INR900 per ton. Our target is to bring it down below INR700 per ton. INR600 per ton.

Sanjay Gupta: You can say, whatever you want. Mr. Dhnananjay, I promise you, when we reach the 5 million ton of capacity, my employment cost will come down from INR600, less than INR600 per ton.

Dhnananjay Bagrodia: Okay, sure. And other expenses, too?

Sanjay Gupta: Dhnananjay, we will have to see other expenses because...

Anubhav Gupta: It will be with the sales.

Sanjay Gupta: It is with the sales. Sometimes there is a trade factor, export or income, it varies according to that. In our business, there are mainly four types of expenditure. One is the employee cost, number two is store consumer, which varies around INR250 - INR300. Number three is power, power is around 50 units, 50 units into INR8 units per ton. It varies around INR400. INR400 - INR500, its maximum higher side is INR500. Lower side stays in the middle of INR400. I am working on this. I am working on bringing consumer down from INR200.

I am working on bringing employment cost down below INR600. And I am working on bringing power down from INR500 to INR400. And one major factor, we are working on is the freight factor. In freight factor our cost is around INR1400 - INR1500 per ton. Now, I am trying with the EV vehicles, if my EV vehicle model becomes successful, I bring down this

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freight cost from INR1500 to INR1000 per ton. So, I have a target of INR1000 to reduce my expenses in the next two years.

Dhananjay Bagrodia: Okay. Excellent. How much will be the full year capex number this year?

Sanjay Gupta: INR300 crores, in three quarters. If can be less by INR20 crores, our one of the plant cannot get installed in this year. INR275 crores - INR280 crores, less than INR300 crores.

Anubhav Gupta: So Q1, we did INR180 crores and then INR250 crores maybe in nine months.

Dhananjay Bagrodia: Okay. Thank you sir.

Moderator: Thank you. Our next question is from the line of CA Garvit Goyal from Nvest Analytics.

Please go ahead.

Garvit Goyal: Good afternoon, sir. My question is, just a clarification. In the presentation, you mentioned within 2025, so doubling of revenue will be in the FY '25 or by FY '26 because in earlier...

Anubhav Gupta: So, we say, calendar 2025, which is March '26 fiscal year.

Garvit Goyal: Understood sir. And sir, one more clarification, on the market share price, so currently what is our market share in the overall structural steel tube industry of 80 lakh, you mentioned in the earlier con call?

Anubhav Gupta: So, if you look at the current trends, we believe that our market share is above 60% in structural steel tubing, which comprises of sizes from 8 mm x 8 mm dia and goes up 1000 mm x 1000 mm dia. So, here we should be above 60%

Garvit Goyal: Understood. And sir EBITDA per ton is intact, 5,000 for the entire year, right?

Sanjay Gupta: My EBITDA per ton for this quarter is INR5, 700 per ton. If you exclude the ABPL number.

Garvit Goyal: We understood sir, understood. That's it from side. All the best for the future.

Sanjay Gupta: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question of our question and answer session. I would now like to hand the conference over to Mr. Anubhav Gupta from APL Apollo Tubes Limited for closing comments.

Anubhav Gupta: Thank you. Thanks, Rahul and InCred for hosting us and thanks to all the partici

pants, who

took out their time and joined for this call. Hope to see you for second quarter FY '24 soon.

Thank you so much. Bye.

Moderator : Thank you. On behalf of InCred Equities that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

**Call: Nov 2023**

*(no extractable text — likely a scanned image PDF)*

**Call: Feb 2024**

*(no extractable text — likely a scanned image PDF)*

## **Call: May 2024**

*(no extractable text — likely a scanned image PDF)*

## Call: Aug 2024

14th August 2024  
Electronic Filing

National Stock Exchange of India Limited  
"Exchange Plaza" Bandra -Kurla Complex,  
Bandra (E),  
Mumbai -400051

NSE Symbol : APLAPOLLO Department of Corporate Services/Listing  
BSE Limited  
Phiroze Jeejeebhoy Tower,  
Dalal Street, Fort,  
Mumbai -400001

Scrip Code : 533758

Re: Transcript of the Conference Call held on August 12, 2024

Dear Sir/ Madam,

With reference to our letter dated 1st August 2024 intimating you about the conference call with Analysts and Investors held on August 12, 2024 , please find attached the transcript of the aforesaid conference call.

This above information is available on the website of the Company.

We request you to kindly take the above information on your record.

Thanking you

Yours faithfully

For APL Apollo Tubes Limited

Deepak C S  
Company Secretary  
M. No.: FCS -5060

Encl: a/a

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MANAGEMENT : MR. SANJAY GUPTA – CHAIRMAN AND MANAGING  
DIRECTOR – APL APOLLO TUBES LIMITED  
MR. DEEPAK GOYAL – DIRECTOR , OPERATIONS –  
APL APOLLO TUBES LIMITED  
MR. ANUBHAV GUPTA – CHIEF STRATEGY OFFICER –  
APL APOLLO TUBES LIMITED  
MR. CHETAN KHANDELWAL – CHIEF FINANCIAL  
OFFICER – APL APOLLO TUBES LIMITED

MODERATOR : MR. KUMAR SAUMYA – AMBIT CAPITAL

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APL Apollo Tubes Limited  
August 12, 202 4

Moderator: Ladies and gentlemen, good day, and welcome to APL Apollo Tubes Limited 1QFY25 Earnings Conference Call, hosted by Ambit Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kumar Saumya from Ambit Capital. Thank you, and over to you, sir.

Kumar Saumya: Thank you, Yusuf. Good afternoon, everyone. Welcome to the First Quarter FY '25 Post Results Conference Call of APL Apollo Tubes. From the management, we have with us, Mr. Sanjay Gupta, Chairman and Managing Director; Mr. Deepak Goyal, Director, Operations; Mr. Anubhav Gupta, Chief Strategy Officer; and Mr. Chetan Khandelwal, Chief Financial Officer.

Now I'll hand over the call to the management for opening remarks. Post which, we will open the floor for Q&A. Over to you, sir.

Anubhav Gupta: Thanks, Kumar, and thanks to Ambit Capital for hosting APL Apollo Tubes for its quarter 1 FY '25 earnings call. And thanks to all the participants who have joined to attend this call. I welcome, everyone, and wish you a pleasant day.

What a start to the year for our company, with the steel prices in the reversal mode after a gap of 4 years. If you remember, we have been talking about this all the time that in India, the steel price inflation environment has to reverse. The prices have to come at par with the global steel prices, and it got triggered in the last 4 or 5 months with the commencement of new upstream steel capacity, which hit the market in December of 2023. And in the anticipation of new capacity, which is going to hit the market over the next 2 to 3 years. So as we are talking, steel prices are already down by INR3,000 per ton from the recent highs. And if we compare it with last year, they are down by almost INR7,000 -INR8,000 a ton.

This benefits APL Apollo in 2 ways. Number one is that our company is India's largest steel buyer. So there's -- all the incremental capacity, which is coming in the market, it gives APL Apollo a better negotiation power in front of those steel suppliers. Plus, as you all know that our finished goods replace conventional inefficient construction products like secondary scrap steel, wooden structures, aluminium, rebars, cement and concrete, steel angles and channels, long steel products.

With the lower input raw material cost, the affordability for our product as well as the acceptance for our product improved significantly. And we are glad to share that, that environment of deflationary steel prices is already here and there's a visible pretty strong for the next years as new capacity keeps on coming in.

At the same time, the falling steel environment brings its own challenges like industry destocking, heavy discounting in the short term and minor inventory write-downs as well. So

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we have geared ourselves to play on a strategy, short-term pain and long-term gain. Our assumption is that steel prices can further go down by INR3,000, INR4,000 a ton and whatever fall has to happen, it will happen by Q2, and we'll see all the pain from July to September months, after which second half should be pretty solid.

Anyway, our current focus is to maintain the sales volume momentum, which we gained in quarter 1 with a 721,000-ton sales volume. We are not overly concerned about margin expansion in the short term because we know that we have a lot of operating leverage benefits that will start coming into play as we increase our utilization levels.

Coming to quarter 1 performance, I think what looks a bit weaker

is our EBITDA spreads.

Now the reported EBITDA of 4,183 per ton would have been slightly higher by 150 per ton. It didn't happen because we booked a notional expense on account of ESOP policy in Q1 plus we spent some extra money on brand campaign because we wanted to launch a few products, so that's nonrecurring in nature.

One data point we would like to highlight is the expansion in our gross margin spreads. It improved INR335 per ton on Y-o-Y basis and INR442 per ton on a Q-o-Q basis. This does reflect that because our new products from Raipur and Dubai plants are giving us better product mix. That's why our gross margin is expanding, although it is not visible in the EBITDA spreads yet because of operating leverage that is yet to play out.

Just to point out our Slide 19 in the presentation, which shows the potential profitability and

ROCE profile, which our company can achieve with the 100% utilization levels. We have mentioned a conservative EBITDA of INR5,000 per ton. Please understand that we have not lowered our guidance.

It is just the demonstration that even at 5,000 per ton what kind of ROCE our company can generate at a foreseeable rate. Now please allow me to share the progress in our Raipur and Dubai plants. In Raipur, we have 4 products capacity with capacity of almost 1.1 million tons. Out of these 2 are highly innovative and 2 our value-added products.

Now coming to the heavy structural segment, where the utilization levels are around 58%. For roofing sheet our utilization levels are around 89%. For super-light structural, our utilization rate is 52%. And for coated thicker sheet, our utilization level is 48%. On overall basis, the Raipur plant is running at 61% utilization rate. Just to highlight again that 1.1 million ton of capacity is our sellable capacity, not the nameplate capacity. That's how we rate capacity for each of our plants and at the company level as well.

Dubai has 4 lines, which are capable of manufacturing products starting 15 -millimeter by 15 -millimeter till 300 -millimeter by 300 -millimeter. Two lines got commissioned last year and 2 lines was commissioned just in the last few weeks. So ramp-up is pretty strong as we speak now. With the total current capacity of 300,000 tons, the utilization level for Dubai in quarter 1 was around 30%. But since the 2 new mills just got commissioned, so utilization levels will improve significantly over the next few quarters. Now if you look at the overall levers for our sales volume in the coming quarters, there are 3, which we can see through.

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Number one is the stability in input raw material prices, which will bring an element of restocking in the channel, which will boost our volumes. Number two is that we shall be taking market share from the secondary scrap steel because now the pricing gap between our products and the scrap steel pipe is like 5%, which used to be 20% in the last 15 months. So we will definitely take market share from this segment, which has become an equal sized industry compared to our addressable HR-coil tube industry.

Third is that post monsoons and budget allocations, the construction sector should start doing well in India from the both government and private side. So we expect that Q2, despite these challenges should be better than Q1 and second half should be significantly better than the first half. And based on these factors, we are confident that we should be doing 3.2 million tons of sales volume for FY '25, which is in line with our guidance for this year.

As far as the margin is concerned, Q2 should remain under pressure as there is a lot of uncertainty still in the steel upstream sector. How the prices are going to settle down. The dealers, the channel partners, the distributors, the retailers, they are still afraid of stocking the material, so we need to stick to our strategy of discount

ting and gaining the volumes.

And we don't know the -- how deep steel pipe correction could go from these levels, so we will see if there are any minor inventory write-downs also in quarter 2. But whatever has to happen, we believe that Q2 will bottom out which will give a very clean slate for growth to our company from October month onwards. And anyways, the levers for our margin expansion are many, like, number one, the better product mix as our gross margin splits are increasing quarter-on-quarter anyways.

Number two is operating leverage gains with better utilization level in Raipur and Dubai plants. Number three is better pricing for our general products as the price gap between scrap steel and our product is reducing. So we may have better pricing as well in the standard products. Number four is the better negotiation power to buy steel from the steel mills in the country.

Number five is lower brand spends for the rest of FY '25. Whatever were the major spends, we finished in Q1. And number six is our own continuous drive to keep on working on cost rationalization, be it power, steel wastage, consumables rate, etcetera, day in, day out, we are trying to work on these cost elements and bring them down.

Lastly, if you look at our working capital for Q1, it's at 3 days, so there is a slight increase in the net debt position for the company. However, we should remain near net debt 0 position throughout FY '25 with surplus cash being visible on balance sheet from FY '26 onwards. And just to complete that our expansion plan for 5 million ton capacity in the next 12 to 15 months is on track. We are going to add 3 new plants now, small plants, which is part of our regional penetration strategy.

One is the Siliguri to cater to East market, which we have highlighted. And 2 new plants, one in Gorakhpur and one in Ahmedabad also, we have planned to bring them online. Gorakhpur is just to cater to the Eastern UP market and Bihar and Odisha built, which can be catered well

through that geography. And Ahmedabad is -- Gujarat is a very good market for us. Right now we are servicing that market mainly from our north plant and Raipur plant. So to benefit for the freight, it makes sense to have a small plant in Ahmedabad as well. So the capex is in line with like INR500 crores, INR600 crores what we had guided last time that is required to take us to 5 million tons. We may not be adding new mills, all the new mills for these plants. A lot of these plants, we will see the shifting off existing mills from current plants to these new plants. So I guess, 4 quarters down the line, we will be sitting on 5 million ton sellable capacity, which we will -- which we target to utilize by FY '27. And the current capacity, sellable capacity, which is available with us is 4.5 million tons anyway. So idea is to produce 3 million -- 3.2 million tons this year and 20%, 25% growth from next year and post that to achieve 5 million tons by FY '27.

That's all from our side. Happy to take questions now.

Moderator: First question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit: Congratulations for a good set of numbers and a very challenging quarter. My first question is essentially on the -- if I look at other expenses, while you have explained in your opening comments that there were certain nonrecurring items over there. So other expenses and employee costs, both have gone up significantly. Now if you could quantify these nonrecurring items that possibly we could take out in our forecast going ahead. That would be very helpful.

Anubhav Gupta: Amit, the nature of other expenses, some expenses are nonrecurring and some are recurring as well. So I'll explain in detail. Number one is that employee cost, if you see in Q4 was around INR64 crores -- sorry, Q1 -- Q4 last year was around INR70 crores, right, which right now

is

INR80 crores, right? So INR5 crores impact is for ESOP, INR4 crores to INR5 crores is on account of ESOP, which is notional in nature. And of course, 7%, 8% increment we had in the company. So for the rest of the quarter, you should build in INR75 crores per quarter, okay? Then the other expense, which is higher and it is recurring in nature is the freight cost per ton. Freight, if you see has gone up because from Raipur, we are selling value-added products like roofing sheet and thicker-coated sheet. So here because of the volume is lower per truck load, the freight cost per ton goes up. But then you get paid from the customers as well, right? So our freight cost is always paid for. So that's another impact. Third is power and fuel also went up because in Raipur, we are still not on renewable power yet. We have signed up with these solar power producers.

So we will start getting the benefits as the plant -- when the plant will be ready. It will take around 9 months and then the power cost will come down. So that will settle down in FY '26, for sure. But for rest of FY '25, it will remain elevated. And then lastly, which needs to be highlighted is the brand spends. Q1 was a bit heavy. We paid for the actuals and the Siliguri brand campaign, which we undertook. So in the next 9 months, it will be significantly lower than what we had in Q1.

And lastly, there are also some charges, which we are getting for outsourcing jobs, right? Because we have developed a specialty tube for solar structures for the largest solar power producer in the country. And we have to get it coated, right, from outside. So those charges also come into other expenses. But of course, we do get our markup for that. That's why our MSR is going up.

Moderator: Mr. Amit, does that answer your question?

Amit Dixit: Yes, that does answer my question. I'm moving on to my second question now. Yes, so the second question is, you have mentioned that there are 2 plants that you are thinking of Gorakhpur and Ahmedabad. Gorakhpur particularly interesting location, and you mentioned about Siliguri as well, if I'm not mistaken. So just wanted to understand the configuration of these plants, whether they will be also on DFT and what kind of products do we intend to produce from these plants? And since you are shifting some of the capacity lines, so capacity -- so how will the capacity go up to 5 million tons. Just wanted to understand that.

Anubhav Gupta: So Amit, see, I mean we want to cater to both the markets. Like if you take, say, Gorakhpur and Ahmedabad. So structural steel tubes, right, we cater to 2 segments. One is square and rectangular. Second is circular, right? Of course, circular -- square and rectangular are a major

proportion of our sales volume. So any mill, which is going to produce square and rectangular, it has to be DFT for us, right? And for circular, we must install the conventional one, okay? Each of these plants will be having capacity of 200,000 tons initially, right? And some of the mills from our Bangalore plant and old Raipur plant, we will move to these locations and 2 mills, 3 mills, we will order new as well, right? So it's a mix of everything. The objective to achieve here are two: number one, local penetration, regional penetration, better servicing; and second is to lower the freight costs.

Amit Dixit: And in terms of products, we will producing everything, whatever -- I mean, we be producing - will there -- is there a thought process to produce sheets also because that region might have the color -coated 10 -gauge sheets that you generally produce at Raipur?

Anubhav Gupta: No, so these are tube plants, Amit. We are yet to decide on strategy for expanding capacity for roofing sheets or thicker -coated sheet. But in our grand plans of 10 million tons, right, these products don't have too much contribution.

Moderator: Next question is from the line of CA Garvit Goyal from Nvest Analytics Advisors LLP.

CA Garvit Goyal : Just one question on the EBITDA per ton. Like you guided for 3.2 million tons volume. What is the EBITDA per ton guidance for this year?

Anubhav Gupta: So see, I mean, Q1, as you can see, is around INR4,200. Q2, we are not yet certain, right? It will depend on how the upstream steel prices behave, but our endeavor will be to at least match what we did last year if it not improve that. I think on -- during the October investor call, we will have a better idea of EBITDA per ton.

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Moderator: Next question is from the line of Gagan Deep from Nvest Analytics Advisors LLP.

Gagan Deep : Sir, my question is already answered.

Moderator: Next question is from the line of Sneha from Nuvama.

Sneha: Would it be possible for you to give the breakup of capacity by FY '25 till the time we reach 5 million tons. Where all we will be having capacity? And what all will be the capacity since you will be making some shift from other plants to new plants like Gorakhpur and Ahmedabad like you mentioned?

Anubhav Gupta: So Sneha, we have given product -wise capacity in our presentation. There is a slide of de -commoditizing product portfolio. You will find 5 million tons of proposed capacity. It is on Slide 8.

Sneha: Sir, do we have plant -wise capacity also by FY '25 there?

Anubhav Gupta: Of course, but we don't share that.

Sneha: Understood. Secondly, a more broader question, Anubhav, how are we planning to address the gap between secondary and primary steel. From a couple of quarters, we've been seeing that one of the reasons for our volumes not being that great, especially with general products is that gap widens between the secondary and primary steel? Of course, it's narrowed down currently to about INR3 to INR4 -odd. But generally, historically, we've be seeing this to be a major reason for our volumes not doing that great. How are we addressing that -- this issue and what's the confidence of strong volume growth in H2, given we don't have an outlook right now between the primary and the secondary steel price gap?

Anubhav Gupta: Sneha, you need to look our portfolio in 2 categories . One is standard general commodity, which is 35%, 40% of my portfolio. The rest is value -added and super value -added products, okay? So my value -added and super value -added products, there have no threat from scrap steel tubes, right? Because scrap steel tubes are incapable of addressing that application, what our products are doing, right? So the completion, which we face from scrap steel tube is general, right? And this is one segment, if you look from FY '20, we have not been able to grow this segment, right? From FY '20, if you see my general sales used to be like 0.9 million tons and last year, we did 1.1 million tons.

So there is hardly any growth, right, in general segment. And this is because of availability of low-grade scrap steel tube product, which is available in the market, where the manufacturers and the dealers are taking benefit of price gap, right? And why this happened in last -- over the last 5 years is because HR -coil prices in India, they have been on the inflationary mode, which was triggered by corona, right, in 2020.

Then in 2022, Russian -Ukraine war, which triggered further the steel prices to go up globally. HR-coil, which used to be INR35,000, INR40,000 per ton commodity before corona, it went up to like INR65,000, INR70,000 per ton by mid of 2022, right? But the cost of production for

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scrap steel, that remained stagnant. So that's why the gap, right, it used to be -- like before corona also the gap used to be INR5 per kg, but it's shot up to INR20 per kg. And that's where these small steel melters in Raipur belt, in Man

di Gobindgarh belt, in

Chennai belt, they popped up because there was this arbitrage, right? But we were of the view that the steel price inflation is not sustainable, okay? And we are seeing that being reversed already. The second factor you need to understand is the cost of production for blast furnace steel versus cost of production for scrap steel.

So you can check with any steel expert in the country that the cost of production for blast furnace steel is lower than the cost of production for scrap steel, right? So blast furnace steel manufacturers have the window, okay, to still lower the prices, but scrap-steel producers, they don't have the window available to lower the prices. right? So whenever -- like I said, that the gap is already down to INR3,000, INR4,000 a ton, right?

And it can further go down by September as the new capacity in upstream steel sector keeps on hitting in the market. So we are fairly confident that HR coil will substitute the scrap steel do.

And then we are also taking initiatives like making the consumer aware about the poor quality of scrap steel what they are using, right? Because ultimately, structural steel, whether it is for handrails, for fencing, for doors, et cetera, right, it is not of a very good quality, there is always a chance of an accident, right? So we are making the consumer aware.

Secondly, the level of pollution, which these small melting shops, they pollute in mining, that's also very, very hazardous, right? And the government, given the fact that they are pro-climate, they are taking all the steps to improve the environment in the country. So I guess, at some point, they may also take this step to halt this highly pollutive industry. So yes, I mean, we are fairly confident that as HR-coil prices remain stable around INR45,000, INR48,000 per ton, we have a very good chance to take the market share back from our scrap steel segment.

Moderator: The next question is from the line of Kunal Kothari from Centrum Broking.

Kunal Kothari: My specific question with regard to the Apollo TriCoat. In this, on a year-on basis, our volume are stagnant, but on the margin front, it is down significantly. The trend that we are seeing in this particular segment for last year, it's just a downward slope. So can you just make me understand what is happening in this particular segment? Why we are seeing such a huge downward slope, which is happening continuously?

Anubhav Gupta: Actually, you need to tell me the product segment now because TriCoat products got divided into 2 categories: One is light; and second is rust-proof. So which segment are you catering to?

Kunal Kothari: Rust-proof.

Anubhav Gupta: Okay. So yes, rust-proof is our zinc-coated pipes, which are mainly sold in the coastal markets, right? There the standard black pipe doesn't work because of the moisture in the environment.

So the fabricators, the fabricators need coated products, right? So that's where we sell our rust-

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proof. Now this segment, if you see, it has a pressure of aggressive sales growth because right now the market is constrained towards coastal markets only, right?

Although we are making a drive to expand this market in non-coastal markets as well. But it's a long drawn process. And Sanjay, do you want to add to this? I guess, I mean, as the market expands for this product beyond coastal markets, we will see the growth going to like 15%, 20% levels. But right now we are able to take the growth whatever the coastal markets are growing at a natural rate.

Kunal Kothari: I understand. But any specific reason that we used to have margins INR7,000, INR8,000. Then last year was around INR6,000 to INR6,500. Now it is below INR5,000 per ton? Like my question is, are we losing the competition to other players in the rust-proof segment? What is the core reason for such a steep decline?

e?

Anubhav Gupta: Okay. So if you look at -- if you compare it with the margins, which were like 2 to 3 years back, INR7,000 to INR8,000 per ton, at that point of time, what was happening was that in India after COVID, the Indian steel producers, they started exporting coated coils, okay, in international markets. So that brought the short supply situation in India, right?

It benefited Apollo because we had our in-house galvanization plants, okay. We used to buy their HR-coils and galvanize those coils and then converting those coils into coated-tubes. When there was a shortage of galvanized coils in the country, our competitors were buying

expensive coils from the market. And then they were converting the tubes, right? So we had a very good arbitrage for 3, 4 quarters in that segment.

And we have highlighted that in our investor calls earlier as well, now that situation got course corrected, right? Now the galvanized coil prices have come down in India. And the arbitrage, the benefit what Apollo has for having the in-house galvanization unit, so that's now at fair, at parity with our competitors. And of course, yes, competitors have also put up the galvanization mill, right?

So yes, I mean, it's a competitive market, but we are maintaining our market share of 65%, 70%. If you do some channel checks in strong coastal markets like Kerala, Mangalore belt, Goa belt, right, we continue to have a line market share there. But yes, I mean, to grow aggressively in this segment, we need to create this market beyond coastal markets, which we are working on.

Kunal Kothari: Okay. Second question is in regard to our overall capacity. You mentioned that currently, we had around 4.5 million tons, right? Firstly, like from previous calls, what I remember is that we were at 3.8 million tons. So this around 0.6 million where it has been added and additional 0.5 million are you going to catch up in the next 12 months, so where it is going to come?

Anubhav Gupta: Right. So this is across the categories, right? Actually, the data point of 3.8 million tons in presentation is old one, right? Right now we are almost near 4.5 million tons and it is across the categories. We can share the updated product-wise list to you separately.

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Moderator: The next question is from the line of Aditya Welekar from Axis Securities.

Aditya Welekar: So my question is with respect to EBITDA per ton shaping up for FY '26. How do you see that? And this is the context of our value-added product share. So how do you see our VAP share increasing in FY '26 in the context of any market creation? Any visibility on the ground that you see that the VAP share will increase and that will aid our EBITDA per ton going forward?

Anubhav Gupta: So definitely, if you look at our VAP share from Dubai and Raipur plants, right, as those plants are ramping up, we have been giving the data point of utilization levels, which you would appreciate that quarter-on-quarter the utilization levels are going up and our gross spread per ton is also improving quarter-on-quarter.

So we are continuously working to create the market for innovative products from Raipur whether it is for the heavy structural pipes or the thicker-coated sheet, which are like the 2 most innovative products from Raipur. And Dubai also with introduction of sizes up to 300 x 300 mm, the mill commissioned last week only. We are seeing a very good order inflow for that mill, in particular. So yes, I mean this 65% of our portfolio, that's our crown, right? And we continue to work to improve the sales in this segment.

Aditya Welekar: Will it be fair to assume EBITDA per ton reaching near INR5,000 per ton in FY '26?

Anubhav Gupta: So see, I mean, if you look at the sheet, right, where we have mentioned like how we can reach INR5,000 per ton, right? It's a question of like how many plants are ut

ilized and what kind of

operating leverage benefits I get, right? But if market becomes stable, right, in Q2, which we expect, right? Q3, Q4, we start doing 800,000 ton -- 850,000 ton kind of quarterly volume. Then yes, APL is capable of throwing INR5,000 per ton EBITDA during those quarters by FY '26.

Aditya Welekar: Understood. My second question is with respect to the net debt. So I mean, what I understand is that the working capital should come down because the steel prices have gone down and that should not be the reason for increase in the net debt. Is it correct? Or is there anything else which I'm missing here?

Anubhav Gupta: So see, I mean, last quarter, our working capital day was 0, now it is 3, right? So it's a very minor movement, right? There are multiple factors like you have to collect payments from your clients, some of the projects where there is like 4, 5 days delay, that's all, right? And secondly, to answer your question on inventory, yes. So we will -- you will see the devaluation in inventory going forward because prices have fallen recently, right? So on the balance sheet, it is on an average basis. So as we close September balance sheet, you will see -- you should see some devaluation in the inventory levels.

Aditya Welekar: Okay. And that should drive our net debt down to 0 level, again?

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Anubhav Gupta: Like I said, INR1.5 billion on our balance sheet size of like INR50 billion, it's almost 0. And we will stick to net zero balance sheet for the rest of FY '25. Yes, I mean, but it should be near zero.

Moderator: The next question is from the line of Kunal Vora from White Whale Partners.

Hardik Doshi: This is Hardik Doshi. I just wanted to check, in your recent presentation, it shows that in FY '24, the structural steel size for the scrap steel is about 4.5 million. And in the previous -- in 2023, it was 3.6 million. So is it correct that the scrap steel has grown by 25% in FY '24?

Anubhav Gupta: You'll have to repeat the question, sorry.

Hardik Doshi: Yes. So in your recent presentation, when you're talking about the structural steel tube market, right, you're talking of 9 million tons, out of which 4.5 million is scrap steel based tubes. The same presentation previously indicated that it was 3.6 million in FY '23. So it seems like the scrapped steel -based tubes is grown by about 25%. So I just want to check if that is actually the case.

Anubhav Gupta: Yes, that is right. That is right. As I mentioned earlier that the growth in the structural steel tube segment got taken up by the scrap steel producers because of this arbitrage they had, yes.

Hardik Doshi: Yes. Okay. And so now going forward, you were expecting by 2030 4.5 million to kind of degrow to 4 million.

Anubhav Gupta: The logic says it should because outside India, there is no country where you have this product available. It's only on government behest or I don't know whose behest that this industry is surviving and thriving as of now. But when the blast furnace steel prices are lower than scrap steel prices, then why should this industry do well. The logic says it should not.

Hardik Doshi: Okay. Second question I had is, you mentioned that the spread has now come off to 5%. Is that as of now as per plan? And is there any seasonality related to monsoons for the spread? Or there is no connection between that.

Anubhav Gupta: For which product?

Hardik Doshi: For the scrap steel versus your HR -coil, the differential has come down to 5%, I believe that's what you mentioned, right?

Anubhav Gupta: Because the new capacity in HR coil, the new capacity in the blast furnace steel has come online since December of 2023.

Hardik Doshi: Yes.

Anubhav Gupta: And NMDC Steel mill started its HR -coil mill. JSW started its mill in Bellari. Now in next 6 months, their Dolvi plant will start. Tata Steel's Kalinganag

ar plant will start. Jindal Steel

Power will start its second plant, right? ArcelorMittal Nippon Steel will start its HR -coil mill,

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if not this year, next year. So we have a very strong visibility for the next 2 years that India will keep on witnessing steel capacity expansion.

See from 2018 to 2023, what we have heard, India steel capacity is 120 million tons, 120 million tons, 120 million tons, 120 million tons, 120 million tons. It has not increased. What has happened is the consolidation of the sector. Essar mill got acquired. Bhushan Power got acquired. Bhushan Steel got acquired. Monnet Ispat got acquired. A lot of mills, which got sick, they were acquired, they got consolidated, right?

And it takes 5 years for any greenfield plant to come online. JSW, which was expanding from 2018, Tata Steel, which was expanding from 2018. So those plants are now coming online. So from 2023 December till 2025 December, HR -coil capacity from blast furnace should increase by 50% in the country, right? And when cost of production for blast furnace steel is lower than cost of production for scrap steel, then why should scrap steel be sold, number one.

Number two, when scrap steel production is such a highly pollutive industry, why it should survive. Number three, when it is such a poor quality product, why government should allow this to survive, right? So logic says that this segment should not be growing, right, going forward. Let's see.

Hardik Doshi: Okay. Got it. My last question is within the organized space, your competitors have announced a lot of expansion plans as well. So how do we plan to kind of keep up our differentiation market share? And do we command a pricing premium to our competition? And how do we plan to sustain that?

Anubhav Gupta: It's a good question. It will be good for everyone of course. If you could highlight what kind of players you're talking about, who are expanding the capacity, so that we can answer the question accordingly. Because all these steel pipe producers, right, no one is as unique as Apollo in terms of focus on the structural steel tube segment and that too from a HR -coil. So you need to see that if you're talking about someone who is good in API pipes, oil and gas

pipes, water transportation pipes or in scrap steel pipes, then he is not by complete. My competitor is a manufacturer who is using blast furnace steel from top 5 producers in India and he is making structural steel tubes, right? Where I command, if not 90%, at least 75% market share. Of course, that's our gut feeling. We can't put this in writing. But if we talk to 200 of our top customers, top dealers, we get this sense.

Hardik Doshi: Okay. I mean I was talking about guys like JPL, and many of these other guys that were -- have announced.

Anubhav Gupta: So again, JPL is a scrap steel tube producer. Recently, they acquired a steel melting unit called Nabha, something, right? So it's a scrap melting shop, right? So again, I mean, the point I'm trying to make is that they may do well in their segment and we wish everyone a good luck. But you need to see that what expansion they are doing in HR -coil tube segment. And in structural, not water transportation, not oil and gas, not automotive precision tubes, but structural steel tubes.

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Moderator: The next question is from the line of Mayank Bhandari from Asian Market Securities.

Mayank Bhandari: Sir, my first question is on the number we have given on Slide 19. APL's Q1 FY '25 working capital was from minus INR25 crores to INR456 crores is at full utilization. Can you explain that much of jump?

Anubhav Gupta: Yes. Yes. So even this, we have taken conservative that for APL, we have taken 5 days of net working capital. And for new plants, we have taken around 7, 8 days, 10 days of combined working

capital. So again, these are conservative numbers, okay, not in line with what we are at today. Similarly, like we have conservative EBITDA number as well of INR5,000 per ton. So yes, I mean, this is just to demonstrate even at converting numbers, what we are going to achieve. So yes, I mean, as per current run rate of working capital, the working capital requirement will decline significantly.

Mayank Bhandari: So the newer projects, the working capital requirement is lower is what...

Anubhav Gupta: Of course, yes. Apart from Dubai, Dubai has, of course higher working capital compared to India. But our Raipur plant should be more or less similar to what APL Apollo is.

Mayank Bhandari: And also from the Dubai plant, what is the visibility on the export ramp -up whether it's from the Indian plant?

Anubhav Gupta: Right. So Idea to go to Dubai and put up the plant is to expand in the Middle East market, plus the international markets of U.S., Europe, etcetera, right? The strategy here is, first, we wanted to install and commission all the 4 mills, which happened like just 2 weeks ago. In fact, just a week back our fourth mill was commissioned last week only.

And now the sales team is all out in the market, right, booking orders for those mills, promoting the product because this 300 by 300 die of size, we are amongst the only -- we are the only company in Dubai, which is offering this size, right? So ramp -up will happen. Ramp -up will happen. Our strategy is that by FY '27, right, we should be able to utilize all 300,000 ton available capacity to achieve our sales volume.

Mayank Bhandari: Okay. And sir, if I were to look at the presentation, in the applications, on Slide 45, you have given certain ongoing inquiries. And it says that 220,000 tons of heavy structural steel tubes are required for about 42 million square feet visibility. Just to understand it better, if I arrive at per square feet number, of almost 50 kg per square feet, would it be a correct metric to understand this?

Anubhav Gupta: 5 kg per square foot.

Mayank Bhandari: 5 kg per square foot.

Anubhav Gupta: Yes, that's right, 5 kg per square foot.

Mayank Bhandari: So just -- this is 5 kg per square foot for, let's say, higher of application, which is data center, aviation. What would be for different segments? Will it be different to... ?

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Anubhav Gupta: Yes. So it depends on the load of the structure, right? For data center, the consumption could be as big as 20 kg per square foot. For a plain vanilla warehouse, the consumption could be 1.5 kg per square foot. But on an average, the high -rise building of, say, 5 -story, 10 story, the consumption comes out to the 5 kg per square foot.

Mayank Bhandari: So this is average...

Moderator: Sorry to interrupt , Mr. Bhandari . May we please request you to rejoin the queue for any follow -up questions ? Next question is from the line of Abhinav from Standard Chartered Bank .

Abhinav : Just wanted the breakup for APL Apollo building for sales volumes and EBITDA in Q1?

Anubhav Gupta: No. See I mean we have not given the absolute number, but we have told you the capacity available and the utilization level. So please calculate basis that.

Abhinav : So -- but in that 94,000 volume you have given for Raipur and Dubai. So Raipur would be how much out of that volume?

Anubhav Gupta: 90%.

Abhinav : Okay. And the utilization that we are calculating is it on 1.1 million or 1.5 million tons?

Anubhav Gupta: 1.1. for Raipur and 0.34 Dubai.

Abhinav : Okay. And the INR500 crores to INR600 crores capex that you mentioned for the 3 plants, what is the amount which has already been incurred, the expense?

Anubhav Gupta: So INR500 crores is our receivable capex . We have -- as of now, we have made payments -- like we are in process of making payment for Siliguri land and Gorakhpur land, right

? Once

land is in our possession, then the capex for the plant and building, et cetera, will go. So put together, we must have spent around INR200 crores to INR250 crores for these plants.

Abhinav : Okay. And in our previous quarter presentation, you had given a breakup for the market share for the next 8 players as well. So just wanted to know the player 2 and 3 that we are mentioning here 10% market share from ancillary business and for oil and gas -focused businesses, who are the competitors, which have part 10% each, player 2 and player 3?

Anubhav Gupta: We'll take this offline, please?

Abhinav : Okay. Sure.

Moderator: Ladies and gentlemen, we will take our last question from the line of Sailesh Raja from B&K Securities.

Sailesh Raja: I have 2 questions to ask. First is on, what was our total outsourcing cost in FY '24? In future, any plans for shifting these outsourcing it times to in -house and trying to bring down the cost?

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Like in cold rolled product, we were buying it from steel companies and now we are having a separate line for the lower bids, which don't down our cost significantly. So in similar lines, is there any scope for us to bring down the cars and having it in -house?

Anubhav Gupta: So Sailesh, as of now, we are not doing any outsourcing job for finished goods, okay? It is 0 today because we are yet to utilize our own capacity. So there is no point of going on outsourcing model as of now. Once we hit our own 5 million ton capacity utilization, then we will see if it makes sense to go more asset -light and look for outsourcing jobs. But I think that is still 1 to 2 years ahead of us from today, right, unless we sell 300,000 -- 350,000, 400,000 tons for 2, 3 consecutive months, right, we are not looking for any outsourcing job.

Sailesh Raja: Okay. In color -coated sheet, we do aluminium coating and do color coating also, both these process are currently outsourced?

Anubhav Gupta: Say it again?

Sailesh Raja: In color -coated sheet, we do aluminium coating and also do color coating. So both these processes are currently outsourced?

Anubhav Gupta: No, no, it's all in -house. And it's not aluminium , it's aluminium zinc, Aluzinc. It's a combination of aluminium and zinc. It's all in -house. So the outsourcing what we did, let me rehash that. The other expense, which I mentioned was we -- one is a tube order, right? It's a 12-meter tube, which goes for a solar structure, right? And we have to do -- or did galvanization. So our zinc baths , own zinc tanks, what we can maximum do is 8 -meter, right? So above 8 -meters, we will send it small units near our plant for outsourcing job. So this is only for that product. There is no other job work, which we do for any segment or any client. It's specifically for that solar structured order.

Sailesh Raja: Okay, okay. Got it. My second question, could you please talk about the exports business opportunity for the high dia tube, so 300 plus 300, 500 plus 500, global key players are making INR15 EBITDA. And considering our cost competitiveness, larger capacity, and we have presence in wide product size range from 300 plus 300 to 1 ,000 plus 1 ,000. So what is our plan to increase the volumes for the high dia tubes in the overseas market?

Anubhav Gupta: Right. So for this, the game plan i s that first, we installed 300 by 300 in Dubai, which started last week only, right? Now the whole world knows that in Dubai, we have this mill, right? We have already started booking orders for this segment, right? Now with 300 by 300, we are also selling 500 -- we are also promoting 500 and 500 from India, right?

So as a combo, 300 by 300 from Dubai local and 500 by 500 from India, now our customers

know that we have this segment, so yes, it has a strong potential, if you ask us, okay? It needs promotion. It is awareness, okay, which we are curren

tly working on. And I think -- I mean, if 300 x 300 mill, we are able to utilize it like completely better or sooner than expected, so I mean, if market requires, we may install 500 square in Dubai as well, right?

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So I guess opportunity is there, right? Almost 40 million ton of steel pipes is traded ex India and China, right, globally. Okay. So as a plan, we first went ahead with 300,000 ton capacity, right, which is like around 3%, 4% market share. So I guess as we see the ramp -up from Dubai, we will keep on installing high value -added products, including high dia pipe mills, right? But let's see how the existing mill performs, how the existing plant performs. Once we have green shoots visible, we will not stay behind from putting up the capacity.

Sailesh Raja: In tonnage terms, how much we are doing in exports?

Anubhav Gupta: I'm sorry?

Sailesh Raja: In tonnage terms, how much we are doing in exports?

Anubhav Gupta: So it's around 100,000 tons.

Sailesh Raja: Okay. So any target we have in next 2, 3 years?

Anubhav Gupta: It will be combination of like what we do from Dubai and India. So Dubai, we have to ramp up to 300,000 tons anyways, right? And India, let's see, 100,000 remains the same or some cannibalization will also take place. So let's see.

Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for the closing comments.

Anubhav Gupta: Thank you, everyone. Again, special thanks to Ambit for hosting us, and look forward to see you for next conference call. Thank you so much. Have a nice day.

Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

## Call: Aug 2024

14th August 2024  
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Scrip Code : 533758

Re: Transcript of the Conference Call held on August 12, 2024

Dear Sir/ Madam,

With reference to our letter dated 1st August 2024 intimating you about the conference call with Analysts and Investors held on August 12, 2024 , please find attached the transcript of the aforesaid conference call.

This above information is available on the website of the Company.

We request you to kindly take the above information on your record.

Thanking you

Yours faithfully

For APL Apollo Tubes Limited

Deepak C S  
Company Secretary  
M. No.: FCS -5060

Encl: a/a

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MANAGEMENT : MR. SANJAY GUPTA – CHAIRMAN AND MANAGING  
DIRECTOR – APL APOLLO TUBES LIMITED  
MR. DEEPAK GOYAL – DIRECTOR , OPERATIONS –  
APL APOLLO TUBES LIMITED  
MR. ANUBHAV GUPTA – CHIEF STRATEGY OFFICER –  
APL APOLLO TUBES LIMITED  
MR. CHETAN KHANDELWAL – CHIEF FINANCIAL  
OFFICER – APL APOLLO TUBES LIMITED

MODERATOR : MR. KUMAR SAUMYA – AMBIT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to APL Apollo Tubes Limited 1QFY25 Earnings Conference Call, hosted by Ambit Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kumar Saumya from Ambit Capital. Thank you, and over to you, sir.

Kumar Saumya: Thank you, Yusuf. Good afternoon, everyone. Welcome to the First Quarter FY '25 Post Results Conference Call of APL Apollo Tubes. From the management, we have with us, Mr. Sanjay Gupta, Chairman and Managing Director; Mr. Deepak Goyal, Director, Operations; Mr. Anubhav Gupta, Chief Strategy Officer; and Mr. Chetan Khandelwal, Chief Financial Officer.

Now I'll hand over the call to the management for opening remarks. Post which, we will open the floor for Q&A. Over to you, sir.

Anubhav Gupta: Thanks, Kumar, and thanks to Ambit Capital for hosting APL Apollo Tubes for its quarter 1 FY '25 earnings call. And thanks to all the participants who have joined to attend this call. I welcome, everyone, and wish you a pleasant day.

What a start to the year for our company, with the steel prices in the reversal mode after a gap of 4 years. If you remember, we have been talking about this all the time that in India, the steel price inflation environment has to reverse. The prices have to come at par with the global steel prices, and it got triggered in the last 4 or 5 months with the commencement of new upstream steel capacity, which hit the market in December of 2023. And in the anticipation of new capacity, which is going to hit the market over the next 2 to 3 years. So as we are talking, steel prices are already down by INR3,000 per ton from the recent highs. And if we compare it with last year, they are down by almost INR7,000 -INR8,000 a ton.

This benefits APL Apollo in 2 ways. Number one is that our company is India's largest steel buyer. So there's -- all the incremental capacity, which is coming in the market, it gives APL Apollo a better negotiation power in front of those steel suppliers. Plus, as you all know that our finished goods replace conventional inefficient construction products like secondary scrap steel, wooden structures, aluminium, rebars, cement and concrete, steel angles and channels, long steel products.

With the lower input raw material cost, the affordability for our product as well as the acceptance for our product improved significantly. And we are glad to share that, that environment of deflationary steel prices is already here and there's a visible pretty strong for the next years as new capacity keeps on coming in.

At the same time, the falling steel environment brings its own challenges like industry destocking, heavy discounting in the short term and minor inventory write-downs as well. So

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we have geared ourselves to play on a strategy, short-term pain and long-term gain. Our assumption is that steel prices can further go down by INR3,000, INR4,000 a ton and whatever fall has to happen, it will happen by Q2, and we'll see all the pain from July to September months, after which second half should be pretty solid.

Anyway, our current focus is to maintain the sales volume momentum, which we gained in quarter 1 with a 721,000-ton sales volume. We are not overly concerned about margin expansion in the short term because we know that we have a lot of operating leverage benefits that will start coming into play as we increase our utilization levels.

Coming to quarter 1 performance, I think what looks a bit weaker

is our EBITDA spreads.

Now the reported EBITDA of 4,183 per ton would have been slightly higher by 150 per ton. It didn't happen because we booked a notional expense on account of ESOP policy in Q1 plus we spent some extra money on brand campaign because we wanted to launch a few products, so that's nonrecurring in nature.

One data point we would like to highlight is the expansion in our gross margin spreads. It improved INR335 per ton on Y-o-Y basis and INR442 per ton on a Q-o-Q basis. This does reflect that because our new products from Raipur and Dubai plants are giving us better product mix. That's why our gross margin is expanding, although it is not visible in the EBITDA spreads yet because of operating leverage that is yet to play out.

Just to point out our Slide 19 in the presentation, which shows the potential profitability and

ROCE profile, which our company can achieve with the 100% utilization levels. We have mentioned a conservative EBITDA of INR5,000 per ton. Please understand that we have not lowered our guidance.

It is just the demonstration that even at 5,000 per ton what kind of ROCE our company can generate at a foreseeable rate. Now please allow me to share the progress in our Raipur and Dubai plants. In Raipur, we have 4 products capacity with capacity of almost 1.1 million tons. Out of these 2 are highly innovative and 2 our value-added products.

Now coming to the heavy structural segment, where the utilization levels are around 58%. For roofing sheet our utilization levels are around 89%. For super-light structural, our utilization rate is 52%. And for coated thicker sheet, our utilization level is 48%. On overall basis, the Raipur plant is running at 61% utilization rate. Just to highlight again that 1.1 million ton of capacity is our sellable capacity, not the nameplate capacity. That's how we rate capacity for each of our plants and at the company level as well.

Dubai has 4 lines, which are capable of manufacturing products starting 15 -millimeter by 15 -millimeter till 300 -millimeter by 300 -millimeter. Two lines got commissioned last year and 2 lines was commissioned just in the last few weeks. So ramp-up is pretty strong as we speak now. With the total current capacity of 300,000 tons, the utilization level for Dubai in quarter 1 was around 30%. But since the 2 new mills just got commissioned, so utilization levels will improve significantly over the next few quarters. Now if you look at the overall levers for our sales volume in the coming quarters, there are 3, which we can see through.

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Number one is the stability in input raw material prices, which will bring an element of restocking in the channel, which will boost our volumes. Number two is that we shall be taking market share from the secondary scrap steel because now the pricing gap between our products and the scrap steel pipe is like 5%, which used to be 20% in the last 15 months. So we will definitely take market share from this segment, which has become an equal sized industry compared to our addressable HR-coil tube industry.

Third is that post monsoons and budget allocations, the construction sector should start doing well in India from the both government and private side. So we expect that Q2, despite these challenges should be better than Q1 and second half should be significantly better than the first half. And based on these factors, we are confident that we should be doing 3.2 million tons of sales volume for FY '25, which is in line with our guidance for this year.

As far as the margin is concerned, Q2 should remain under pressure as there is a lot of uncertainty still in the steel upstream sector. How the prices are going to settle down. The dealers, the channel partners, the distributors, the retailers, they are still afraid of stocking the material, so we need to stick to our strategy of discount

ting and gaining the volumes.

And we don't know the -- how deep steel pipe correction could go from these levels, so we will see if there are any minor inventory write-downs also in quarter 2. But whatever has to happen, we believe that Q2 will bottom out which will give a very clean slate for growth to our company from October month onwards. And anyways, the levers for our margin expansion are many, like, number one, the better product mix as our gross margin splits are increasing quarter-on-quarter anyways.

Number two is operating leverage gains with better utilization level in Raipur and Dubai plants. Number three is better pricing for our general products as the price gap between scrap steel and our product is reducing. So we may have better pricing as well in the standard products. Number four is the better negotiation power to buy steel from the steel mills in the country.

Number five is lower brand spends for the rest of FY '25. Whatever were the major spends, we finished in Q1. And number six is our own continuous drive to keep on working on cost rationalization, be it power, steel wastage, consumables rate, etcetera, day in, day out, we are trying to work on these cost elements and bring them down.

Lastly, if you look at our working capital for Q1, it's at 3 days, so there is a slight increase in the net debt position for the company. However, we should remain near net debt 0 position throughout FY '25 with surplus cash being visible on balance sheet from FY '26 onwards. And just to complete that our expansion plan for 5 million ton capacity in the next 12 to 15 months is on track. We are going to add 3 new plants now, small plants, which is part of our regional penetration strategy.

One is the Siliguri to cater to East market, which we have highlighted. And 2 new plants, one in Gorakhpur and one in Ahmedabad also, we have planned to bring them online. Gorakhpur is just to cater to the Eastern UP market and Bihar and Odisha built, which can be catered well

through that geography. And Ahmedabad is -- Gujarat is a very good market for us. Right now we are servicing that market mainly from our north plant and Raipur plant. So to benefit for the freight, it makes sense to have a small plant in Ahmedabad as well. So the capex is in line with like INR500 crores, INR600 crores what we had guided last time that is required to take us to 5 million tons. We may not be adding new mills, all the new mills for these plants. A lot of these plants, we will see the shifting off existing mills from current plants to these new plants. So I guess, 4 quarters down the line, we will be sitting on 5 million ton sellable capacity, which we will -- which we target to utilize by FY '27. And the current capacity, sellable capacity, which is available with us is 4.5 million tons anyway. So idea is to produce 3 million -- 3.2 million tons this year and 20%, 25% growth from next year and post that to achieve 5 million tons by FY '27.

That's all from our side. Happy to take questions now.

Moderator: First question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit: Congratulations for a good set of numbers and a very challenging quarter. My first question is essentially on the -- if I look at other expenses, while you have explained in your opening comments that there were certain nonrecurring items over there. So other expenses and employee costs, both have gone up significantly. Now if you could quantify these nonrecurring items that possibly we could take out in our forecast going ahead. That would be very helpful.

Anubhav Gupta: Amit, the nature of other expenses, some expenses are nonrecurring and some are recurring as well. So I'll explain in detail. Number one is that employee cost, if you see in Q4 was around INR64 crores -- sorry, Q1 -- Q4 last year was around INR70 crores, right, which right now

is

INR80 crores, right? So INR5 crores impact is for ESOP, INR4 crores to INR5 crores is on account of ESOP, which is notional in nature. And of course, 7%, 8% increment we had in the company. So for the rest of the quarter, you should build in INR75 crores per quarter, okay? Then the other expense, which is higher and it is recurring in nature is the freight cost per ton. Freight, if you see has gone up because from Raipur, we are selling value-added products like roofing sheet and thicker-coated sheet. So here because of the volume is lower per truck load, the freight cost per ton goes up. But then you get paid from the customers as well, right? So our freight cost is always paid for. So that's another impact. Third is power and fuel also went up because in Raipur, we are still not on renewable power yet. We have signed up with these solar power producers.

So we will start getting the benefits as the plant -- when the plant will be ready. It will take around 9 months and then the power cost will come down. So that will settle down in FY '26, for sure. But for rest of FY '25, it will remain elevated. And then lastly, which needs to be highlighted is the brand spends. Q1 was a bit heavy. We paid for the actuals and the Siliguri brand campaign, which we undertook. So in the next 9 months, it will be significantly lower than what we had in Q1.

And lastly, there are also some charges, which we are getting for outsourcing jobs, right? Because we have developed a specialty tube for solar structures for the largest solar power producer in the country. And we have to get it coated, right, from outside. So those charges also come into other expenses. But of course, we do get our markup for that. That's why our MSR is going up.

Moderator: Mr. Amit, does that answer your question?

Amit Dixit: Yes, that does answer my question. I'm moving on to my second question now. Yes, so the second question is, you have mentioned that there are 2 plants that you are thinking of Gorakhpur and Ahmedabad. Gorakhpur particularly interesting location, and you mentioned about Siliguri as well, if I'm not mistaken. So just wanted to understand the configuration of these plants, whether they will be also on DFT and what kind of products do we intend to produce from these plants? And since you are shifting some of the capacity lines, so capacity -- so how will the capacity go up to 5 million tons. Just wanted to understand that.

Anubhav Gupta: So Amit, see, I mean we want to cater to both the markets. Like if you take, say, Gorakhpur and Ahmedabad. So structural steel tubes, right, we cater to 2 segments. One is square and rectangular. Second is circular, right? Of course, circular -- square and rectangular are a major

proportion of our sales volume. So any mill, which is going to produce square and rectangular, it has to be DFT for us, right? And for circular, we must install the conventional one, okay? Each of these plants will be having capacity of 200,000 tons initially, right? And some of the mills from our Bangalore plant and old Raipur plant, we will move to these locations and 2 mills, 3 mills, we will order new as well, right? So it's a mix of everything. The objective to achieve here are two: number one, local penetration, regional penetration, better servicing; and second is to lower the freight costs.

Amit Dixit: And in terms of products, we will producing everything, whatever -- I mean, we be producing - will there -- is there a thought process to produce sheets also because that region might have the color -coated 10 -gauge sheets that you generally produce at Raipur?

Anubhav Gupta: No, so these are tube plants, Amit. We are yet to decide on strategy for expanding capacity for roofing sheets or thicker -coated sheet. But in our grand plans of 10 million tons, right, these products don't have too much contribution.

Moderator: Next question is from the line of CA Garvit Goyal from Nvest Analytics Advisors LLP.

CA Garvit Goyal : Just one question on the EBITDA per ton. Like you guided for 3.2 million tons volume. What is the EBITDA per ton guidance for this year?

Anubhav Gupta: So see, I mean, Q1, as you can see, is around INR4,200. Q2, we are not yet certain, right? It will depend on how the upstream steel prices behave, but our endeavor will be to at least match what we did last year if it not improve that. I think on -- during the October investor call, we will have a better idea of EBITDA per ton.

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Moderator: Next question is from the line of Gagan Deep from Nvest Analytics Advisors LLP.

Gagan Deep : Sir, my question is already answered.

Moderator: Next question is from the line of Sneha from Nuvama.

Sneha: Would it be possible for you to give the breakup of capacity by FY '25 till the time we reach 5 million tons. Where all we will be having capacity? And what all will be the capacity since you will be making some shift from other plants to new plants like Gorakhpur and Ahmedabad like you mentioned?

Anubhav Gupta: So Sneha, we have given product -wise capacity in our presentation. There is a slide of de -commoditizing product portfolio. You will find 5 million tons of proposed capacity. It is on Slide 8.

Sneha: Sir, do we have plant -wise capacity also by FY '25 there?

Anubhav Gupta: Of course, but we don't share that.

Sneha: Understood. Secondly, a more broader question, Anubhav, how are we planning to address the gap between secondary and primary steel. From a couple of quarters, we've been seeing that one of the reasons for our volumes not being that great, especially with general products is that gap widens between the secondary and primary steel? Of course, it's narrowed down currently to about INR3 to INR4 -odd. But generally, historically, we've be seeing this to be a major reason for our volumes not doing that great. How are we addressing that -- this issue and what's the confidence of strong volume growth in H2, given we don't have an outlook right now between the primary and the secondary steel price gap?

Anubhav Gupta: Sneha, you need to look our portfolio in 2 categories . One is standard general commodity, which is 35%, 40% of my portfolio. The rest is value -added and super value -added products, okay? So my value -added and super value -added products, there have no threat from scrap steel tubes, right? Because scrap steel tubes are incapable of addressing that application, what our products are doing, right? So the completion, which we face from scrap steel tube is general, right? And this is one segment, if you look from FY '20, we have not been able to grow this segment, right? From FY '20, if you see my general sales used to be like 0.9 million tons and last year, we did 1.1 million tons.

So there is hardly any growth, right, in general segment. And this is because of availability of low-grade scrap steel tube product, which is available in the market, where the manufacturers and the dealers are taking benefit of price gap, right? And why this happened in last -- over the last 5 years is because HR -coil prices in India, they have been on the inflationary mode, which was triggered by corona, right, in 2020.

Then in 2022, Russian -Ukraine war, which triggered further the steel prices to go up globally. HR-coil, which used to be INR35,000, INR40,000 per ton commodity before corona, it went up to like INR65,000, INR70,000 per ton by mid of 2022, right? But the cost of production for

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scrap steel, that remained stagnant. So that's why the gap, right, it used to be -- like before corona also the gap used to be INR5 per kg, but it's shot up to INR20 per kg. And that's where these small steel melters in Raipur belt, in Man

di Gobindgarh belt, in

Chennai belt, they popped up because there was this arbitrage, right? But we were of the view that the steel price inflation is not sustainable, okay? And we are seeing that being reversed already. The second factor you need to understand is the cost of production for blast furnace steel versus cost of production for scrap steel.

So you can check with any steel expert in the country that the cost of production for blast furnace steel is lower than the cost of production for scrap steel, right? So blast furnace steel manufacturers have the window, okay, to still lower the prices, but scrap-steel producers, they don't have the window available to lower the prices. right? So whenever -- like I said, that the gap is already down to INR3,000, INR4,000 a ton, right?

And it can further go down by September as the new capacity in upstream steel sector keeps on hitting in the market. So we are fairly confident that HR coil will substitute the scrap steel do.

And then we are also taking initiatives like making the consumer aware about the poor quality of scrap steel what they are using, right? Because ultimately, structural steel, whether it is for handrails, for fencing, for doors, et cetera, right, it is not of a very good quality, there is always a chance of an accident, right? So we are making the consumer aware.

Secondly, the level of pollution, which these small melting shops, they pollute in mining, that's also very, very hazardous, right? And the government, given the fact that they are pro-climate, they are taking all the steps to improve the environment in the country. So I guess, at some point, they may also take this step to halt this highly pollutive industry. So yes, I mean, we are fairly confident that as HR-coil prices remain stable around INR45,000, INR48,000 per ton, we have a very good chance to take the market share back from our scrap steel segment.

Moderator: The next question is from the line of Kunal Kothari from Centrum Broking.

Kunal Kothari: My specific question with regard to the Apollo TriCoat. In this, on a year-on basis, our volume are stagnant, but on the margin front, it is down significantly. The trend that we are seeing in this particular segment for last year, it's just a downward slope. So can you just make me understand what is happening in this particular segment? Why we are seeing such a huge downward slope, which is happening continuously?

Anubhav Gupta: Actually, you need to tell me the product segment now because TriCoat products got divided into 2 categories: One is light; and second is rust-proof. So which segment are you catering to?

Kunal Kothari: Rust-proof.

Anubhav Gupta: Okay. So yes, rust-proof is our zinc-coated pipes, which are mainly sold in the coastal markets, right? There the standard black pipe doesn't work because of the moisture in the environment.

So the fabricators, the fabricators need coated products, right? So that's where we sell our rust-

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proof. Now this segment, if you see, it has a pressure of aggressive sales growth because right now the market is constrained towards coastal markets only, right?

Although we are making a drive to expand this market in non-coastal markets as well. But it's a long drawn process. And Sanjay, do you want to add to this? I guess, I mean, as the market expands for this product beyond coastal markets, we will see the growth going to like 15%, 20% levels. But right now we are able to take the growth whatever the coastal markets are growing at a natural rate.

Kunal Kothari: I understand. But any specific reason that we used to have margins INR7,000, INR8,000. Then last year was around INR6,000 to INR6,500. Now it is below INR5,000 per ton? Like my question is, are we losing the competition to other players in the rust-proof segment? What is the core reason for such a steep decline?

e?

Anubhav Gupta: Okay. So if you look at -- if you compare it with the margins, which were like 2 to 3 years back, INR7,000 to INR8,000 per ton, at that point of time, what was happening was that in India after COVID, the Indian steel producers, they started exporting coated coils, okay, in international markets. So that brought the short supply situation in India, right?

It benefited Apollo because we had our in-house galvanization plants, okay. We used to buy their HR-coils and galvanize those coils and then converting those coils into coated-tubes. When there was a shortage of galvanized coils in the country, our competitors were buying

expensive coils from the market. And then they were converting the tubes, right? So we had a very good arbitrage for 3, 4 quarters in that segment.

And we have highlighted that in our investor calls earlier as well, now that situation got course corrected, right? Now the galvanized coil prices have come down in India. And the arbitrage, the benefit what Apollo has for having the in-house galvanization unit, so that's now at fair, at parity with our competitors. And of course, yes, competitors have also put up the galvanization mill, right?

So yes, I mean, it's a competitive market, but we are maintaining our market share of 65%, 70%. If you do some channel checks in strong coastal markets like Kerala, Mangalore belt, Goa belt, right, we continue to have a line market share there. But yes, I mean, to grow aggressively in this segment, we need to create this market beyond coastal markets, which we are working on.

Kunal Kothari: Okay. Second question is in regard to our overall capacity. You mentioned that currently, we had around 4.5 million tons, right? Firstly, like from previous calls, what I remember is that we were at 3.8 million tons. So this around 0.6 million where it has been added and additional 0.5 million are you going to catch up in the next 12 months, so where it is going to come?

Anubhav Gupta: Right. So this is across the categories, right? Actually, the data point of 3.8 million tons in presentation is old one, right? Right now we are almost near 4.5 million tons and it is across the categories. We can share the updated product-wise list to you separately.

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Moderator: The next question is from the line of Aditya Welekar from Axis Securities.

Aditya Welekar: So my question is with respect to EBITDA per ton shaping up for FY '26. How do you see that? And this is the context of our value-added product share. So how do you see our VAP share increasing in FY '26 in the context of any market creation? Any visibility on the ground that you see that the VAP share will increase and that will aid our EBITDA per ton going forward?

Anubhav Gupta: So definitely, if you look at our VAP share from Dubai and Raipur plants, right, as those plants are ramping up, we have been giving the data point of utilization levels, which you would appreciate that quarter-on-quarter the utilization levels are going up and our gross spread per ton is also improving quarter-on-quarter.

So we are continuously working to create the market for innovative products from Raipur whether it is for the heavy structural pipes or the thicker-coated sheet, which are like the 2 most innovative products from Raipur. And Dubai also with introduction of sizes up to 300 x 300 mm, the mill commissioned last week only. We are seeing a very good order inflow for that mill, in particular. So yes, I mean this 65% of our portfolio, that's our crown, right? And we continue to work to improve the sales in this segment.

Aditya Welekar: Will it be fair to assume EBITDA per ton reaching near INR5,000 per ton in FY '26?

Anubhav Gupta: So see, I mean, if you look at the sheet, right, where we have mentioned like how we can reach INR5,000 per ton, right? It's a question of like how many plants are ut

ilized and what kind of

operating leverage benefits I get, right? But if market becomes stable, right, in Q2, which we expect, right? Q3, Q4, we start doing 800,000 ton -- 850,000 ton kind of quarterly volume. Then yes, APL is capable of throwing INR5,000 per ton EBITDA during those quarters by FY '26.

Aditya Welekar: Understood. My second question is with respect to the net debt. So I mean, what I understand is that the working capital should come down because the steel prices have gone down and that should not be the reason for increase in the net debt. Is it correct? Or is there anything else which I'm missing here?

Anubhav Gupta: So see, I mean, last quarter, our working capital day was 0, now it is 3, right? So it's a very minor movement, right? There are multiple factors like you have to collect payments from your clients, some of the projects where there is like 4, 5 days delay, that's all, right? And secondly, to answer your question on inventory, yes. So we will -- you will see the devaluation in inventory going forward because prices have fallen recently, right? So on the balance sheet, it is on an average basis. So as we close September balance sheet, you will see -- you should see some devaluation in the inventory levels.

Aditya Welekar: Okay. And that should drive our net debt down to 0 level, again?

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Anubhav Gupta: Like I said, INR1.5 billion on our balance sheet size of like INR50 billion, it's almost 0. And we will stick to net zero balance sheet for the rest of FY '25. Yes, I mean, but it should be near zero.

Moderator: The next question is from the line of Kunal Vora from White Whale Partners.

Hardik Doshi: This is Hardik Doshi. I just wanted to check, in your recent presentation, it shows that in FY '24, the structural steel size for the scrap steel is about 4.5 million. And in the previous -- in 2023, it was 3.6 million. So is it correct that the scrap steel has grown by 25% in FY '24?

Anubhav Gupta: You'll have to repeat the question, sorry.

Hardik Doshi: Yes. So in your recent presentation, when you're talking about the structural steel tube market, right, you're talking of 9 million tons, out of which 4.5 million is scrap steel based tubes. The same presentation previously indicated that it was 3.6 million in FY '23. So it seems like the scrapped steel -based tubes is grown by about 25%. So I just want to check if that is actually the case.

Anubhav Gupta: Yes, that is right. That is right. As I mentioned earlier that the growth in the structural steel tube segment got taken up by the scrap steel producers because of this arbitrage they had, yes.

Hardik Doshi: Yes. Okay. And so now going forward, you were expecting by 2030 4.5 million to kind of degrow to 4 million.

Anubhav Gupta: The logic says it should because outside India, there is no country where you have this product available. It's only on government behest or I don't know whose behest that this industry is surviving and thriving as of now. But when the blast furnace steel prices are lower than scrap steel prices, then why should this industry do well. The logic says it should not.

Hardik Doshi: Okay. Second question I had is, you mentioned that the spread has now come off to 5%. Is that as of now as per plan? And is there any seasonality related to monsoons for the spread? Or there is no connection between that.

Anubhav Gupta: For which product?

Hardik Doshi: For the scrap steel versus your HR -coil, the differential has come down to 5%, I believe that's what you mentioned, right?

Anubhav Gupta: Because the new capacity in HR coil, the new capacity in the blast furnace steel has come online since December of 2023.

Hardik Doshi: Yes.

Anubhav Gupta: And NMDC Steel mill started its HR -coil mill. JSW started its mill in Bellari. Now in next 6 months, their Dolvi plant will start. Tata Steel's Kalinganag

ar plant will start. Jindal Steel

Power will start its second plant, right? ArcelorMittal Nippon Steel will start its HR -coil mill,

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if not this year, next year. So we have a very strong visibility for the next 2 years that India will keep on witnessing steel capacity expansion.

See from 2018 to 2023, what we have heard, India steel capacity is 120 million tons, 120 million tons, 120 million tons, 120 million tons, 120 million tons. It has not increased. What has happened is the consolidation of the sector. Essar mill got acquired. Bhushan Power got acquired. Bhushan Steel got acquired. Monnet Ispat got acquired. A lot of mills, which got sick, they were acquired, they got consolidated, right?

And it takes 5 years for any greenfield plant to come online. JSW, which was expanding from 2018, Tata Steel, which was expanding from 2018. So those plants are now coming online. So from 2023 December till 2025 December, HR -coil capacity from blast furnace should increase by 50% in the country, right? And when cost of production for blast furnace steel is lower than cost of production for scrap steel, then why should scrap steel be sold, number one.

Number two, when scrap steel production is such a highly pollutive industry, why it should survive. Number three, when it is such a poor quality product, why government should allow this to survive, right? So logic says that this segment should not be growing, right, going forward. Let's see.

Hardik Doshi: Okay. Got it. My last question is within the organized space, your competitors have announced a lot of expansion plans as well. So how do we plan to kind of keep up our differentiation market share? And do we command a pricing premium to our competition? And how do we plan to sustain that?

Anubhav Gupta: It's a good question. It will be good for everyone of course. If you could highlight what kind of players you're talking about, who are expanding the capacity, so that we can answer the question accordingly. Because all these steel pipe producers, right, no one is as unique as Apollo in terms of focus on the structural steel tube segment and that too from a HR -coil. So you need to see that if you're talking about someone who is good in API pipes, oil and gas

pipes, water transportation pipes or in scrap steel pipes, then he is not by complete. My competitor is a manufacturer who is using blast furnace steel from top 5 producers in India and he is making structural steel tubes, right? Where I command, if not 90%, at least 75% market share. Of course, that's our gut feeling. We can't put this in writing. But if we talk to 200 of our top customers, top dealers, we get this sense.

Hardik Doshi: Okay. I mean I was talking about guys like JPL, and many of these other guys that were -- have announced.

Anubhav Gupta: So again, JPL is a scrap steel tube producer. Recently, they acquired a steel melting unit called Nabha, something, right? So it's a scrap melting shop, right? So again, I mean, the point I'm trying to make is that they may do well in their segment and we wish everyone a good luck. But you need to see that what expansion they are doing in HR -coil tube segment. And in structural, not water transportation, not oil and gas, not automotive precision tubes, but structural steel tubes.

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Moderator: The next question is from the line of Mayank Bhandari from Asian Market Securities.

Mayank Bhandari: Sir, my first question is on the number we have given on Slide 19. APL's Q1 FY '25 working capital was from minus INR25 crores to INR456 crores is at full utilization. Can you explain that much of jump?

Anubhav Gupta: Yes. Yes. So even this, we have taken conservative that for APL, we have taken 5 days of net working capital. And for new plants, we have taken around 7, 8 days, 10 days of combined wor

king capital. So again, these are conservative numbers, okay, not in line with what we are at today. Similarly, like we have conservative EBITDA number as well of INR5,000 per ton. So yes, I mean, this is just to demonstrate even at converting numbers, what we are going to achieve. So yes, I mean, as per current run rate of working capital, the working capital requirement will decline significantly.

Mayank Bhandari: So the newer projects, the working capital requirement is lower is what...

Anubhav Gupta: Of course, yes. Apart from Dubai, Dubai has, of course higher working capital compared to India. But our Raipur plant should be more or less similar to what APL Apollo is.

Mayank Bhandari: And also from the Dubai plant, what is the visibility on the export ramp -up whether it's from the Indian plant?

Anubhav Gupta: Right. So Idea to go to Dubai and put up the plant is to expand in the Middle East market, plus the international markets of U.S., Europe, etcetera, right? The strategy here is, first, we wanted to install and commission all the 4 mills, which happened like just 2 weeks ago. In fact, just a week back our fourth mill was commissioned last week only.

And now the sales team is all out in the market, right, booking orders for those mills, promoting the product because this 300 by 300 die of size, we are amongst the only -- we are the only company in Dubai, which is offering this size, right? So ramp -up will happen. Ramp -up will happen. Our strategy is that by FY '27, right, we should be able to utilize all 300,000 ton available capacity to achieve our sales volume.

Mayank Bhandari: Okay. And sir, if I were to look at the presentation, in the applications, on Slide 45, you have given certain ongoing inquiries. And it says that 220,000 tons of heavy structural steel tubes are required for about 42 million square feet visibility. Just to understand it better, if I arrive at per square feet number, of almost 50 kg per square feet, would it be a correct metric to understand this?

Anubhav Gupta: 5 kg per square foot.

Mayank Bhandari: 5 kg per square foot.

Anubhav Gupta: Yes, that's right, 5 kg per square foot.

Mayank Bhandari: So just -- this is 5 kg per square foot for, let's say, higher of application, which is data center, aviation. What would be for different segments? Will it be different to... ?

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Anubhav Gupta: Yes. So it depends on the load of the structure, right? For data center, the consumption could be as big as 20 kg per square foot. For a plain vanilla warehouse, the consumption could be 1.5 kg per square foot. But on an average, the high -rise building of, say, 5 -story, 10 story, the consumption comes out to the 5 kg per square foot.

Mayank Bhandari: So this is average...

Moderator: Sorry to interrupt , Mr. Bhandari . May we please request you to rejoin the queue for any follow -up questions ? Next question is from the line of Abhinav from Standard Chartered Bank .

Abhinav : Just wanted the breakup for APL Apollo building for sales volumes and EBITDA in Q1?

Anubhav Gupta: No. See I mean we have not given the absolute number, but we have told you the capacity available and the utilization level. So please calculate basis that.

Abhinav : So -- but in that 94,000 volume you have given for Raipur and Dubai. So Raipur would be how much out of that volume?

Anubhav Gupta: 90%.

Abhinav : Okay. And the utilization that we are calculating is it on 1.1 million or 1.5 million tons?

Anubhav Gupta: 1.1. for Raipur and 0.34 Dubai.

Abhinav : Okay. And the INR500 crores to INR600 crores capex that you mentioned for the 3 plants, what is the amount which has already been incurred, the expense?

Anubhav Gupta: So INR500 crores is our receivable capex . We have -- as of now, we have made payments -- like we are in process of making payment for Siliguri land and Gorakhpur land, right

? Once

land is in our possession, then the capex for the plant and building, et cetera, will go. So put together, we must have spent around INR200 crores to INR250 crores for these plants.

Abhinav : Okay. And in our previous quarter presentation, you had given a breakup for the market share for the next 8 players as well. So just wanted to know the player 2 and 3 that we are mentioning here 10% market share from ancillary business and for oil and gas -focused businesses, who are the competitors, which have part 10% each, player 2 and player 3?

Anubhav Gupta: We'll take this offline, please?

Abhinav : Okay. Sure.

Moderator: Ladies and gentlemen, we will take our last question from the line of Sailesh Raja from B&K Securities.

Sailesh Raja: I have 2 questions to ask. First is on, what was our total outsourcing cost in FY '24? In future, any plans for shifting these outsourcing it times to in -house and trying to bring down the cost?

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Like in cold rolled product, we were buying it from steel companies and now we are having a separate line for the lower bids, which don't down our cost significantly. So in similar lines, is there any scope for us to bring down the cars and having it in -house?

Anubhav Gupta: So Sailesh, as of now, we are not doing any outsourcing job for finished goods, okay? It is 0 today because we are yet to utilize our own capacity. So there is no point of going on outsourcing model as of now. Once we hit our own 5 million ton capacity utilization, then we will see if it makes sense to go more asset -light and look for outsourcing jobs. But I think that is still 1 to 2 years ahead of us from today, right, unless we sell 300,000 -- 350,000, 400,000 tons for 2, 3 consecutive months, right, we are not looking for any outsourcing job.

Sailesh Raja: Okay. In color -coated sheet, we do aluminium coating and do color coating also, both these process are currently outsourced?

Anubhav Gupta: Say it again?

Sailesh Raja: In color -coated sheet, we do aluminium coating and also do color coating. So both these processes are currently outsourced?

Anubhav Gupta: No, no, it's all in -house. And it's not aluminium , it's aluminium zinc, Aluzinc. It's a combination of aluminium and zinc. It's all in -house. So the outsourcing what we did, let me rehash that. The other expense, which I mentioned was we -- one is a tube order, right? It's a 12-meter tube, which goes for a solar structure, right? And we have to do -- or did galvanization. So our zinc baths , own zinc tanks, what we can maximum do is 8 -meter, right? So above 8 -meters, we will send it small units near our plant for outsourcing job. So this is only for that product. There is no other job work, which we do for any segment or any client. It's specifically for that solar structured order.

Sailesh Raja: Okay, okay. Got it. My second question, could you please talk about the exports business opportunity for the high dia tube, so 300 plus 300, 500 plus 500, global key players are making INR15 EBITDA. And considering our cost competitiveness, larger capacity, and we have presence in wide product size range from 300 plus 300 to 1 ,000 plus 1 ,000. So what is our plan to increase the volumes for the high dia tubes in the overseas market?

Anubhav Gupta: Right. So for this, the game plan i s that first, we installed 300 by 300 in Dubai, which started last week only, right? Now the whole world knows that in Dubai, we have this mill, right? We have already started booking orders for this segment, right? Now with 300 by 300, we are also selling 500 -- we are also promoting 500 and 500 from India, right?

So as a combo, 300 by 300 from Dubai local and 500 by 500 from India, now our customers

know that we have this segment, so yes, it has a strong potential, if you ask us, okay? It needs promotion. It is awareness, okay, which we are curren

tly working on. And I think -- I mean, if 300 x 300 mill, we are able to utilize it like completely better or sooner than expected, so I mean, if market requires, we may install 500 square in Dubai as well, right?

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So I guess opportunity is there, right? Almost 40 million ton of steel pipes is traded ex India and China, right, globally. Okay. So as a plan, we first went ahead with 300,000 ton capacity, right, which is like around 3%, 4% market share. So I guess as we see the ramp -up from Dubai, we will keep on installing high value -added products, including high dia pipe mills, right? But let's see how the existing mill performs, how the existing plant performs. Once we have green shoots visible, we will not stay behind from putting up the capacity.

Sailesh Raja: In tonnage terms, how much we are doing in exports?

Anubhav Gupta: I'm sorry?

Sailesh Raja: In tonnage terms, how much we are doing in exports?

Anubhav Gupta: So it's around 100,000 tons.

Sailesh Raja: Okay. So any target we have in next 2, 3 years?

Anubhav Gupta: It will be combination of like what we do from Dubai and India. So Dubai, we have to ramp up to 300,000 tons anyways, right? And India, let's see, 100,000 remains the same or some cannibalization will also take place. So let's see.

Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for the closing comments.

Anubhav Gupta: Thank you, everyone. Again, special thanks to Ambit for hosting us, and look forward to see you for next conference call. Thank you so much. Have a nice day.

Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

## Call: Nov 2024

4th November 2024  
Electronic Filing

National Stock Exchange of India Limited  
"Exchange Plaza" Bandra -Kurla Complex,  
Bandra (E),  
Mumbai -400051

NSE Symbol : APLAPOLLO Department of Corporate Services/Listing  
BSE Limited  
Phiroze Jeejeebhoy Tower,  
Dalal Street, Fort,  
Mumbai -400001

Scrip Code : 533758

Re: Transcript of the Conference Call held on October 29 , 2024

Dear Sir/ Madam,

With reference to our letter dated 24th October 2024 intimating you about the conference call with Analysts and Investors held on October 29 , 2024 , please find attached the transcript of the aforesaid conference call.

This above information is also available on the website of the Company.

We request you to kindly take the above information on your record.

Thanking you

Yours faithfully

For APL Apollo Tubes Limited

(Vipul Jain )  
Company Secretary and Compliance Officer

Encl: a/a

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"APL Apollo Tubes Limited Q2FY25 Earnings  
Conference Call "

October 29, 2024

MANAGEMENT : MR. SANJAY GUPTA - CHAIRMAN & MANAGING  
DIRECTOR , APL APOLLO TUBES LIMITED  
MR. DEEPAK GOYAL - DIRECTOR (OPERATIONS ) , APL  
APOLLO TUBES LIMITED  
MR. ANUBHAV GUPTA - CHIEF STRATEGY OFFICER ,  
APL APOLLO TUBES LIMITED  
MR. CHETAN KHANDELWAL - CHIEF FINANCIAL  
OFFICER , APL APOLLO TUBES LIMITED

MODERATOR : MR. UDIT GAJIWALA - YES SECURITIES

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Moderator : Ladies and gentlemen, good day and welcome to APL Apollo Tubes Limited Q2F Y25 Earnings Conference Call hosted by YES Securities.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" then "0" on your touchtone phone. Please note that this conference call is being recorded. I now hand the conference over to Mr. Udit Gajiwala from YES Securities. Thank you, and over to you, sir.

Udit Gajiwala: Thank you. Good evening, everyone. On behalf of YES Securities, we welcome you all to the Q2FY25 Earnings Conference Call of APL Apollo Tubes.

From the Management side, we have today Mr. Sanjay Gupta – Chairman & Managing Director ; Mr. Deepak Goyal – Director (Operations) ; Mr. Anubhav Gupta – Chief Strategy Officer, and Mr. Chetan Khandelwal – Chief Financial Officer.

I'll now hand over the call to the Management for your "Opening Remarks". Thank you, sir.

Anubhav Gupta : Thanks, Udit and thanks to YES Securities for hosting us for our Earnings Call. Good evening, everyone. I welcome all of you to our quarter two FY25 Earnings Call. I sympathize with my analyst friends who are covering the building material sector and are attending 5th Investor Call today.

That a mind-blowing quarter we had in the Q2, our Q2 performance reminds me of a famous phrase 'The night is darkest just before the dawn'. Why I say this because we have been waiting for this time when inflation in the domestic steel prices seems to be over and the gap between our product and low-grade sponge iron made steel pipes has narrowed down considerably. Of course, the correction in steel prices brought rock on our profitability and our EBITDA spreads collapse to all time low. However, we are not discouraged by this at all and in fact, we are working harder to pounce upon the opportunity which has opened with the low base raw material costs. The gap between our product and sponge iron pipes is around 5% to 6% today and we can target additional market of 500,000 tons on a monthly basis.

Our products have also become affordable against wooden structures, aluminum profiles, rebars long steel products and steel angles and channels which is further expanding our universe. The existing pricing situation seems to be sustainable as there is not much room for steel prices to go down given the depressed profitability for the steel mills and at the same time steel prices should not rise further because the new steel capacity is coming online quarter-on-quarter basis, which will keep the steel prices under check. Henceforth, the volume trends in H2 should remain strong as we are confident for 3.2 million ton sales target for full year of FY25. Confidence also comes from the fact that our channel partners are still sitting on low inventory levels because there secondary sales are equally. The reason for all time low EBITDA spreads in Q2 were number one inventory loss of Rs. 2,000 per ton which even we could not stop because of Rs. 7,500 ton APL Apollo Tubes Limited

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steep fall in the steel prices. And that was back-to-back, so inventory which we were having on our books, we had to correct it and we also offered more discounts of Rs. 500 per ton to our customers with the falling steel scenario to push sales. 1 positive highlight was the operating leverage benefit of Rs. 100 per ton as our sales volume expanded on quarter-on-quarter basis.

Now, APL Apollo is ready with 4.3 million ton capacity, which we shall expand to 5 million ton by FY26. The residual CAPEX is around Rs. 3 billion to Rs. 3.5 billion, which will be easily funded from the internal cash flows. Our strategy

here is deeper penetration in the market with

the new Greenfield plants. Two plants are coming in Siliguri and Gorakhpur. This is to cater to the whole of East India, including the seven sister states and some opportunity in Nepal and Bhutan markets as well. We are also adding up a new plant in Bangalore for our lighter section where we feel that the existing capacities are fully utilized. From these three plants, we expect an additional market of around 1.5 million tons on an annual basis and we should be able to ramp up our volumes from these plants over the next 2 to 3 years.

Our thrust on innovation continues in structural field space with launch of specialized structures for the solar power industry. One product is pre-coated thicker sheet which shall replace existing galvanized sheets and another product we added to our portfolio was to cater to the solar tracker systems. We continue to make inroads in the heavy structural steel tube space as the usage of for tubular designs in heavy construction keeps on rising. Our tubular designs are now being

used in major infrastructure and real estate projects in the country. For next year, we maintain our sales volume guidance of 4 million tons and 5 million tons by FY27. The margin shall expand to normalized level of Rs. 5,000 per ton over the next 2-3 quarters and this margin should remain sustainable throughout FY26 on a quarter-on-quarter basis.

With this, we are done with our opening remarks, and we are happy to take questions.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. Our first question is from the line of Rahul Agarwal from Ikigai Asset Management. Please go ahead.

Rahul Agarwal: Sanjay, the first question was on steel demand supply. Could you please share your thoughts on what's really happening with overall global and India steel demand supply and your outlook on how should the prices actually behave? A bit more color on that will be helpful. That's my first question.

Sanjay Gupta: Good evening, Rahul. First of all, Happy Diwali to everyone. Well, the demand of the steel if you see the real facts, not very good. But somehow we are struggling from last two years with secondary and the primary steel prices is the huge gap between the primary and industry secondary steel. Price almost close to Rs. 12 to Rs. 15 per kg. Now it has come down to reduce to Rs. 3 almost close to Rs. 2-Rs. 3 per kg. This is a big boost in itself. If you see all the other sectors, our growth rate is almost close to 5% to 10%. There are chances of growth, so need to build up the capacity and we are very focused quarter-on-quarter 10% growth, and increase the APL Apollo Tubes Limited  
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target. Globally demand is in some places, like Middle East. Europe and US the demand has slowed down. Next month we are going to do much higher production close to 16,000 tons this month. All these things are good for us.

Rahul Agarwal: Sanjayji, net-net for the HRC pricing in India, what do you foresee, because ....

Sanjay Gupta: All need to understand, today HRC prices is close to Rs. 46,000-Rs. 47,000 per ton. There are not much chances of price correction too. Margins are in pressure also, steel prices are in pressure. There are no chances for it price higher anymore. It is going up and down. The price will remain same. In India the capacity of HRC is 1.5 million tons, like 2 lakh ton per month from Tata Steel, 2 lakh per month from NMDC Steel, 4 lakh ton from JSW Steel and 4 lakh ton from JSPL. Of the 12 lakh per tons capacity, hardly 2.5-3 lakhs capacity just started. 9 lakh ton capacity will start in the next 4-5 months. 2 lakh ton Tata Steel, 4 lakh from JSW and 2 lakh ton from JSPL. 8 lakh ton capacity will be built up and pressure from China is very high in overall market steel prices. But I feel the steel price of the I

India will be same but the secondary market, it is moving towards the primary steel.

Moderator: Thank you. Our next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Couple of questions. The first one is despite pushing volumes, the general structure segment we found that the contribution was negative. So, what explains that? Are we pushing volumes at the cost of margins and the realization? In that case, it could be counterproductive as we ramp up our capacity. So, that is the first question I have that how do we see this margin shaping up of this critical, I would say bucket, which is like 45% of your overall sales volume?

Anubhav Gupta: Amit, the EBITDA per ton spread was negative because of the inventory loss overall with the company, if we remove the inventory loss, it was pretty much profitable and going forward we don't expect further inventory losses. So, the EBITDA per ton in his particular category will recover to the previous level which we have been showing around Rs. 2,000 to Rs. 2,200 a ton.

Amit Dixit: I was asking what gives us confidence that the steel prices will not fall from here because what we have seen the Chinese stimulus, I mean the measures and the impact has been fairly, I would say muted at this point in time. Chinese exports have again come to 10 million tons odd. And last quarter also we said that now things, are the worst is behind us possibly. But although we said that Q2 might be a little bit here and there. But going ahead in Q3 also the demand that we saw is like 4% to 5% now in Q2. So, what gives us confidence that we will go back to this EBITDA per ton of 5,000 in 2-3 quarters?

Anubhav Gupta: Amit, no one will be more happy if fuel prices go down further from here. The question is can steel prices go down again Rs. 7,500 per ton in single quarter, answer seems to be no because company if you look at our performance for last 10 years, we have the cycle of steel volatility. Where in a single quarter steel prices swing by Rs. 2,000-Rs. 3,000 per ton very easily and APL Apollo Tubes Limited  
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we don't have inventory losses in every quarter. It is just in Q2 when there was such a sharp decline, Rs. 2,500-Rs. 2,000 month-on-month we saw the correction in the steel prices which we have not witnessed in the last 10 years. Even an efficient inventory churning company like

Apollo, right, which we always boast of, right, our inventory churn is like 25 days 15 times -8 times in a year . When we are churning inventory so quickly then two Rs. 3,000 per tonne fall or increase in steel prices in a quarter does not impact our profitability. But if steel prices were to fall off by Rs. 7,500 a ton in a single quarter, then it does impact our profitability . So, in quarter three we expect that steel prices could further go down by the same pace? I mean at one side we will be very happy because then I mean we will just eliminate the sponge iron Patra pipes, because right now the gap is Rs. 2,000 a ton and if steel prices , my base raw material goes down by like Rs. 6,000 – Rs. 7,000 a ton you can imagine the situation where I will be able to sell at such a lower price. Second point, we may not need to lower my selling price once steel prices go below Patra c oil price because I have almost 500,000 ton of monthly incremental market which I will take from sponge iron s steel pipe and even if my base for material is lower, I may not decrease my selling price . So, in fact my margin will go up in a situation when steel prices crash by Rs. 7,000 per ton in Q3 or Q4 and sponge iron steel prices are at similar levels. Sanjay Gupta: I also add to one point here. Today, the total structural to marketing of India is almost close to 5 million with the primary steel and for almost 6 million tons from the secondary steel. If the price go down wi

th secondary steel, nobody can supply the material to market other than Apollo. In the other segment, the second number player is just one tenth of our capacity. So, if the market requires 5 -6 lakh ton per month more material , Apollo also can give maximum one like 1 lakh - 1.5 lakh ton material per month to market. So, there we don't need to slash our price. Then our margins should increase.

Amit Dixit: The second question is on employee expenses. Last quarter you indicated that maybe they have picked off, but this time we saw again employee expenses increasing. So, what is the sustainable rate of employee expenses that we can see going ahead ?

Anubhav Gupta: Amit, the employee expenses for the Q2 is Rs. 870 million. Out of this again Rs. 70 million is for the notional ESOP expense. So, 800 million per quarter is what like we have peaked and as as the sales volume increases quarter -on-quarter, the per ton cost will keep on going down.

Amit Dixit: But in absolute amount we can expect that 800 million thereabout would be a quarterly rate.

Anubhav Gupta: Definitely yes.

Moderator: Thank you. Our next question is from the line of Lokesh Maru from Nippon India Mutual Fund. Please go ahead.

Lokesh Maru: Two-three questions. Assuming that there will no lower inventories, what kind of growth are you seeing right now or maybe what is your estimate for in the current situation say Q3 -Q4, that is first. Second is as prices were down already we're on a declining trend. The discount of 500 APL Apollo Tubes Limited  
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per ton that we had shared even in the call and in the PPT , when did when did you actually start giving this discount and how long do you intend to stretch that? And what was the rationale to still push volumes in a declining destocking environment or gain share some maybe peers . Anything like that? And 3rd last question is on the , while doing some channels few dealers also mentioned presence of or rather competitive intensity in the heavy structures by JSPL. So, what is how do we counter that? What is our strategy around that piece ?

Sanjay Gupta: Lokesh, now we are targeting quarter -on-quarter, 10% growth like this quarter we have done 7.5 lakh 10 nearabout. On the Q3 we are targeting 8.25 lakh ton and Q4 we are targeting 9 lakh ton. And Q1 we are targeting 10 lakh ton and Q2 I'm targeting 11 lakh ton and Q2 up to 12 lakh ton. I think this type of market , we are not going to stop, we are going to quarter -on-quarter 10% growth because I have the capacity , I have the market. I have all the things I have . Nothing is for me any excuse , for Apollo now no excuse. But we are very confident. Already the secondary market is in the loss, and we are still in the comfort position. So, I don't think the steel price will increase. I think that the ball is in our court now we are going with the external support also, so we are working in full horse power because in we will not get any such golden opportunity in future. We are very hopeful if we can't do it, so we have to rethink where is our structural problem, how can we remove and how can we go ahead. But right now , I can say only one I can give you assurance, that we don't have any excuse other than to perform. Apollo team has no excuse.

Lokesh Maru: Just one counter to that. Are we aware of how come the rate of steel has fallen right now , if our gap, which will be narrow, so why not to include that volume which we are forecasting later on the growth rate rather? Later we don't know, right , if steel prices increase, that is an unknown scenario. So, any thoughts around that, growth would be accelerated today rather than maybe Q1?. Please pardon my ignorance.

Sanjay Gupta: It's important thinking , we are going to first time do this type of volume. Now we know about the market pulse . We have a full basket. We have tried till this time, we don't

t know from where

to increase the volume and what work needs to be done. But right from month of September, we are increasing the volume,. We now identified the pulse of market, and how to increase volume . Which areas need to be touched, which products the impact will not be there, but there will be impact in the figure. We have the map now, so we know where to get the volume . Till this time we were very confused. We can't do anything without the volume. If any problems come, we are going to face. I am not worried about seeing Maharashtra volume is near to 30,000 . This month we are going to close the volume at 45,000 per ton. So, we will close at 45,000 in October . So, we understood that Maharashtra has 15,000 -20,000 more market. Tamil Nadu also. We haven't received much growth because of the price . Now we will get more growth if we reduce the price. So, we make the basket of things. Number 2, at a margin point, we are going to close to 16,000 ton. Our old stocks have also expired. So, our margins will help in maintain the margin. We are very hopeful we see 10% growth quarter -on-quarter. First spread EBITD A is 4,000 - 5,000. Second spread will be Rs. 5,000 to Rs. 6,000. Now it has only started in India. Out of 12  
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lakh ton only 2.5 lakh ton has been done. So, either demand need to increase so much that all capacities get absorbed. That is also good for us . What ever sales is done, it will increase demand also

Anubhav Gupta : Our East plant which we are setting up two plants. Siliguri and Gorakhpur. So, that will also give us incremental market of around million tonnes a year and that will also boost our volumes, which will contribute to the quarterly run rate which Sanjayji just highlight. Now on your second question about the discounting in the second quarter for our customers, see, I mean in the falling price scenario, the sentiments for the distributors, our channel partners also go to like pretty low level and we have to compensate with some additional discounts, try to do the volumes. I mean it would be like first time in our own history that in a quarter when steel prices crashed by 7,500 per ton and our sales volume increased in that quarter versus the previous quarter. So, the momentum what we were seeing we wanted to continue with that and we thought, okay , if we bleed further by Rs. 500 per ton, but that will keep the momentum going with our channel partner. We should go for it. So, so that was the conscious decision and decisive strategy which we adopted and we went for it and we knew that once and we also had fair idea that prices will stabilize in September. So, from October we shall withdraw such discounts and there will be no need to continue with the pricing.

Lokesh Maru: We have already rolled back the discounts and this 500 should flow through into our EBITDA anyway?

Anubhav Gupta: That is right. And on your third questions, competition on the structural steel heavy space, see our philosophy here is the more the merrier. Because we are the only ones who are promoting tubular construction in the heavy construction. If more if more strong players or strong brands come and pitch the same theme to the developers, to the contractors, to the structural engineers, to the architects, to the government, it will only expand the market in a bigger way. So, everyone shall reap the benefits in the long term.

Moderator: Thank you. Our next question is from the line of Dhananjai Bagrodia from ASK Investments. Please go ahead.

Dhananjai Bagrodia: I just wanted to understand , roughly we are expecting around 170 crores was the inventory loss for this quarter?

Anubhav Gupta: It was Rs. 2,000 per ton. So, if you calculate it shall come around Rs. 1.5 million.

Dhananjai Bagrodia: Only one month inventory we keep right?

Anubhav Gupta: Right. So, normally the stock is around

280,000 to 300,000 ton . On that the loss we would have booked around Rs. 5,000 a ton.

Dhananjai Bagrodia: Loss would have been Rs. 2,000 ton.

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Anubhav Gupta: Yes.

Dhananjai Bagrodia: Effectively for the second half, what OP per ton would be targeting assuming there will be no losses ?

Anubhav Gupta: So, we shall be going from Rs. 4,000 to Rs. 5,000 per ton for the second half .

Dhananjai Bagrodia: So, that's effectively that's 5000 and volume is guidance is, would it be increased cause our numbers have come higher?

Anubhav Gupta: Yes, I mean if you sum up the guidance which Sanjayji just gave right, quarterly volume , I'm sure you will see that the guidance seems to be a bit better.

Dhananjai Bagrodia: So, it would be above 3.2 - 3.3, right?

Anubhav Gupta: I think the main impact we will see for the FY26, right, because the six months have already

gone. But yes, we should be surpassing the 3.2 million ton guidance if we do second -half as we are saying.

Moderator: Thank you. Our next question is from the line of Anupam Gupta from IIFL Securities. Please go ahead.

Anupam Gupta: The question was on the EBITDA per ton number which you have put in the PPT of Rs. 5000 for FY27 targeted. But just do the math from your current number and assuming there no inventory losses and you have this Rs. 500 discount rolled back; thus it will be operating leverage, it will come through, ideally it should be Rs. 5,000 per ton in the next two quarters itself, in fourth quarter itself, in fact, assuming there is no further this thing, so are you assuming adverse mix incrementally? Because let's say you'll push out more of general structures, given that the competition there is much lesser or how are you looking at that number specifically?

Anubhav Gupta: So, Anupam, if you heard Sanjay, right, he said in first phase our target is Rs. 4,000 to Rs. 5,000 a ton EBITDA and in second Phase 5,000 to Rs. 6,000 per ton EBITDA, right. I mean right now the EBITDA per ton has been so low for the last 2-3 quarter. If we mention Rs. 6000 per ton on presentation, we just thought let's be a bit conservative in highlighting the number, but yes, you are right that the business has the ability to produce Rs. 6,000 per ton EBITDA which Sanjayji also highlighted.

Anupam Gupta: And the second question is on the utilization of the Raipur facility at this point of time. Last quarter you mentioned it was close to about 60%, what is the number for the 2nd Quarter?

Anubhav Gupta: In Raipur there has been an expansion in the capacity as well. Earlier it was 61%. But now on the expanded capacity it is 53%.

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Moderator: Thank you. Our next question is from the line of Pallav Agarwal from Antique Stockbroking. Please go ahead.

Pallav Agarwal: Sir. I have a question. The new plant at Bangalore, I think in the last call you had mentioned that the location was supposed to be in Ahmedabad. So, has there been any change in our strategy in terms of geography?

Anubhav Gupta: We did decide to go for Ahmedabad initially. And then we evaluated the raw material availability, the market dynamics and existing plants which are already feeding the Gujarat market, right. So, we thought that existing plants can keep on feeding and in fact there is a need for a plant in southern market. So, we change that strategy. Anyways we did not invest any money on land acquisition etc. So, it was withdrawable and we did withdraw that, Sanjay you want to add?

Sanjay Gupta: Yes. Pallav, the main thing is that we have struggled with ABPL and our Latur facilities and this plant, our main market is Gujarat. Right now, in the South we have a shortage of structure because of the Patra markets. So, I thought if plant is set up in Ahmedabad, then we will again struggle in Latur.

. So, it's better to work in place where there is shortage of material. Second thing is, when we are going to form 5 million -to-10-million -ton target, then we have then we will work on these plants in the 2nd Phase where our capacities are short and where we want to set up the plants, so because of that we dropped the Ahmedabad plant. Right now we don't want to disturb Latur facilities because Latur facility has become our backbone of the company. So, we don't want to take any of the market from that.

Pallav Agarwal: The reason for us turning into net cash to debt again is because of the lower EBITDA this quarter or again there's build up that is happening working capital.

Anubhav Gupta: So, Pallav. There are two reasons, of course. The profitability was low, so operating cash flow was very, very low compared to the earlier quarters. And secondly, we also went ahead with the INR4 billion of CAPEX in the first half. So, as you know that the capacities have increased from three -point 3.6 million ton to 4.3 million ton. So, some residual CAPEX also we had to incur which we did. So, that's why there is a slight built up in the debt. But as the operating cash flows will normalize in the second -half, it shall come down sharply.

Pallav Agarwal: So, we still probably have a target of being net cash by the end of FY25. Is that a possibility?

Anubhav Gupta: Definitely yes.

Pallav Agarwal: Given the difference in between domestic and import prices. So, do we do we import any HRC in the last quarter because the Rs. 6,000 -Rs. 7,000 of decline in prices seems to be on a point to point basis because on average you know the prices are probably low about 3000 -3500 0:35:26 what spot prices we track. So, was any imports of HRC that happened either in Q1 or Q2?

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Sanjay Gupta: Like in India, there are two type of imports. One is the Japanese, Korean and Vietnam material, duty free, and one is Chinese material which was 8.25% duty, So, the Japanese and Korean

materials which was near to \$600, the starting of the quarter, and now last ly it touched \$500. Now this material stabilized on to \$520-\$525 per ton. So, if you see the \$80.00 decrease in to Rs. 84, almost close to Rs. 7,000 per ton, India, there was a Rs. 7,500 per decline, so both are very equivalent. Indian market is going with the international market.

Moderator: Thank you. Our next question is from the line of Dev vrat Mohta from Capital Group. Please go ahead.

Devvrat Mohta: My question really was that if your mix shift towards taking away more market share from Patra, does that become adverse for margin going forward and really when you say margins are 4,000 to 5,000 in first phase and 5,000 to 6,000 in second phase really I mean what time period are we talking about phase one, phase two?

Sanjay Gupta: Devvrat, 100% you have taken the right point. I am unable to talk a lot on margin. My volume is increasing in Patra in the commodity sector. From there the margin won't increase further. So, the absolute amount of EBITDA, ROCE margin will increase much further. But may in Patra EBITDA will get reduced. That is why I am not talking above the 4000-5000-6000 mark because the growth is very evident at this time. In value added products also growth will be there. If I make 9 lakhs in Q3, then it if on 9 lakh tons Rs. 500 crores or Rs. 600 crores EBITDA, then I will fall into the same loop. So, my target is, how my overall EBITDA increase? How absolute EBITDA increase and the remaining 2,000-3,000 EBITDA, why should I go to lose the market, that my per ton EBITDA will be reduced. So, that is why I am not talking about EBITDA much. Let us produce volume in this quarter, that will affect our expense also. In our board meeting, I notice that our expense is around 2,000 per ton and we have done 7.5 lakh ton. This expense is reducing

and we are going to make it more efficient and increase the volume. So, may be it will come down to Rs. 1000 per ton. If expense come down to Rs. 1,000 that will be a booster for me. The problem is I am sitting with a capacity of 4.5 million ton, and I am producing 3 million ton. I was not able to do any assessment, but right now from September onwards I started assessing, where my expenses is, where my market share is less, if I am already using 80% market share, I cannot increase my market share. So, I don't want to lose the premium there. Where my market share is 40% or 50%, market, and Patra market is more, so I can lose my margins and I can capture the market share, right now we are seeing the strategy. But working for another quarter, I think we will be bullish on our strategies.

Devvrat Mohta: Basically, you are saying your focus is on absolute EBITDA rather than EBITDA per ton. So, what, how should we think about, EBITDA going forward? Is absolute EBITDA going forward if the volume ramp up happens as you said? What do you think will EBITDA go up to?

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Sanjay Gupta: I always believe in being bullish. I think in this quarter we will be above 4000 and less than 5000. And maybe in next quarter will touch 5000. Right now, we can 4300-4400 per ton this quarter, 4700-4800, quarter-on-quarter margin will also increase as our volume increase.

Moderator: Thank you. Our next question is from the line of Sneha Talreja from Nuvama. Please go ahead.

Sneha Talreja: Just two confusions here. One is, you said that you have discontinued the discount which were given which was around Rs. 500 a ton, which has been done in October starting. Is that correct?

Anubhav Gupta: So, Sneha, this was on the overall portfolio, right? But if you go in the market, you may still see that we have discounts on the products which are directly competing with sponge iron and steel pipes. But overall portfolio, the discount which came out to be 500 because of destocking because of sales force that we have rolled over but on our general products, the discounts are continued in month of October.

Sneha Talreja: And that is not the reason of your EBITDA per ton for this particular quarter. But how do we EBITDA per ton impact because of that?

Anubhav Gupta: Rs. 50 - Rs. 100 a ton.

Sneha Talreja: Secondly, one of the impacts what I wanted to understand is, the last quarter you had mentioned the gap between Patra and your primary steel prices were about Rs. 2 - Rs. 3 odd, with this particular quarter you said is Rs. 5 to Rs. 6 plus there was a Rs. 500 discount which you give it on the overall basis. Despite these gaps increasing, what is the confidence that you have on 10% Q-on-Q growth is what I wanted to understand.

Anubhav Gupta: Sneha, I correction. I said 5% gap. I didn't say Rs. 5000 per ton gap, I said Rs. 5000. 5% percent Rs. 52,000 per ton selling price, absolute comes out to be Rs. 2,500 a ton, Rs. 3,000 a ton.

Sneha Talreja: My bad then, understood. The next thing I wanted to understand is how quickly can you actually ramp up your capacity once you achieve 5 million tons sort of a number in terms of capacity because earlier what I understand is you were trying to ramp up your Raipur capacity itself, later you decided to get into various other markets. So, I think that particular area would help in understanding.

Sanjay Gupta: Which all commodity base capacity we have, it is all running in full utilization. There are some capacity left on the bigger pipes. One line is getting installed in Hyderabad, one in Dubai. In

order for us to reach 4.5 million tons, these three areas have 500-ton balance. Rest we utilized all the capacities. Also, we are working on this strategically. The 4.5-million-ton road map is very clear to us. After that 4.5 million ton, we have a plant in Siliguri for 2

lakh ton, that market

is very niche. 1 lakh ton market for Gorakhpur and 2 lakh ton market for Bangalore, south lighter structure to market? It feels like quarter-on-quarter we will be in a fast pace.

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Moderator: Thank you. Our next question is from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: Anubhav, just a few points which I have missed. So, you said 53% capacity utilization on Raipur plant on expanded capacity. So, what is that expanded capacity now? And residual CAPEX guidance for 25 and for 26?

Anubhav Gupta: So, last quarter, the rated capacity was 1.1 million ton, now it is 1.2 million ton. So, there has been addition by 110,000 tons to be precise in the capacity and if you calculate the volume, it was kind of unchanged on a QoQ basis.

Aditya Welekar: And on CAPEX guidance for 25 and 26?

Anubhav Gupta: So, CAPEX we have around Rs. 3.0 to Rs. 3.5 billion of residual CAPEX which we shall spend over the next 6 to 7 months and we shall reach 5.0-million-ton capacity.

Aditya Welekar: And one question on this value-added product share, means it is 55% and that percentage is almost flat year over year. So, what is the function of that value added product share in our EBITDA per ton increase means do we see any case where we can have the flexibility to increase the value-added product share and reduce our general product share because in this quarter we have incurred losses on EBITDA per ton basis on general product. So, in that scenario is that market is developed or is there a sufficient market for pushing volumes for value added products?

Anubhav Gupta: Aditya, please understand that the EBITDA loss in general category is not because of our pricing but because of Rs. 2,000 per ton inventory loss which we booked for the whole company. So, if I remove inventory loss, it was pretty much profitable product. And there is no strategy to lower the volume from general products, because the opportunity which has come in front of us with the decline in the sponge iron steel pipes we have almost 500,000 ton of new incremental monthly market which we can target very, very aggressively. We have the capacities. We have the distribution network. It's one of the fastest-moving products. So, here the inventory churns are even higher. In this segment, inventory churn touches almost 20 times a year. So, on EBITDA per ton basis, you may see it being dilutive, but on ROCE basis this is like super accretive, and we are not going to leave any stone unturned to grab the market from sponge steel pipes which got opened up over the last 3-4 months because it is not ROCE dilutive, it is highly ROCE accretive.

Moderator: Thank you. Our next question is from the line of Bhavin Pande from Athena Investments. Please go ahead.

Bhavin Pande: So, I just wanted to draw your attention to slide 23 on the opportunity in solar. Just looking to quantify the size of the opportunity and second, if you could touch upon if products in this particular offering are fungible, could it be used across segments?

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Anubhav Gupta: The products are not fungible. The target, if you look at the opportunity in the area of residential rooftop, there our lighter structure will be used. Now, for ground mounted, one is stealth so there our (Inaudible) 0:48:57 sheet and the thicker colored coated sheet will get used and for tracker, again we have specialized tubes which can only be used in solar trackers. So, these capacities are not fungible. So, we have introduced the products specifically for each area.

Bhavin Pande: And Anubhav, what would be the mix of exports and domestic revenue?

Anubhav Gupta: So, if you look at our Dubai sales, that is our international sales.

Moderator: Thank you. Our next

question is from the line of Bharat Shah from ASK Investment Managers.

Please go ahead.

Bharat Shah: I just wanted to ask one question. Out of the other expenses which are booked per ton, so which was about 4,400 odd in the first quarter, a little over 4,000 in the second quarter, how much conceptually is likely to be fixed cost and how much is kind of variable linked to the output? In other words, as we ramp up the sales, what kind of operating leverage I can expect to see on a roughly 1 lakh extra kind of ton per quarter ramp up that we are talking about. Just to get a bit more clarity on that?

Anubhav Gupta : So, Bharat bhai, in fixed cost , our primary is employee cost which right now is Rs. 1,050 a ton. Bharat Shah : I am saying the manpower cost is about Rs. 1,000-Rs. 1,100 per ton in each of these two quarters that I have seen, I am seeing that expense which goes up Rs. 4,400 a ton in the first quarter and roughly Rs. 4,000 in the second quarter. So, what kind of operating leverage one can hope , in other words, how much normatively is the fixed element of the cost broadly? I mean it need not be very precise and how much is likely to be the variable part ?

Anubhav Gupta : Bharat bhai, like I was saying, in fixed cost , there are three main components, right , one is employee cost, salary , second is head office expenses and third is the branding expenses. Now , in the variable cost , which are #1 power, #2 consumables, #3 steel wastage and #4, the freight cost. And if you look at the operating leverage which we can get right from the employee cost , from the head office expenses and the advertisement expenses almost Rs. 500-Rs. 600 per ton operating leverage we can get if we keep on producing Rs. 300,000 ton of steel pipes every month.

Bharat Shah : And on the variable part also, we have program to save the cost in each of the areas. So, roughly what kind of improvement over the next 1 and 2 years , we expect to see on the variable part of the cost?

Anubhav Gupta : Variable , the power cost has some potential to go down because we are investing in the renewable energy, right , so that helps us reduce the cost . And secondly , on freight cost also , every day , we keep on improving efficiencies from the plant dispatched to the end market so

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that we can optimize the freight cost and after opening or commencement of Siliguri and Gorakhpur plants, definitely the freight cost to eastern markets will come down.

Sanjay Gupta : Bharat bhai, one thing is very clear . Right now, we are sitting with the expenses of close to 4.5 million tons we are sitting on that. As our volumes keep on increasing like power, power also we take in two parts. One part is if we run the mills we incur the cost. If we run the mill or not we have to give the power. Like in a plant we have made a connection of 4000 KVA but it is running at 3000 KVA but all the charges we have to pay for 4000 KVA. So, if you see the fixed cost of Rs. 2000 per ton in that main is fixed power which we need to have, branding expenditure, HO expenditure, marketing expenditure. If we achieve that volume then there will be major reduction #2. Our freight factor last quarter was 1900 its only export. If we do according to the local market then it almost Rs. 1600 ton. In that what happens if we have to pull any plant if there is a demand in one market like from Hosur we have to send the material to Pune we used to send that pull that market. If material of Hosur is getting sold in Hosur so don't require to send the material to Pune market. As our plants are getting full then unnecessary freight factor is getting reduced as we are selling the material in the local market. Like to pull the Raipur we have to send to Pune, we have to send to Bangalore also. So as the local market of Raipur, Eastern UP, MP and Gujarat as the

demand is getting ramped up our freight cost is reducing.

Today if we send the material to Bangalore then our freight is Rs. 4000 ton and if we send the material to Ahmedabad then our freight is Rs. 2500 tons from Raipur so that cost is getting reduced. Now we are in the process of working on the costing . Everything is linked to volume and unfortunately over the last couple of years we were stuck with the volumes, we could not do the volume if we wanted to. Right now, as the volumes is increasing we will come across some mistakes then we will remove that. If there is something good we will make it more better. Now we have come into that process. So, I think Q3 and Q4 will tell a lot about the future of the company.

Moderator : Thank you very much, sir. Our next question is from the line of Shailesh Raja from B &K Securities. Please go ahead.

Shailesh Raja: Sir, how is the current CAPEX trend seen in the government infra projects like metro, railway station, airport, then water infrastructure project like steel water tanks, which you were roughly in the 2-3 quarters back ? So, today, what is our total volume from this sector and what is the total overall contribution is coming from government infra projects ?

Anubhav Gupta: So, Shailesh , around 2.05% of our sales come from the infrastructure project, right , the last few months have been pretty slow, right , because of elections and new government formation and delayed budgets and then monsoon. Now, in the month of October, we have seen the pickup right , but we have been working on these projects for the last 1.5 years in terms of the approvals and design, right . So, we have started to see good traction from October onwards and this momentum should continue throughout FY25 and FY26.

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Shailesh Raja: Is it back to pre-election premium?

Anubhav Gupta: Not yet, because now North India again will see construction slowdown because of the elevated pollution level, right. So, we believe that Jan, Feb, March, last quarter, we shall see the pre-election levels of momentum.

Moderator: Thank you. Our next question is from the line of Vikas Singh from Philp Capital. Please go ahead.

Vikash Singh: Sir, just wanted to understand one thing that the competition is also getting into this segment, which previously was dominated by you only, basically you are the only player. At the same time, you are actually selling more of low-grade products. So, in this context and giving lot of HRC capacity coming, so competition will also get some benefits of the bulk buying, how do we expect that our blended EBITDA would still be growing to 5000-6000 level, given our value added would also come under pressure?

Sanjay Gupta: Vikash, what competition are doing, we don't bother because we have our own branding. We have our own distribution network; we have our own expertise on the costing part. Number three, market is also expanding, see in any business competition keeps on coming but we don't think there is any serious competition in our segment. It is fine that someone is coming in API, someone is coming in DI, someone is coming in galvanized, and we are creator. We create our own market, and we are doing lot of small things, that you can see in the volume of the market. We can't describe on the phone. If we lose a bit of market share because of competition then our business is not going to finish. Our expansion is keep on going, in November our 1000 square line will start in Raipur which is of 1 lakh ton capacity which is a new innovation of a kind. We have put a thicker color line that is ramping up gradually and its market is developed that will increase our valuation. If we increase our valuation 2 lakh ton to 4 lakh ton per annum then may be 50000 tons, 1 lakh ton, 20000 if commission does not come in that we don't bother. Like we

are

are pre-galvanized pipe we are preparation of bringing a new pipe which will be done by March.

This is the way of life people would want to come up and we will try to go more up. Try not to worry.

Vikash Singh: Sir, just one small clarification, I know the inventory loss point has been said so much, but we had a similar situation in 2Q FY23 when we export duty led to almost Rs. 10,000 price correction. Even then, we have managed these EBITDA per ton reduction of only Rs. 700, while this time was almost Rs. 2,400. So, are we setting up some extra inventory equals this time, or I am reading the situation differently?

Sanjay Gupta: That time I don't remember, but I think that time we compromise with the volume.

Vikash Singh: Sir at that time your volume was 602 KT versus previous quarter 422 KT. So, the volume was also good actually.

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Sanjay Gupta: I cannot tell you right now why it has happened so that time, maybe Patra market was good at that time or we could have good export order without seeing a fact I don't want to comment anything.

Moderator: Thank you. Next is a follow-up question from the line of Bharat Shah from ASK Investment Managers. Please go ahead.

Bharat Shah: Sir you were saying that our cost structure is 4.50 million ton to 4.75 million tons but we are doing lower and net-net there is a Rs. 2000 there is effective scope for saving? Just part of the variable cost like power where there is some level semi-variability. When you were saying that my call got dropped.

Sanjay Gupta: Bharat Bhai whether we do the business or no around Rs. 45 crores per month is our total fixed cost which we can reduce to Rs. 40 crores. We are trying that somehow we bring it to Rs. 40 crores and our volume around 15 lakh ton so if we bring it to 40 and if we increase our volume to 1 million ton which is our target for the quarter that we reach to 1 million ton within one or two quarter then our cost will come Rs. 1200 per ton which will help us to improve our margin.

Bharat Shah: So, there will be saving of around Rs. 700-800 per ton basis?

Sanjay Gupta: Yes, because we are sitting at the higher expenses, and we are doing the lesser volume.

Bharat Shah: Is there any program on saving at the variable cost side?

Sanjay Gupta: In variable cost we save at two places more, one is on the freight factor. Freight factor like we are running Hosur plant, Hosur Plant -1 has tonnage of 45000 ton per month. Now we are selling 35,000 to 38,000 tons material in the local market and our demand is more in the Pune market or demand in Ahmedabad is more or demand is more in Hyderabad then we will shift the material from Hosur to Hyderabad, Pune, Ahmedabad wherever we have more demand. Though we don't send to Ahmedabad, we shift to Hyderabad and Pune. If we sell the material in the local market of Hosur then in the local market our average freight comes to Rs. 600 per ton to Rs. 700 per ton and if I sell my material outside them my cost comes to Rs. 1600 to Rs. 1700. Then I save extra Rs. 1000 directly on the material so as the market is expanding my material is getting sold locally then my freight cost should come down. There will be impact in the power and like we are

making tube mill pipe and the capacity of tube mill is to make Rs. 200 per ton per day so leaving the tube mill all the capacities are running whether it is cranes, water motor pumps there will be not much of an impact. Like our expense is Rs. 40 units per ton on tube mill and suppose our tube mill runs at the full capacity then our unit cost will come to around Rs. 35 unit per ton. Then unit cost is around Rs. 8 to Rs. 7 then it comes to Rs. 40 to Rs. 50 per ton. If there will be pressure on the mills then our yield will come down marginally. There will be a slight improvement like Rs. 50 per ton, Rs. 100 per ton, or Rs. 30 per ton

and its other expenses too. So there will be no major fixed cost but here also Rs. 200 per ton to Rs. 300 per ton cost will get reduced overall, breakdown also get lessened, if there is no pressure to make the material in the plant so what  
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happens we have to store the material in the plant then our handling increases and if the handling increases our wastages increase. So there are many factors, Bharat Bhai. My ultimate goal is to run at a full capacity. Unfortunately, we have already placed full capacity so anyhow I have to complete this and we are just aiming to that.

Bharat Shah: Sanjayji, will it be fair to say we finally are at a point where all that we needed or all that we have desired in market conditions is what we have got today. In other words, on the valuated component, realization steadily should improve. On the raw material side, we now have stable conditions and favorable one where we can at a lower end expand the volumes on the fixed asset, fixed cost side, we will have operating leverage benefit to save to gain and on the variable, our efficiency and cost saving programs will result in some reduction. And all of the combined rate opportunity in the global arena, overall, I would say that there should not be any reason now going ahead for APL Apollo not to be right at the top and shining. Otherwise, it will require a lot of introspection within as to why we told all the favorable factors, I would say there is now no scope for any analytics. It is only the numbers.

Sanjay Gupta: Bharat bhai in the beginning of the call I have said very clearly that everything is in our favor. This time we don't have any excuse. If we are not able to do it then this is a worry point for us and we have to rethink about whole system and the structure why we could not do it. We don't have any excuse as on date to be frank. If I will not be able to make it I will say that I am unable to do it. But I will not give any excuse. Right now I can boldly and proudly say that I have no excuse except to deliver that number because my whole system knows this and we are working full hours. You can check from anywhere. We are working overnight at this time to prove this. If it does not happen, why it did not happen, why I did not happen we will come with the reason. We are a failure, or our structure needs a whole revamping but today I can say boldly and loudly and again I am saying we don't have any reason except performing. Quarter-on-quarter we have to give our performance exceptionally good not just good.

Moderator: Thank you. Our next question is from the line of Omkar Gughardare from Sri Investments. Please go ahead.

Omkar Gughardare: You mentioned that because of the price differential in the sponge steel market, you will be able to garner the additional market. So, what exact steps are you taking in order to garner that market which has been vacated?

Anubhav Gupta: Which market are you talking about?

Omkar Gughardare: The sponge steel market, that is how you mentioned. So, you said that you will be capturing volumes from that market, right, because of the price differential?

Anubhav Gupta: Correct.

Omkar Gughardare: So, what exact steps are you taking in order to garner that market share?

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Anubhav Gupta: It has become a pool market, right? If we have the product, right and if we are able to service our distributors, well, the sales will go up automatically, right, because the end user, whether the fabricator or contractor or a house owner, if he is getting HR coil quality steel pipe at the same price or maybe at a price gap of 5% so he is going to ask for APL Apollo Steel pipe, right, and my product has just to be available at my distributor counter so that he can service his retailers, his fabricators efficiently and the sales

will go up on their own.

Omkar Gughardare: Just a small question is that how has been the month of October as we are already at the end of October?

Sanjay Gupta: We are right on target.

Omkar Gughardare: So, whatever you mentioned right now that you will be gaining momentum in each of the segments, the revenue, the volume and EBITDA, everything, do you think you are on target?

Sanjay Gupta: I don't know about EBITDA right now . Right now , I know about the volume . The month is not over yet, so I would not know about the EBITDA but as far as volume is concerned, we are right on the target but if I would have a slightest of doubt I would not have said that.

Omkar Gughardare : So, you are right on the track for whatever you have guided so far?

Sanjay Gupta: Yes.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for closing comments.

Anubhav Gupta: Thanks YES Bank for hosting us and thanks to all the participants and I wish everyone Happy Diwali on behalf of APL Apollo Tubes . Thank you so much.

Moderator: On behalf of YES Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: Jan 2025

23rd January 2025  
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Scrip Code : 533758

Re: Transcript of the Conference Call held on January 20, 2025

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and with reference to our letter dated 15th January 2025 intimating you about the schedule of conference call with Analysts and Investors held on January 20, 2025, please find attached the transcript of the aforesaid conference call.

This above information is also available on the website of the Company.

We request you to kindly take the above information on your record.

Thanking you

Yours faithfully

For APL Apollo Tubes Limited

Vipul Jain  
Company Secretary and  
Compliance Officer

Encl: a/a

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MANAGEMENT : MR. SANJAY GUPTA – CHAIRMAN AND MANAGING  
DIRECTOR – APL APOLLO TUBES LIMITED  
MR. DEEPAK GOYAL – DIRECTOR , OPERATIONS –  
APL APOLLO TUBES LIMITED  
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MODERATOR : MR. SAILESH RAJA – BATLIVALA & KARANI PRIVATE  
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY '25 Earnings Conference Call of APL Apollo Tubes Limited, hosted by Batlivala and Karani Private Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sailesh Raja from Batlivala and Karani Private Limited.

Thank you, and over to you, sir.

Sailesh Raja : Thanks R ayo. Good evening, and thanks to everyone who have logged into APL Apollo Tubes Limited 3Q FY '25 earnings conference call. Now let me introduce the management participating with us in today's earnings call. We have with us Mr. Sanjay Gupta, Chairman and Managing Director; Mr. Deepak Goyal; Director, Operations; Mr. Anubhav Gupta, Chief Strategy Officer; and Mr. Chetan, the CFO. Now I would like to turn the call to Mr. Anubhav Gupta for the opening remarks, followed by Q&A.

Anubhav Gupta : Thanks, Sailesh, and thanks B&K Securities for hosting APL Apollo for its second -- third quarter FY '25 earnings call. I welcome all the participants who are joining this call. Well, I welcome everyone with a lot of enthusiasm and excitement because it was a very critical quarter for us because of the very weak earnings in the previous quarter wherein our profitability had declined quite significantly. But we are glad to share that quarter 3 has been our best quarter ever where the all-time sales -- with all-time high sales volume, EBITDA and net profit. During our second quarter earnings call, we had promised to deliver 10% sales volume growth on a quarter-on-quarter basis and report EBITDA range of between INR4,000 to INR4,500 per ton. And we have achieved the same. But I just like to highlight here that this has been only possible because of the resilient business model of APL Apollo Tubes.

The macro environment has been very difficult since the beginning of this year due to multiple factors such as weak retail demand and a slowdown in the government spending. Despite this, we have been able to achieve a 20% sales volume growth for the first 9 months.

Well, we were well aware of the situation and our focus was to increase sales volume and kill the competition. As you can see that 9 months FY '25 sales volume growth of 20%, which we reported, and we can bet that this is higher than any other competitor or players who have been producing and selling steel pipes.

This implies that APL Apollo steel pipes has gained significant market share in the overall steel pipe market, which also includes low-grade sponge iron pipes because of the transition from sponge iron to HR coil steel pipes as the prices for primary raw materials have fallen over the last 3 to 4 quarters.

Now going forward, we expect sales volume to increase quarter-on-quarter, which is backed by number one, market share shift from sponge iron steel pipes to HR coil steel pipes, where APL Apollo has a clear dominance and line market share.

Our international sales volume is also going strong with the commitment of Dubai plant. Now that plant is operating at 58% utilization, if we look at the third quarter volume. This was very much there on the cards because we knew that we must have access to cheaper steel outside India and Dubai was the perfect destination where we have access to cheap steel from Asian countries.

The third factor is our focus on adjacent round pipes, which is part of the building materials portfolio where we have the capacity. We have the same distribution network, and the pipes are going into build

ings for HVAC and water piping and is part of the overall construction material portfolio, which contractors use while construction.

The fourth factor is the ramp-up of our innovative products from Raipur. If you look at the expanded capacity in Raipur, which is 1.2 million tons, the utilization rate is 55%, it would have been higher in Q3, but because of raw material situation like lack of raw material availability in Raipur from one of our steel suppliers, there was loss of volume. Otherwise, this utilization rate of 55% would have been definitely better.

And lastly, our penetration into Eastern market with the commencement of 2 plants, one in Gorakhpur and Siliguri. Gorakhpur will take care of Eastern UP and Bihar, Orissa belt. And Siliguri plant will take care of Northeast markets where a lot of construction activity is taking

place, and it has been the focus area for Indian government.

Now talking about the margins, what levers we see are, number one, operating leverage benefits as we ramp up our capacity, which today stands at around 4.3 million to 4.5 million tons and ready to reach 5 million tons over the next 1 year. Right now, we are producing and selling around 3.3 million ton run rate. So, there is INR400 to INR500 per ton operating leverage benefit, what we see over the next 1 to 2 years as we utilize near 100% levels.

Then value-added product mix improvement coming from our Raipur and Dubai plants. Again, it gives us visibility for INR400 to INR500 per ton expansion in our EBITDA spreads. And thirdly is the ongoing discounting, which we shall pull off once we see strong demand pull in the end market, which right now is missing. So, we expect that Indian macro situation should improve in the coming quarters as the government starts spending. And as the monetary situation eases out, the retail demand should also recover in the second half of the ongoing calendar year. So based on these factors, we are confident that we shall achieve 3.1 million to 3.2 million tons of sales volume for full year. And absolute EBITDA slightly better than last year because there was a lot of mix on the earnings front in the second quarter. So, we are trying to make that up in Q3 and Q4. So, we believe our full year EBITDA should be better than last year EBITDA. Now that we are ready with 4.5 million tons capacity going to 5 million tons over the next 12 months, so we do maintain our sales volume target of 4 million tons by FY '26 and 5 million tons by FY '27.

The residual capex for these new plants and to reach 5 million tons is around INR6 billion, which will be funded from internal cash flows over the next three to four quarters. If you look at our

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balance sheet, it remains near debt zero, which is obviously backed by efficient working capital management, now that has been proven over many quarters.

The nine-month ROE /ROCE looked slightly depressed because of, again, poor profitability in second quarter, but same shall improve over the coming quarters as our earnings expand to normalized level and we ramp up our capacities.

That's all from our side. We are ready to take questions. Thank you so much.

Moderator: First question is from Amit Dixit.

Amit Dixit : Congratulations for a good set of numbers and strong rebound after Q2. I have a couple of questions. The first one is essentially, if I still look at your other expenses per ton, they are practically very static if I compare it with last quarter. So last quarter, you highlighted that there was an element of around INR493 in terms of per ton in terms of the discounting. What kind of discounting did we see this quarter? And where it is likely to settle let's say FY '26 ?

Anubhav Gupta : So, Amit, there are two things. The other expenses don't account the discounting, okay ? That gets net off in our selling price.

Amit Dixit : Okay. So, what

prompted the...

Anubhav Gupta: Go ahead, yes.

Amit Dixit: So, I'm asking then what prompted these other expenses to remain at a pretty high level of INR4,045 a ton ?

Anubhav Gupta : Right. So, if you look at the other expenses, they are around INR3.35 billion in Q3 versus INR3.1 billion in Q2. This is like increase of around INR25 crores on a quarter-on-quarter basis, right?

In this, the main element, if we see, one is the freight outwards, which has increased by INR15 crores, right? And then power and fuel, which has gone up by INR5 crores. Then, of course, some miscellaneous expenses, which are pertaining to the plant because plant utilization levels were going up. So, some INR10 crores, INR15 crores increase in the miscellaneous expenses, which pertain to the plant.

Amit Dixit : Okay. So, going ahead, will it remain at the similar level, or we can expect some kind of a drop here?

Anubhav Gupta : So, of course, I mean the major expenses there are freight outward and power and fuel. So, they are variable, right? They would go up as the volume expands, right? But rest of the expenses like consumption of stores and spares, branding expenses, legal professional expenses and miscellaneous expenses, they shall remain stagnant. And on a per ton basis, they will come down.

Amit Dixit : Okay, understood. The second question is on EBITDA per ton for general structures. Now compared to the loss that we made last quarter. I mean, this quarter, you have shown a very smart recovery. Of course, it might be due to the declining spread between HRC and Patra. So

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can we -- I mean, it's near INR2,000. So, can we see it further expanding as we go ahead? Or you think most of it is done?

Anubhav Gupta : Right. So, see, I mean, between Q2 and Q3, the difference is the inventory loss, which we booked of around INR2,000 per ton, right? That got negated and that's why the margins are up. So, going forward, we are very aggressive in taking market share from the sponge iron steel pipes, right? And we are being very aggressive in the sales push.

So yes, as we ramp up the volumes, the margin in general segment should recover. But it will take a few quarters, right, where you see margins going up to INR2,500 or INR2,800 per ton in this specific segment. Because this is the segment which directly competes with sponge iron pipes.

Moderator: The next question is from Akshay from Canara Robeco Mutual Fund.

Akshay: Just two questions. So, Anubhav, first question is on the rustproof products. So there, at least I see that the margins are still lower. I mean usually, we used to do at least INR6,500, but still, we are INR1,500 off in rustproof. So, any specific reason, is it higher competitive intensity? Or what is it, if you can talk about that, that is first?

And secondly, Anubhav, as you said that we are trying to grab market share from the sponge iron side. So practically, it competes with our commodity side products. So then in this backdrop, does it mean that the VAP improvement, which we were earlier envisaging, will it happen at a slower pace versus earlier envisaged? Of course, your value-added products are also improving, but then if we see the overall mix, it doesn't reflect that much. So then how should we understand this VAP improvement?

Anubhav Gupta : So, Akshay, I'll address the second question first, right. See, I mean, if you look at APL Apollo, we have clear two business segments; one in general, second is value-added. Now APL Apollo is a company which doesn't have scarcity of resources, right, whether to produce general segment products or value-added products, right? We have enough capacity for both segments. We have enough manpower to run both capacities. We have enough distribution network to sell both products, and we don't have any limitation of working capital, right? Anyways, we are working

king

on two days working capital.

So how we see is that both of the two segments are operating separately. Then there is good demand for general product because the natural transition is happening from sponge iron pipe through HR coil pipes. So, we are being aggressive, right? I'm not growing my general product sales at the cost of value-added products. Please understand that, right? I have enough capacity, enough resources to run value-added product portfolio.

It is just that the demand at the macro side is not favouring the overall growth for value-added products. And general segment is growing despite the weak macro because of this transition, which is taking place, right? So, this is industry phenomenon. And we are taking advantage of it. But we are not growing at a cost of value-added products. Whenever there is macro support coming, right, and demand for our -- whether it is coated products, whether it is Apollo Z,

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whether it is heavy structural pipe, whether it is light structural pipes, right. Whenever the demand comes, you will see similar growth to match general segment growth.

As far as the mix is concerned, at 5-million-ton capacity, the general segment is around 1.5 million tons and 3.5 million tons is the value-added product, okay. And as you know that we do not give nameplate capacity, right? We give sellable capacity. So, if the demand is more for general segment, we can produce and sell 1.6 million tons also from the same machinery, which today we, say, that the capacity is 1.5 million tons, right?

So as far as the capacity is concerned, out of 5 million tons, 1.5 million tons will be general, and 3.5 million tons will be value-added. But yes, if demand for general is more, we can produce and sell more from the same capacity. I hope this is clear.

And coming on question number one, on rustproof. See, I mean, right now, what we do is we give -- we have clubbed two segments under rustproof category. One is pipes and second is sheets. So, in pipes, we are still making INR6,000 per ton spread. In sheet, we are making lower margin. That's why on blended basis, it looks at INR5,000 per ton because we don't want to give too much of sensitive data, which can be seen by our competitors.

So, I mean, we are trying to club the segment. Like this quarter, we also clubbed big and super big into heavy structural, right? But it's not that my margins in galvanized pipes has come off, it's not the case.

Akshay Chheda : Thank you.

Moderator: Thank you. The next question is from Shaleen Kumar from UBS Securities. Please go ahead.

Shaleen Kumar : Congrats on a good set of numbers. Did I hear you say correctly that we will try to improve on the EBITDA of last year and for the full this year?

Sanjay Gupta : What do you mean? Sanjay here.

Shaleen Kumar : This year's full year EBITDA, can it be better than last year's EBITDA?

Sanjay Gupta : I am talking in a straightforward line; I don't know how to twist and turn and talk. Last year, we had promised, this year we will do a volume of around 3.2 million tons. I am very confident that we can do between 31.5 % to 32 %. Our volume ratio will definitely go in this ratio.

Number 2, last year our EBITDA was INR1,192 crores. At any cost, we want to cross this figure.

We can do all numbers better than last year but unfortunately, we can't do the EBITDA per ton.

We can't beat last year's. We want to beat the number on the absolute amount of EBITDA on the volume basis. We want to take a growth of at least minimum 20%.

We want to take a growth and if there is in the absolute amount of EBITDA, we want a growth.

Number two. We have pressure on the margins. Our pressure is on two areas. If you see, in light structure our margins are between 1900 -2000 and in rust-proof our margin is around 5100. In this quarter, we are trying to improve both

of the margins. We are trying to take 1900 to 2500

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and we are trying to take 5,100 to 6,000. So, if you see the impact of both of them, you will get an impact of INR400-INR500.

So, it means we are targeting this quarter more than INR4,500 per ton EBITDA.

Shaleen Kumar : Okay. So, Sanjay sir, you are talking about INR400 crores plus in one quarter?

Sanjay Gupta : I am doing it perfectly, Shaleen ji.

Shaleen Kumar : And you are also talking about 4,500 per ton EBITDA?

Sanjay Gupta : Yes, I am. And I am doing it conservatively.

Shaleen Kumar : Sir, please tell me something. From the last few quarters, we have not been seeing growth. One thing happened between our HRC and Patra. That is in favor of us. But in large data [Inaudible - 22:09] there is no HRC. In heavy structure there is no HRC, in value added. So, what is happening there? Where do you get the confidence there?

Sanjay Gupta: No, as we are seeing from the projects, we have received a lot of inquiries and orders that have been stopped since the last 2 -3 quarters. Q2 was very clean. Q3 has revived a bit. I have seen that Q4 has revived a lot. It is very good. Plus, we have also got a very good order from Saudi Arabia. We have started a lot in new projects in Saudi Arabia. So, we are very confident. God knows but we are very confident that we will do better on every front.

Shaleen Kumar: Sir, as you said that you got an order from Saudi Arabia, will its supply be from Dubai?

Sanjay Gupta: Some parts are from Dubai and some parts are from India. The sizes of 300 to 500 are from India. 300 is from Dubai. Our 1000 square feet will start in February. We have a good order book for March. I have studied three things. I want to work on innovation, branding and cost controlling. I have been working on all three. Unfortunately, we have stopped our spending on innovation and branding due to the margins. Now we have been aggressive again.

I don't think we should face any issues. I am very clear about my roadmap plan. This year we could not give full number of inventory loss. But my vision of 4 million tons for next year is intact. My vision for next year's vision is 5 million tons. And Anubhav was saying that the [24:11 -Inaudible] of INR500 crores are left. But not for 5 million tons.

Our capacity will increase and come to 5.5 million tons from 500 crores. Like we had, the capacity of the structure is decreasing due to cold rolling. So, we have added a new plant in Malur. We have added a new plant in Ahmedabad. We had an empty machine. So, we told them to go near the market and install it in Ahmedabad.

So, some of these capex have been added to it. So, the number of capex is increasing from 200 - 250. Otherwise, our capex were intact. Our capacity will reach around 5.5 million ton.

Shaleen Kumar: Sir, any new product like 1000 mm product?

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Sanjay Gupta: We have a new product of 1000 mm square in this quarter. In next quarter, we will have a new product of Galvalume. In Q1, Galvalume – quarter-on-quarter we will keep bringing a product for innovation.

Shaleen Kumar: Sir, one challenge when we talk about distributors level, and this is more in South, they are saying that state government's capex is a bit less because...

Sanjay Gupta: I would have got all that in the same year I would have crossed 4 million tons. I crossed 3 lakh tons in October and 3 lakh tons in December unfortunately in November our slowdown was 238 in January we are going from 285 to 288.

Shaleen Kumar: Okay. What is our share in March?

Sanjay Gupta: We hit 3 lakhs in October and December. So, I am not saying that we will hit 4 million for next year. I take a target for tough. I believe in failing in my target. If I pass in my target, then what target did I take target for tough. I believe in faili

ng in my target. If I pass in my target, then what target did I take?

Shaleen Kumar: No, no, sir. Okay, sir. Very good, sir. Thank you so much.

Sanjay Gupta: You can discount your target by 10%.

Shaleen Kumar: I hope, sir, that you achieve your target sir.

Sanjay Gupta: If I talk about conservative, my team will be more conservative I am bullish, I will follow that.

Shaleen Kumar: No sir. We will follow that too. We will follow your target; you will achieve it.

Sanjay Gupta: Thank you very much.

Shaleen Kumar: Congratulations and thank you so much sir. I will go back in the queue. Thank you.

Moderator: Thank you. Rohit Singh from Nvest Analytics Advisory.

Rohit Singh: Good evening, sir. Congrats for a good set of numbers. Sir, can you please comment on why this slowdown in government spending like do you see any structural risk here like we were talking about growth. Last 2 quarters were also tough. But everyone was saying like economy will start recovering Q3 onwards. But now suddenly, macro tailwinds are getting converted into headwinds. So, what's wrong happening in this space? Can you comment on it?

Anubhav Gupta: It's very tough for us to -- I mean, tell you the exact answer. But we also read a newspaper, etcetera, what everyone is, or everyone must be reading that the government spending on infrastructure for the first 9 months has been below budget, right. That is one. And second, of course, because of new government formation and the delayed budgets and delay in release of funds, that is impacting some overall demand for the construction sector.

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But that being said, some of the segments continue to do well. For example, railways, aviation, which have been the core focus areas for the government. There is some slowdown towards the water transportation infrastructure or other segments. But yes, I mean, everyone is hoping that with this budget, which is due over the next few days, the release of funds will start and that will give a push to the overall spending from the government side.

Rohit Singh: Got it sir. That's it from my side. All the best for the future.

Moderator: Thank you. Next question is from Gargi from Value Investments. Please go ahead.

Gargi: Hi, sir thank you for the opportunity. Sir my first question was that we buy HRC from steel companies, and it is usually supplied at a standard size which is then later reduced to see APL's requirement via this cold rolled mill that we have. So, with respect to that, what is the standard thickness size that you buy. And in cold rolled mill, how much do we reduce the thickness?

Anubhav Gupta: So, Sanjay Ji, she is asking like what is the standard size of coil thickness, which we get, right? And we have to cold roll to reduce the thickness.

Sanjay Gupta: We have taken a different type of thickness for different type of material. Like we have to make 0.8, so what will be the raw material for that, 1 mm, 1 ounce, what we require to make 1 -2, what will be the USP, we have to make 1.6 or to make 1.4. So, we are taking all the different type of thickness with the different type of finished product we required. There is no standard method.

Gargi: Sir, I actually wanted to ask you because in the previous calls I've heard that, because of this cold rolled mill, the cost of production reduces in terms of the products wherein the low thickness HRC is required. So, what's the percentage of total APNs per product portfolio requires the low thickness coils? And are these the products of light structures and apologizes?

Sanjay Gupta: Almost 30% we require for the thinner gauges.

Gargi: And sir, entirely we are doing it inhouse?

Sanjay Gupta: 30% material we are doing is the cold rolling.

Gargi: Okay, sir. And as per the requirement, entirely, we are doing inhouse or cold rolled, are we also outsourcing?

Sanjay G

upta: No, no. So slightly, we are taking the house. We are now short of supply, so our capacity is full.

So, we are taking some in the south with 5,000 to 10,000 tons per month. Otherwise, we are totally equipped with our finished product. So, we are putting a plant in South also for this

product.

Gargi: Okay sir, so if the capacity of 5 million tons is there, what percentage of the product portfolio will require the cold rolled mill and how much will we do in-house?

Sanjay Gupta: Madam, this depends on the market, but the capacity of cold rolling was around 2 million tons. If we take 5.5, then we should have nearly 30% capacity of 1.65 million tons -- 1.7 million tons.

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Gargi: And for this, we have set up the cold roll capacity in South India?

Sanjay Gupta: We have already, in South we got short. In South, we are planning to build a new plant in Malur.

Gargi: Okay, sir. And INR500 crores, INR600 crores capex you said, will it be covered in that only?

Sanjay Gupta: Everything is there -- Siliguri, Gorakhpur, Ahmedabad, Malur, 4 new plants and some capacity build up in Dubai, we are increasing it. So, all of that is there.

Gargi: Sir, second question is with respect to Shankara and SG Mart, with the current sales volume?

So, what is the current sales volume of SG Mart and Shankara? And when we do it...

Sanjay Gupta: SG Mart, Apollo is not doing any business. If there is a coil shortage from the yard of SG Mart, we will take a little more than 1000 tons, 2000 tons of coil. I don't think we have perfect data.

Shankara is doing almost 35,000 tons per month.

Gargi: And sir, how much is our target in 5 million tons to sales to Shankara?

Sanjay Gupta: We don't prepare this type of target and in so detail we don't get so much time on open call. This you can talk personally from Anubhav.

Gargi: Okay. Okay. And last question is with respect to in previous call, we had talked about our intention to expand distribution in US, Europe and Middle East. Sir, if you can talk about the export opportunities in these regions and what is our competitive strength?

Sanjay Gupta: Yes, Middle East, we are already -- we are doing 16,000 tons, 17,000 tons per month. So, our customer base is increasing a lot. And as our delivery and supply system is improving a lot, the import of the square pipe and the structural pipe has stopped. So, there is a little old stock, and we are just seeing that destocking is happening.

I think from February and March onwards, we have a good response from the Middle East market. And Saudi also we are doing 4,000 tons to 5,000 tons per month volume, and we are doing it in India. Our volume should increase there also. We are going to the second round of phase of capex in Dubai. Our capacity was of 3 lakh tons there. We are extending from 3 lakhs tons to 5 lakhs tons per month. In Dubai we can talk freely. We don't have to worry about Dubai. We can talk freely on the call.

Gargi: Okay. So, if you can expand. Destocking is happening, and imports have reduced in those regions, Middle East region. So, what is our late fees, is our cost of production lower or because it is a relatively new market for us. So, what is our churn?

Sanjay Gupta: The biggest game there is when we fixed our service, there was almost a dealer who used to run on a 4-month inventory cycle. Like India, we started reducing the demand there. Like if I give you an example, till October-November, we used to get orders of 3000 tons, 2000 tons per month. We used to send the goods.

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Our service was not good, we used to supply. From last one and one and half months, we are not getting orders of 100 tons per month. We are confident that we will get to deliver the order within 48 hours. So, I can see this change in those market.

Management: The same

change what we brought to Indian markets in 2017 with introduction of DFT.

Moderator: Thank you. The next question is from Devvrat Mohta from Capital Group. Please go ahead.

Devvrat Mohta: Congratulations on a good quarter. I have two questions. Sir the general commentary that macro is very weak. What gives you confidence that you go from INR350 crores EBITDA to INR400 crores EBITDA in Q4? That's my first question.

Sanjay Gupta: I have confidence in my work. What database can I say? And what I am doing is visible on its basis. That I should not have any problem in achieving it. I have seen that from January onwards, till December price will break and will break more. So, we had to push the goods and sell them. That push sale is also slowly getting over. Demand is also slowly getting created people are afraid that price will go down now steel price is on the bottom.

So, push sale is also getting finished we are also working very well we are focusing on everything, not just the cost.

Devvrat Mohta: Understood. And sir second, we are focusing on are saying INR400 crores in Q4 and on your volume, that means you have INR4,500 EBITDA per ton, so should we work with INR4500 EBITDA per ton as the base for FY '26?

Sanjay Gupta: My target is I NR5,000 minimum. Going forward, INR6,000. I am stuck in this situation that I am not able to say more. First achieve this and then I will talk about the next. My system is very strong. I am not happy with 4500 or 4000 is not my aim. My aim is minimum 5000 and going forward 6000. But for that I need a lot movement and I need external fast. I don't want to talk about 4500 -4000.

Devvrat Mohta: So, in worst case also you think you should be able target is 4500 and above that we will see?

Sanjay Gupta: Yes. My minimum target is 4500 or going forward my minimum target is 4500. Because we are doing our policy according to 5000 rupees per ton. Now there are marketing team, CEO, Marketing Head, people of branch level, people of RM level. They pass on discount. I am seeing a very low discount trend regarding December. We built our policies according to INR5,000.

Moderator: Thank you. Next question is from Sneha Talreja from Nuvama. Please go ahead.

Sneha Talreja: Congratulations on great set of numbers. Just a couple of questions. On the previous participant's question, you put discounting is reducing. Versus Q3, where are we at this point of time?

Anubhav Gupta: So, Sneha till now whatever trends we see in the first 20 days of the quarter, ongoing quarter we see INR100 to INR200 per ton discounting pull off has been done by our sales team.

Sneha Talreja: Okay. So currently we are around INR300 -odd discounting on the channel?

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Anubhav Gupta: INR300, INR350, yes.

Sneha Talreja: Understood. Secondly, just wanted to take some flavour. I know you have been mentioning one fact that HRC capacity in India are getting added up. But what is -- still there's an ADD implementation? How do we make sure that the gaps will still remain? So just some comfort on the gap of Patra prices and primary prices remaining?

Anubhav Gupta: So Sneha see, I mean, the logic says that even with the ADD there will be recovery, not to the extent what we saw during COVID levels where HR coil prices started going above INR60,000 a ton and then Russian -Ukraine war taking HR coil to INR70,000 a ton. That was the period which hit us the most. So, whatever happens at the policy level, we don't believe that the spike in steel could be to that extent.

Sanjay Gupta: Number two Sneha in the secondary type of material, we never think about these products because there we don't have the business with us. Business is in the hands of the steel plant and if you see JSPL blast furnace has not started yet. JSW [inaudible 41:44] is getting stabilized.

AM/NS blast furnace it will come in August, Sep

tember. So, in India there is a rumour, but bid not been done yet.

And when this capacity will build up the cost of production from secondary material it is almost 10,000 per ton it is less, short term maybe there is a future, but in long term if we see it will be sold in less rate and it will be costly. So, this business won't sustain according to me and apart from India nowhere secondary business runs.

Sneha Talreja: Understood sir. That was quite helpful. Thanks a lot, and all the best.

Moderator: Thank you. Next question is from Pallav Agarwal from Antique Stock Broking. Please go ahead.

Pallav Agarwal: Good evening, sir. I had a question on the realization. So, this quarter on an average HRC prices did fall from the previous quarter, but we have shown our blended realization there's an increase over the second quarter. So, any particular reason for that? Is it due to our value-added product or what has led to the better realization?

Anubhav Gupta: So, if you look at our NSR. So, if you look at NSR there is a stock in trade like in our cost if you see. So, if you remove that, then you don't see increase in the NSR. We've got to see it without increasing in stock in trade.

Pallav Agarwal: So, I have to reduce the stock in trade, what was the purchase even from the sales to come to the blended NSR?

Anubhav Gupta: That is right.

Pallav Agarwal: Okay. And will this trend continue of external purchases because I would guess the margins over there would be lower than in house products or this was more tactical thing or short term in nature?

Anubhav Gupta: Say it again, please?

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Pallav Agarwal : So, I am saying will this trend of higher purchase of stock in trade continue because I thought that margins on a trading portfolio would be lower than our in-house products.

Anubhav Gupta : Trading is almost zero.

Pallav Agarwal : So, you did this because of to gain market share or any particular logic if it was not very profitable?

Anubhav Gupta : So, this is not manufactured product. This is raw material which gets traded. So, 828,000 ton for the quarter 3 is by manufactured volume which we give. And you remove stock in trade from the revenue, you will get the NSR for the manufactured.

Pallav Agarwal : Okay. So basically, the stock in trade was HRC, not the finished?

Anubhav Gupta : That is right.

Pallav Agarwal : Okay. Also in our presentation, you are mentioning, we were talking about the solar opportunity. So right now, what would be the proportion of volumes that go into the solar pipes?

Anubhav Gupta : So, there are like three products, which APL Apollo manufactures today which go into solar sector. One is from Raipur which is our alu zinc coils which go into the solar mounted structures for ground-mounted solar park. So that capacity started 6 months back, and we have started selling specifically for the solar sector.

Then there are some specialized tubes which go for the solar trackers. So that's a slow-moving product because you get -- we need a lot of approvals from the consultants of the independent power producers who are installing solar tracker and solar tracker anyways is anyways a new product for the Indian market.

Although we have exported a lot of pipes for international trackers, but Indian tracker market is very new, and it is expanding at a slower pace. And third product is our standard pipes, which go on the residential rooftop solar. They are replacing angles and channels. Again, we have -- what we are doing here is that we are educating the EPC installers, EPC contractors to go over rooftops for -- at residential terraces and install small solar plants.

So, yes, it's a new segment for us, but these are three categories, and we are working across all the three categories to boost volumes. Right now, the proportion is small, but over the next

two,

three quarters we see good volume coming from solar segment.

Pallav Agarwal : Okay. Because I think the tracker, is that the top tubes that we are talking about which we need approvals from?

Anubhav Gupta : That is right.

Pallav Agarwal : Because there I think the opportunity could be pretty big once you get the approvals in place ?

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Anubhav Gupta : Of course, and again here the idea is to come up with like just -- not run of the mill tubes which a lot of our competitors are in the market and selling run of the mill tubes where margins are very less. And they are selling to the large players, very large conglomerates who don't give margins to their OEM vendors. So, we are not talking to those large customers.

We are talking to mid-sized customers where we help them with the design. So, then they are bound to buy tubes from us at our margin. Otherwise, whatever some players are in the market trying to sell solar top tube, there is no margin which any large developer will offer. Now we also tried, but we backed out because margins were like as low as INR2,000, INR3,000 a ton.

There could be some freight arbitrage, some players may be getting if they have the mill near to the solar park, but otherwise it's not a profitable segment with the large conglomerates where they have their design and they just ask you to roll the material to make pipes.

Pallav Agarwal: Sure. Yes, thank you so much.

Moderator: Thank you. The next question is from Bhavin Pande from Athena Investments. Please go ahead.

Bhavin Pande : Congratulations for a wonderful set of numbers. So, sir, when we look at heavy structure as a category even when we look at difficult quarters we had, metrics are fairly consistent. So how do we look at the demand scenario here and the customer base that we have, because it seems pretty much immune to demand scenario in the general space.

Anubhav Gupta : You're talking about heavy segment, right?

Bhavin Pande : Yes, heavy and premium products.

Anubhav Gupta : Heavy and?

Bhavin Pande : The premium products.

Anubhav Gupta : Premium products, which segment are you referring to in specific?

Bhavin Pande : Coated in Apollo Z and Apollo galvanized?

Anubhav Gupta : Yes. Okay. So, see, heavy structural tubes are definitely prone to the macro environment because these pipes go into infrastructure projects like railway stations, airports, health care infrastructure, etc., okay? So, the first 9 months have been tough in terms of demand from the

infrastructure projects, like any other building materials.

But because of our high market share, we've been able to grow this segment at 20% in first 9 months, okay? Then comes the Apollo Z or the light structure, this is a residential product, okay, that goes into homes. This is part of our 60% of our portfolio that goes into residential homes. Now again, the demand from retail side has been weak over the last 3, 4 quarters consistently, right? So here also, we are not getting any tailwind as such, right? We expect consumer demand to pick up from the second half of the current calendar year. And then we'll see good pickup in

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light structures and Apollo Z. Light and Apollo Z are like maximum going into residential segment.

Bhavin Pande : And when we look at our ability to penetrate into markets where the market still has not grown or there's no mature market, like we are doing for Eastern market. So, is it safe to assume that we can put up more plants wherever we feel that demand visibility is there?

Anubhav Gupta : The Eastern market, we are starting with 2 new plants, right. Normally, any company would go for one plant, right? But we being Apollo, we are straightaway putting up 2 plants, right? One in Gorakhpur to capture Eastern UP and Jharkhand. And then we are putting

up our plant in Siliguri,

which will take care of these second sister states, right? And some exports maybe to Burma, etcetera. Bhutan, we keep on getting good inquiries from there.

So yes, I mean, the idea is to seeding these plants first, so the minimum investment. If -- I mean the response would be good because our market share in that market is very low, right? And then we don't mind expanding capacities as our plants ramp up. That has been our strategy, right? We go slow and then we become aggressive once we see the trends for market share gains.

Moderator: The next question is from Andrey Purushottam from Cogito Advisors. Please go ahead.

Andrey Purushottam: My question has been answered. So, thank you.

Moderator: Thank you. We'll move to the next question. Next question is from Aditya Welekar from Axis Securities.

Aditya Welekar : Yes, sir, just one clarification on the residual capex. So, in the last call, if I recall, it was near about 3 billion to 3.5 billion. And now it's 5 billion. So that is for the capacity expansion earlier it was 5 million tons. Now it is 5.5 million tons, right? Is my understanding correct?

Anubhav Gupta : That is right. Yes.

Aditya Welekar : That's it from my side. Thank you.

Moderator: Thank you. The next question is from Arpit Tapadia from IGE Family Office. Please go ahead.

Arpit Tapadia: Congratulations on a great set of numbers. My question is, as you highlighted in your opening remarks about the scarcity of raw material availability in our Raipur plant. So, what exactly is that raw material and how scarce it is. And what the company is doing to mitigate the same?

Anubhav Gupta : So that was like a minor shutdown from our Tata Steel plant, which impacted our volume. So, this was not a significant -- this was not a significant loss, right, to the volume, which would have made us to change our strategy in sourcing of steel. Yes, I mean the volume could have been higher 5,000 tons to 10,000 tons, right? But it is stable now from Jan onwards, it's been pretty stable.

Arpit Tapadia: Okay, great. That's it from my side. Thank you.

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Moderator: Thank you. The next question is from Mann Ashar from GrowthSphere Ventures. Please go ahead.

Mann Ashar: Congratulations for the set of numbers. I just wanted to understand as the demand is shifting from, say, secondary prices to HR coil pipe. So how do you see narrow-width HR coil pipes as a market, because there are competitors emerging from that area as well and the pricing is very much similar in the market to HR coil prices? And so just wanted to understand your view from a competition perspective, of that particular segment?

Anubhav Gupta : You mean the Patra, right?

Mann Ashar: Narrow width HR coil?

Sanjay Gupta : Well, there is no quality of Narrow width HR coil. There is HR coil or there is secondary. Whatever you share narrow width, Patra, secondary whatever. But there is only 2 type of material in the market, one is primary, one is secondary.

Mann Ashar: Okay, sir, got it. Thank you so much.

Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Anubhav Gupta : Thanks, everyone, for dropping by and listening to our Q3 Investor Call. And thanks to B&K for hosting us. We look forward to speak to everyone during the earnings call. Thank you so much.

Moderator: Thank you very much. On behalf of Batlivala and Karani Private Limited , that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

## Call: May 2025

13th May 2025

Electronic Filing

National Stock Exchange of India Limited  
"Exchange Plaza" Bandra -Kurla Complex,  
Bandra (E),  
Mumbai -400051

NSE Symbol : APLAPOLLO Department of Corporate Services/Listing  
BSE Limited  
Phiroze Jeejeebhoy Tower,  
Dalal Street, Fort,  
Mumbai -400001

Scrip Code : 533758

Subject : Transcript of the Conference Call held on May 07, 2025

Dear Sir/ Madam,

With reference to our letter dated 01st May 2025 intimating you about the conference call with Analyst(s)/ Institutional Investor(s) held on May 07, 2025 . Please find attached the transcript of the aforesaid conference call.

This above information is also available on the website of the Company.

We request you to kindly take the above information on your record.

Thanking you

Yours faithfully

For APL Apollo Tubes Limited

(Vipul Jain)

Company Secretary and Compliance Officer

Encl: a/a

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"APL Apollo Tubes Limited Q4 FY'25 Post Results  
Earnings Conference Call "

May 07, 2025

SANJAY GUPTA : MR. SANJAY GUPTA - CHAIRMAN & MANAGING  
DIRECTOR , APL APOLLO TUBES LIMITED  
MR. DEEPAK GOYAL - DIRECTOR (OPERATIONS ) , APL  
APOLLO TUBES LIMITED  
MR. ANUBHAV GUPTA - CHIEF STRATEGY OFFICER ,  
APL APOLLO TUBES LIMITED  
MR. CHETAN - CHIEF FINANCIAL OFFICER , APL  
APOLLO TUBES LIMITED

MODERATOR : MR. SAILESH RAJA - BATLIVALA & KARANI  
SECURITIES INDIA PRIVATE LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the APL Apollo Tubes Limited Q4 FY '25 Post - Results Earnings Con Call hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions once the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sailesh Raja from Batlivala & Karani Securities India Private Limited. Thank you and over to you, sir.

Sailesh Raja: Yes, good evening, all. On behalf of B&K, I would like to thank everyone for joining APL's Q4 FY'25 Earnings Conference Call .

We are pleased to have with us today Mr. Sanjay Gupta – Chairman and Managing Director ; Mr. Deepak Goyal – Director of Operations ; Mr. Anubhav Gupta – Chief Strategy Officer and Mr. Chetan – CFO of the Company .

I will now hand over the call to Mr. Anubhav Gupta for his opening remarks following which we will open the floor for the Q&A. Over to you, sir.

Anubhav Gupta: Thanks, Sailesh , and thanks B&K for hosting our organization for our Quarter 4 FY'25 Earnings Call. I welcome all the participants who have dropped by.

If I have to start this call regarding our FY'25 Earnings , a few highlights I would like to make :

1. We crossed 3.1 million tons as sales volume for the full year. This makes APL Apollo as the world's largest downstream steel player outside China. And in terms of structural steel tube, we would be even bigger than the Chinese steel pipe Company . It has been a second year that we have closed our balance sheet with net cash. As at 31st March 2025, we stand with net cash of more than Rs. 300 crores on our balance sheet.
2. Our operating cash flow to EBITDA is more than 100%. Again, if you see last 3-4 years trend, our OCF to EBITDA has been around 90% consistently.
3. Our ROCE for FY '25 was 25%. This is slightly off last year, but we shall come back very strongly, and we shall give you reasons as we move forward. And it's the fifth consecutive year of almost zero working capital days.
4. We started the Cash 'n' Carry campaign in FY '21 and throughout 5 years , our distributors, dealers, customers have given a thumbs up to our strategy of Cash 'n' Carry and which has led to massive cash flow generation for a Company over last 5 years.

And if you look at the performance in the last 12 months, I would like to take a step back a bit more. The last two years, we have grown our volume by 45%, 15 % in FY '24 and 20 % in FY '25.

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This came in the hindsight of weak macros, weak retail spends, low government spend on infra structure, general elections, uncertainty on global trade and obviously the steel down cycle which started one and half years ago. So what it did is that it depressed our EBITDA spreads below Rs. 4,000 per ton in FY'25 as we close the year with Rs. 3,900 per ton. But this is not the real APL Apollo. We are capable of generating much better EBITDA spreads and will tell about the strategy how we are going to achieve that. But what this growth has done to us is that this volume growth of 45 % in last two years it has made us reach at a market share within structural steel pipes where we can command massive brand premium.

Now if you look at the margin in our general product category we reported Rs. 2,800 per ton EBITDA. Now that's almost Rs. 1,000 per ton higher than what we have been reporting over the last five years. So even in the most competitive segment, which is general category, we are now minimum 5 % higher premium than our nearest competitor. Now this is the real

ization of brand

building, what we saw in 2020 when we moved to Cash 'n' Carry , because we knew that the steel pipe industry cannot survive without APL Apollo products . So we could command Cash 'n' Carry and after 5 years, now we are again sure that our brand is so strong, our market share is so strong that we can command more than 5 % premium even in one of the base category product segments. So this is a big achievement I would like to highlight what we have been able to achieve in FY'25.

And with this positioning, we are confident that we will come back with EBITDA spreads near Rs. 5,000 per ton in FY '26, which will even improve going forward as our sales mix continues

to improve and we continue to expand our markets internationally where we get higher EBITDA spreads.

As far as the volume guidance is concerned, we are highly confident that we can continue to deliver 20 % growth YOY over the next 3-4 years. And this is the reason that why we are expanding our capacities to 7 million tons in next few years from current 5 million tons. The CAPEX for this is around INR 15 billion, which will be spread across the next few years and it will be easily funded from the internal cash flows .

Now this expansion is based on 4 strategies :

1. Expansion in the virgin markets – So virgin market number one is East India, where we are adding two plants with combined capacity of 500,000 tons. The next virgin market is Dubai in the international market, where we are adding an additional 200,000 tons. Then in South India, we are adding up a fourth plant with the capacity of 360,000 tons.

2. The next strategy here is the expansion in the new product segments – So one is the roofing sheet, which has done well for Apollo in the last 2 years since the launch. And we are increasing capacity by a further 500,000 tons in the segment and another 100,000 tons in the heavy segment.

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3. To focus on exports from the Indian mills – And that's the reason that why we have decided to put up a plant in Bhuj, Gujarat with capacity of 300,000 tons. Now that India is being seen as a favorable trade partner from the west side, we are confident that with our strength of steel buying and expertise in structural steel tube, we will be able to gain market share in international markets from Indian mills as well.

4. To maintain the brand premium for APL Apollo, which will keep our margins high in the coming years.

Lastly, I would like to tell you that after 12 months when we come on this call again, our ROCE will be around 35 % and we would have covered all the earnings loss, what happened in FY '25 because of depressed margins and the Company will come out much stronger with more cash on books and higher and superior ROCE.

Thanks so much. Happy to take questions now.

Moderator: Thank you , sir. We will now begin with the question-and-answer session. The first question comes from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Hi. Good evening, everyone. And congratulations for a great set of numbers and announcing the capacity expansion plan, much awaited. I have a couple of questions. The first one is on the capacity expansion plan itself. So you have highlighted that you will also expand in roofing sheets and heavy structures. Now, I just wanted to understand what is our current capacity utilization in both these segments and what gives us confidence to launch capacities in these two particular segments where the traction has been a tad slower. That is my first question.

Anubhav Gupta: The roofing sheet is 100 % utilized as of now , capacity front and that's why we are expanding. And in heavy structural, the utilization is 60 % as of now.

Amit Dixit: Okay . So by the time this capacity comes up, you expect that this segment also would be maybe fully utilized or above 8

0 % kind of utilization will be there?

Anubhav Gupta: That's right. It is a gradual increase, right, for next 3 years. So yes.

Amit Dixit: Of course. The second question is, in Slide # 22, you have highlighted the opportunity in solar space. Now, in which of these capacity expansions this particular opportunity fits in?

Anubhav Gupta: For solar, see I mean there are like 2-3 kind of applications . One is the ground products which come under coated. Then the top tubes , which come under heads. Pre -Galv also which is rust proof and some of the pipes also come in the galv. So it is spread across category.

Amit Dixit: And is it true that for Solar, the support structure particularly, you can't use DFT? One of your competitors was highlighting that.

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Anubhav Gupta: Yes, so as of now the top tubes are being produced on conventional mills , that is right.

Amit Dixit: Okay, sure. Thank you so much and all the best.

Moderator: Thank you. The next question comes from the line of Kumar Saumya from Ambit Capital. Please go ahead.

Kumar Saumya: Yes sir, so just one clarity I wanted to understand is QoQ, the steel prices had gone down by Rs. 5 and we had booked on an inventory loss of around Rs. 150 crores. This quarter, again the steel prices are up about Rs. 5. So if you could just help understand what is the inventory gain in this quarter ?

Anubhav Gupta: So, in Q2, the decline in steel prices was around Rs. 8,000 a ton. That was very steep. That's why we had to book inventory losses. And in Q4, the increase in steel prices around Rs. 2,000 a ton which does not move the needle plus or minus. So this EBITDA of Rs. 4.13 billion is without any inventory gain s.

Kumar Saumya: Okay. And sir lastly, what will be the utilization level s at Raipur and Dubai for the full fiscal as of 31st March?

Anubhav Gupta: So Raipur, if you see, it is around 60 % on blended basis across the product segments. And Dubai, we have operational capacity of 300,000 tons. And in Q4, we did volume of around 45,000 tons.

Kumar Saumya: And for the year end, Dubai sir?

Anubhav Gupta: Year end is around 145,000 tons what we did for the full year, 145,000 tons. Out of that 45,000 tons came in Q4.

Kumar Saumya: Thank you, sir.

Moderator: Thank you. The next question comes from the line of Bharat Shah from ASK Investment Managers. Please go ahead.

Bharat Shah: Hi, Sanjayji. The capacity, you said the growth rate of 20 % plus over next 3 years, but your own calculation suggests that it should be better than that because current demand for the structural steel tube is about 9 million ton, which is expected to double to 18 million in 5 to 6 years and essentially if we were to equal between HR virgin material and secondary root material for an half each but over 6 years we expect actually the secondary root to decline and therefore the entire increase to be taken up by the primary virgin material. Therefore that itself suggests close to 20 % compounded growth for six years and if we gain the shares further as we expect to, then we should be doing better than that 20 % isn't it?

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Sanjay Gupta: Good evening, Bharat Bhai. I can explain you the growth is around 20 % because you know that economy and the scenario is not helping us and we are also pressure to maintain the margin also.

The margin has come to less than 4,000, it was pulled up again to 5,000 level. And we have to maintain this margin also. But our total, I can say you that our total plan for 2030 is 10 million tons minimum. 10 million tons, means that 5 million tons we are already ready for marketing. Our plan is ready for 5 million tons and 2 million tons capacity already we planned which in next 3 years, or in less than 30 months we will set up 2 million tons capacity. In this we one pla

nt is Calcutta, one plant is Gorakh pur and Siliguri plant we have shifted to Calcutta, we got more advantage from there and Ahmedabad plant we shifted to Bhuj, because we more export market from there and one plant in Bangalore where we are short of material in lighter gauge, and one plant in Dubai for API Tube for exporting U.S. and Canada market and locally Dubai also and in coated product we are putting a capacity of 5 lakh -8 lakh ton in Raipur. So total for 2 million ton capacity for which investment of Rs. 1,200 crores will come. We have kept Rs. 200 crores -Rs. 300 crore for maintenance CAPEX for 3 years. We have taken a total of Rs. 1500 crore approval from board. Apart from that, we are doing 4 plants of 2.5 lakhs per ton each in value -addition which will be in 2030 depending on the cash flow and the balance sheet and economy, political institution also which remain in India, around 2.5 lakh tons of seamless pipe plant, 2.5 lakh tons of API plant, 2.5 lakh tons of Automated Tube Plant and 2.5 lakh tons of SS Pipe Plant. We have planned out 2.5 lakh tons of plants which will be set up by 2030 which we will incur around Rs. 1,000 crores total CAPEX. So total will be Rs. 2,500 crores for setting up plant by 2030. 2 million ton will be for light asset model and 2 million ton will be for outsourcing. The plants which are already there we have started talks, where our capacity pool is there. We will take that for outsourcing and our target we will be outsourcing 2 million tons. Total by about 2030 we have made a plan out of 10 million.

Bharat Shah: Okay, so you indirectly confirm that, that basically that number is a basic number but potential to do higher than that is evident in the capacity expansion that you are planning yourself.

Sanjay Gupta: Yes, sir.

Bharat Shah: Okay. Sanjayji. Second question, which is emanating to your first one. You talked about the profitability which was stressed, the kind of swings in the unprecedented swing in the steel prices which was beyond anybody's control. So that I can understand. But as a strategy, we have best products, best plants, best ability to cover and industry growth itself is in evidence as to why it will do well and structural, primary steel tube industry why it will do well. So our 20 % or 22 % or 25 % volume growth, I definitely believe is something which is implicit. Now our focus is to increase the profit and to increase it in a solid way. Focusing that will give quality of the growth far superior, predictability and solidity.

Sanjay Gupta: Bharat bhai. The question of profitability we have taken the EBITDA around 5,000, in Q4 also we keep the result. And I think so our FY'25 -'26 also it will be good with the pace we have started. Our focus now is on margin. Last February onwards the total focus is on margin, that

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along with growth, margin also is there. The important thing we are seeing is we are getting growth even after that. Nobody can replace us in the market. So we have lot of confidence because of that and margin we will increase slowly, plus our value-added product lines are coming, like next month or this month we will start our 1000 square feet mill will start, which is the first mill with capacity of 1 lakh tons, but now we are targeting 50,000 tons in that. So my target is that we at least have an extra EBITDA of around 10,000 tons. In rust proof pipe where our EBITDA margin which is around Rs. 7,000 per ton there we are increasing the capacity by 2 lakhs. It will start in this month, itself. In Dubai the margin is good. Dubai is ramping very well. Our 3 lakh ton capacity is already set up in Dubai, 2 lakh too will start in next 2-3 months. So 5 lakh tons plant is there. Our value addition will increase from there. Our EBITDA margin which Rs. 7,000 -Rs. 8,000 per ton, from there our Europe, U.S. and Canada, goo

d market will

open up. So we are improving from here too. But I cannot commit more margin and don't want to take pressure on myself and the system, we have to see the growth and margin too, but no doubt margin will increase year-on-year.

Bharat Shah: That was what I was trying to say, basically our volume growth instead of 22% -23% it came to 20%-21% or 19% -20% then there won't be much difference, but profit pool needs to be increased more than volume growth, so overall...

Sanjay Gupta: Our focus is more on ROC E, like this year we are targeting, we take the target of ROC E of 35%. Our target is 35% ROC E, which was around 25 % this year. And in next 2-3 years, our target is to increase this ROC E above 50%.

Bharat Shah: So that my last question on ROC E. You already answered it.

Sanjay Gupta : I have already answered your question.

Bharat Shah: Because structurally, per ton our CAPEX gain can be more than Rs. 8,000-Rs. 8,500 per ton and working capital we don't have. So, if we earn at least Rs. 5,000 EBITDA per ton, then 45 % of ROC E will be there.

Sanjay Gupta: Yes, this year, around 25% will be for our combined, full year. This year we are taking a target of 35 % and every year we will make it. My strength is controlling of the cost. My strength is to talk about the vision of future. We now improving the cost little bit more, like you would have seen this year our employee cost is almost close to Rs. 1,000 per ton. Now I think this year we will reduce to Rs. 800 per ton this year in FY'25-'26 and in FY' 26-'27 we will bring it to Rs. 600 per ton. We are targeting in the two steps to reduce; it be difficult to bring down from Rs. 600, but we made our vision of Rs. 600 per ton. Number two, we have also given a signal to control the cost, I have withdrawn salary and all commissions everything, surrendered it. Number 2, we have more gap. Our per unit cost is, last year's cost is Rs. 7.6 per unit cost, electricity cost. We have signed lot of Solar and other contract. So I think this year 7.6 we will bring it down to less than 6.5 and next year we are targeting to bring it down to 5.5. So if we have spent 30 crores per unit, if we reduce the cost to Rs. 2 per unit and the consumption of the unit will increase, it will

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go around 50 crores unit. So our savings will be Rs. 100 crores. So, we are doing a lot of work in small-small parts to control the cost.

Bharat Shah: It is difficult to get cost like APL Apollo. I will acknowledge that from bottom of my heart. Just last comment I will offer, feedback as well as comment. Given the unprecedented volatility in the steel price and given overall challenging demand condition especially considering the fact that this happen to be a year where pre-election, post-election phase got combined and therefore it affected the demand and many other things. So in this challenging environment, the first half, the second half result is commendable. Would you say that this probably has been the most difficult year to manage in terms of the external challenges?

Sanjay Gupta: I don't know about the future geopolitical position, but last year of my life was very tough. It was very difficult to pull out good numbers in the second half. This is the toughest time of my life. I don't know how it will be going forward. I don't know but from February onwards, we are in the comfort position. Our April has gone well, we are on the right track. We were in very tough time.

Bharat Shah: Heartly congratulations, Sanjayji, entire APL team and all the very best for probably what is going to be the exciting phase ahead.

Sanjay Gupta: Thank you, Bharat bhai. We hope so that we live up to your expectation.

Bharat Shah: I have never seen a gap in the hard work that you do.

Sanjay Gupta: But there is a saying that "Jo Jeeta woh Sikkandar". We will be doing the hard work

, but now

will try to win and become Sikkandar.

Bharat Shah: All the very best for that.

Sanjay Gupta: Thank you, Bharat bhai .

Moderator: Thank you. Thank you, sir. The next question comes from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: Thank you for this opportunity. My question is specifically on the guidance on sales volume which we provided in the last quarter for '26 and '27 of 4 and 5 million tons. And if we go with 20% volume growth, this guidance is likely exceeding that. So is it fair to work on these numbers of 4 and 5 million tons of sales volume for '26-'27, or it will be slightly lower than that?

Anubhav Gupta: I mean, see this number which we gave, this we gave with a lot of thought, right, and a lot of calculation behind. It should be backed with the market situation. It should be backed with the capacities in our all the plant. It should be backed with our distribution network. It should be backed with our, with this situation, what is panning out at macro level, global political level.

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So, yes, I mean, we are confident that 20 % year-on-year volume growth for next 3-4 years is highly achievable.

Aditya Welekar: Okay and the jump in the EBITDA per ton for general products from 1970 to 2800 one factor is it because of the drop in the spread between Patra and primary and discounts coming off and will it sustain going forward?

Anubhav Gupta: No, this is because of the market share at which now Apollo is positioned , right , where the replacement for our brand is not visible.

Aditya Welekar: Understood. So it will be sustained, right, going forward?

Anubhav Gupta: It will sustain, yes.

Aditya Welekar: Yes, last part is on the guidance of Rs. 1,500 crores of CAPEX . How it will be phased out for year-wise if you can throw some idea for '26-'27-'28?

Anubhav Gupta: Rs. 500 crores per year you can factor in.

Aditya Welekar: Okay, thank you. That's all from my side.

Moderator: Thank you , sir. The next question comes from the line of Sneha Talreja from Nu vama Wealth. Please go ahead.

Sneha Talreja: Good evening , team and congratulations on strong set of numbers. Just wanted to deep dive on your EBITDA per ton. Firstly, you have of course pulled up the discount and you mentioned there are no inventory gains but what could be operating leverage benefit that you would have received only in this particular quarter?

Anubhav Gupta: So Sneha, if you see, I mean, Q3 volume was 830,000 ton and Q4 volume is 850,000 ton. So sequentially, cost benefits will not be too much visible. They will be more visible in quarter one as the volume expands beyond 850,000 ton or second quarter. But yes, if you look at our employee cost, that has come down, right? Obviously, it is supported by the surrendering of salary by Sanjayji , but other than that we are working on all the fronts whether it is freight cost, it is power cost, whether it is steel wastage cost , right , so some benefits keep on coming in and then the volume ramp up whether it is 20,000 tons quarter -on-quarter increase s some leverage you will continue to see over the coming quarter.

Aditya Welekar: Understood. Given you mentioned about the salary, part of it, how sustainable is that? And when can we see those kinds of benefits continuing? That's one. Secondly, we could also see that, kind of there was a tug of war between volumes and margins. The reason I am saying is you did give guidance of 10 % QOQ volume growth and you also gave 400 odd crores EBITDA, while we did not see volume growth at the same level, but we saw you exceeding the margins. So is it

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something that you know next year also there will be going to be margins is going to be something like your core focus or how are you planning out things here?

Anubhav

Gupta: So Sneha see , when I started the call I said last two years we grew our volume by 45 % right ? So this volume growth came in the backdrop of very challenging environment which was macro at country GDP level, then elections, pre -election, post -election, and thirdly, our own industry, which was going through massive down cycles, right? Steel prices crashed by 25 % in last 18 months. So that's what depressed the margins. But good part was that we could build the market share at a level, now where we stand, we can command a 5 %-6% premium over our next competitor. So this gives us confidence that maintaining 20 % volume growth like how we did in last 2 years , my EBITDA spread will continue to improve plus all the new capacities which are coming up they are also a lot of strategically located whether it is new virgin markets like East India, Bhuj for exports or it is international sales from Dubai plant or it is entry into new

product segments, so we're ensuring that the existing capacity doesn't get cannibalized, which could again depress the margins. The incremental growth is coming from new geographies, new products, better sales mix, which will continue to improve our EBITDA spreads going forward. So EBITDA margin will continue to improve without stress on the volume, because volume is coming from new geographies, new markets, new products, new plants.

Aditya Welekar: Understood. And lastly, on the spread which has increased now between the primary and the secondary spread, which is very much favorable for quite some time, 2 to 3, I think that's gone up to 7 to 8. What's the action that you have taken on ground? Can we hear more about it? That what are you doing additionally in the commoditized segment?

Anubhav Gupta: So Sneha, right now, see Rs. 7,000-Rs. 8,000 per ton spread is pretty much comfortable to continue to work with. We face challenge when the spreads increase beyond Rs. 15,000-Rs. 20,000 per ton. Under Rs. 10,000 per ton, the market is well positioned to go towards HR coil based structural steel tubes. Obviously, in month of October-November when the gap came down there was a boost of sales in that segment but like I said that this general segment of 1.5 million ton what we are doing, so our growth is coming beyond this 1.5 million ton which does not get affected from sponge iron steel pipes, whether it is coated, it is rust proof, whether it is heavy, whether it is light, whether it is galv, all these new products, Dubai market doesn't export market, right. So our incremental growth is coming from products and markets where sponge iron steel pipes don't impact the volume.

Aditya Welekar: I understood. Lastly, in case you can highlight on the Dubai market, what's the kind of opportunity we heard you saying on US-Canada opportunities also? Who are the existing players servicing on those markets currently? What's the growth rate like in those markets? Opportunity size, some flavor there could be helpful.

Sanjay Gupta: Earlier the US and Canada market is catered by the Korean and Japanese mills. But after the Trump government, they equal the duties. The US duty structure which they had, UAE was made

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equal to Korea and Japan. So all of a sudden US and Canada's market has opened up quite well and we are getting good realization. Number two in the Europe market, the difference in Euro and Dollar is close to 1.14. The Euro has become equal to Dollar. So, the Dubai market has also got lot of difference. We are already settled in Europe. We are dispatching 5,000-6,000 tons of material per month. But in US and Canada, we just started the supply. Our shipment is reaching there now. We are very bullish that as soon as our shipment reaches, then after that we will get a good response from them because our quality is well accepted in the Saudi market, UAE market

and Europe market. So there shouldn't be any problem in US and Canada. And we have a good capacity there, already we have a capacity of 3 lakh tons. And 2 lakh tons will start in July and August. So it will be a total of 5 lakh ton old plant. So we are hopeful of getting more from there because of the cushion that got created.

Aditya Welekar: Understood, sir. Thanks a lot sir and all the very best.

Sanjay Gupta: Thank you.

Moderator: Thank you. The next question comes from the line of Akshay from AK Investment. Please go ahead.

Akshay: Hello. Good evening, sir. Congratulations on the strong set of numbers. My first question is based on our capacity expansion. So in the initial remarks, you have said that we are by 2030, our plan is to do 10 million tons and we will be coming up in the different segments like SS pipes and all these things. There are already other players in that segment. So what is the rationale by coming in that segment and would our margins be compromised because of that?

Anubhav Gupta: Which segment, can you please repeat, for what segment are you talking about?

Akshay: Stainless steel pipes and other segments.

Anubhav Gupta: No, I mean you will have to repeat the question.

Akshay: Like sir said that we will come up with 2.5 lakh tons of four different things of SS pipes and other things which you have mentioned. So if there are other players in this segment, so what is the rationale in that by doing the expansion in that segment?

Anubhav Gupta: So, that is our entry into super specialty tubes, right? We are going to come up with very, very small investments, right? 250,000 tons into four different categories, okay? So putting up and investing small amount of Rs. 300 crore -Rs. 400 crore and testing the market into a new product segment, as a Company we decided to do that. Our right to win will be of course, I mean, not immediate because we will start with small investment. We will ensure that there is no strain on the balance sheet. The initial CAPEX amounts are very, very minimal. We get into the space, we make our mark. Then we scale up the business if we are able to have right to win. But initial right to win for the industry is that in this super specialty tubes, we are now going to do run-of-

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the-mill products like plain API or plain stainless pipe kind of products. This will be specialty products where you will have where the competition is very, very less or there will be only a limited number of players existing in the country and it will be more of import substitution. So it will be very prudent in identifying these spaces and deploying capital.

Akshay: Okay, understood, sir. And sir, my second question is based on our competitive scenario in steel tube industry. So obviously we are the market leader in that industry, but I want to understand that what is the entry barrier in our industry and there are many big giants like Tata Steel and JSW. So I have seen the steel tubes of Tata Steel as well as other players as well. So, are there any threats if they expand their capacities and they grab some market share in that segment?

Anubhav Gupta: See, I would leave it to you to analyze what are the entry barriers here in our industry.

Sanjay Gupta: Good evening. Boss, we can't get anything comment on this subject because a lot of matter, they are also supplied to us for the raw material. I can only say that Tata Steel is very old than us and they are very well organized Company. They never throw the material in the market in the low margin. When someone don't throw low margin, there is no problem at all. They have own product range, we have own product range, so we don't want to discuss. Thank you.

Akshay: Okay, not an issue, sir. Not an issue. And my last question is the blended EBITDA. So what is our target for blended EBITDA in FY26?

nded EBITDA in FY26?

Anubhav Gupta: Near about Rs. 5,000 a ton.

Akshay: Okay, thank you so much, sir. Thanks for answering the questions.

Moderator: Thank you. Participants, please restrict yourselves to one question. If you have any further questions, you may rejoin the queue. The next question comes from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.

Pallav Agarwal: Yes, good evening and congratulations on a good set of numbers. So just on the positioning of APL Apollo, so what was the branding expenses that we incurred this year and what are we planning to incur the next couple of years?

Anubhav Gupta: So advertisement spending we did for the full year, was around Rs. 31 crores. And this year it should be mild growth, not much.

Moderator: I would request you to rejoin the queue if you have any more. Thank you. The next question comes from the line of Vikas from Philip Capital. Please go ahead.

Vikas: Thank you for the opportunity and congratulations on a very good set of numbers. Sir, I just wanted to understand since our cash burn is much lower than the cash generation, what are our APL Apollo Tubes Limited

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plans with the cash? And if any, if you could throw some light on if promoter willing to increase the stakes since it has been very low.

Anubhav Gupta: This is one good problem to solve, right? But in general, see, I mean, as part of our capital deployment strategy, if we earn \$100 EBITDA, our operating cash flow is also \$100, right? And we have created four buckets to utilize this cash. One bucket will go for tax payments. One bucket will go for dividends. One bucket will go for CAPEX because we are a growth-oriented Company. And at one bucket we will see if cash piles up on the books and then we will see how to reward shareholders. But I think over the next two, three years, we will have also these liabilities, which are current liabilities. We should have enough fixed deposits, enough cash surplus cash on the books to match these current liabilities. And then we will see what to do with the surplus cash.

Vikas: Noted. On the promoter's side, any further insights?

Anubhav Gupta: No, nothing as of now.

Vikas: Thank you.

Moderator: Thank you. The next question comes from the line of Garbi Singh, an Individual Investor. Please go ahead.

Garbi Singh: Thank you for the opportunity and congratulations on great performance. Sir, my question was that, could you please elaborate on your statement that MD has surrendered salary and a bit more on how, what is leading to commanding 5% higher margin even in the general products?

Anubhav Gupta: See, like Sanjayji said that his strength has always been working on the cost, right? During one of our discussion with leadership, we were sitting and we were having intense discussion on how to cut down cost, right? So employee cost is something which is coming a bit high because we have expanded our capacity ahead of time. So right now the employee cost per ton which is around Rs. 1000 and our own target is to bring it down to Rs. 600 per ton. So Sanjayji just took the lead and he wanted to set by an example and he said okay let me surrender my salary all my commissions for FY'25 and FY'26, right and I encourage everyone to come out with innovative ideas and thoughts, right? How we can reduce the cost per ton, right? And bring down every cost, not only employee, but work on every front. So that's what he kind of decided to surrender

his salary for F Y'25 and F Y'26. And on the second question on the premium on our general products. Yes, I mean, again, this is the strength of brand APL Apollo, which has been built over number of years. The first realization we did in 2020 when we moved to Cash 'n' Carry . The second realization i s in 2025 when we increased our prices for general products by 5 % versus our co

mpetitor, and we are able to sustain that. So, and we are confident that we should be able to sustain this because of our ever -improving servic ing to our distributors, ever expa nsion of our product portfolio and innovation and ever improvement of our distribution network.

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Garbi Singh: Thank you.

Moderator: Thank you. The next question comes from the line of Udit Gaj iwala from YES Securities. Please go ahead.

Udit Gajiwala: Yes, hi, team . Congratulations on great set of numbers. Just one question, if you can highlight what would be our EBITDA per ton for export markets. So right now from Dubai, how much is it and what could be the target that we are aiming from Bhoj when we star t those operations?

Sanjay Gupta: Hi, good evening. EBITDA per ton for the Dubai export market is close to Rs. 7,000-Rs. 8,000 per ton. And from India, right now the margin is not good, maybe Rs. 2,000-Rs. 2,500 per ton.

But there is a reason, the local st eel prices are high than the import price. So now we are importing some quantity for exporting the material. Then we should think our margin is go to 8 to Rs. 10,000 per ton. Our import, what we are exporting, our import is arrived in the month of July. Fr om the Q2, our margin of export is also from India is going to Rs. 7,000 to Rs. 8,000 per ton or maybe Rs. 8,000-Rs. 9,000 per ton. But t ill now we not got the cheaper raw material. Our margin is Rs. 2,000-Rs. 3,000 per ton.

Udit Gajiwala: Got it , sir. Thank you , sir and all the best.

Moderator: Thank you. The next question comes from the line of Anupam Gupta from IIFL Capital. Please go ahead.

Anupam Gupta: Thanks for opportunity sir. Just one question on the volume guidance. So 20 % full year is understandable but how are you seeing the near term per se first order of course, are you seeing an uptake in demand already or we are still looking at second half being the major part of volume for this year?

Sanjay Gupta: Right now , we are right on track. April is just slightly little bit from our target. Like every year the April is on the downside. We are less than our target, volume target by 5 % to 6%. And May is going good. So I don't think like first half of the month we can do 17-18 lakh ton, in the second half we crossed 2 million ton .

Anupam Gupta: Understood. That is it from me.

Moderator: Thank you. The next question comes from the line of Shweta Dikshit from Systematix Group . Please go ahead.

Shweta Dikshit: Hello. Hi, good evening. Congratulations on a good set of numbers. My question is primarily, what's your EBITDA per ton guidance on 20 % volume growth each year? Also, to be taking care of the fact that if at all fuel prices fall again, is the most likely of sustainable rate of EBITDA per ton? Is there a chance that once again, when we push higher volume when our focus goes to volume growth, could there be a scenario where we again push discounts to the market to gain

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a better market share? So more like the question that largely revolves around as a sustainable EBITDA per ton ?

Anubhav Gupta: For FY '26, guidance is near Rs. 5,000 a ton. And over the next few years, EBITDA spreads will continue to improve beyond Rs. 5,000 per ton because of improving sales mix and increasing sales from international markets and getting the operating leverage plus working on the cost reduction factors. So we are confident that EBITDA spread should improve year -on-year for the next 3-4 years. As far as steel down cycle is concerned, we don't see that steel could crash again by 25 % as it did in the last 15 months. So since we don't foresee such sharp decline, it should not lead to any decline in our EBITDA spreads. 4 %-5% increase /decrease does not impact us at all.

Shweta Dikshit: Understood. And if I could squeeze in one more questio

n out of the total ...

Moderator: I am sorry to interrupt, Sweta. Could you please rejoin the queue if you have any more questions? Thank you. The next question comes from the line of Bhavin Pande from Athena Investments.

Please go ahead.

Bhavin Pande: Hi, congratulations on great set of numbers. So when we look at heavy product in the Apollo

structural segment, EBITDA per ton is around 8,700. So how do we look at this run rate on a sustainable basis?

Anubhav Gupta: It should be in the same range Rs. 8,000 to Rs. 9,000 a ton.

Bhavin Pande: Okay, thank you.

Moderator: Thank you. The next question comes from the line of Mayank Bandari from Asian Markets. Please go ahead.

Mayank Bandari: Thanks for the opportunity. I just wanted to have a look at the console number for earlier. Is it possible for you to share what was the PAT contribution from the APL Apollo building products that is your Raipur plant? The number for last year was almost 26 crore of the PAT

Anubhav Gupta: Let's take it off the call please. You can reach out to us later.

Mayank Bandari: Okay. And just one more thing I wanted to understand from the industry competition perspective as we are seeing that a lot of players have come and capacity wise there seems to be over capacity in the industry. Would you agree to that point to at this moment?

Anubhav Gupta: It could be in the general segment, but not in the value-added products where we have dominant market leadership.

Mayank Bandari: Okay. Thank you.

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Moderator: Thank you. The next question comes from the line of Shweta Dikshit from Systematics Group. Please go ahead.

Shweta Dikshit: Thank you for taking my question again. Could you define what is the total share of exports as of now, including the exports from India and Dubai both? And how is it likely to pan out in the next two years? What's the target to take the proportion of exports to?

Anubhav Gupta: As of now we are at 6% and target is to take it beyond 10%.

Shweta Dikshit: Thank you.

Moderator: Thank you. The next question comes from the line of Deepak Pandey from Sagun Capital. Please go ahead.

Deepak Pandey: Sir, in the Slide # 11, you have mentioned about some new specialty tube capacity. So can you just throw some light on it and what sort of EBITDA per ton are we looking at here?

Anubhav Gupta: So here the focus will be to service some industries like oil and gas, refineries and mechanical tubes, right? Could be some highly specialized water line pipes. We are still working on it. But that's the vision till 2030 that we must have some presence outside structural steel tubes, which could be like 5% to 10% of our total capacity by then. Maybe in next six months we will have a better answer to this that what's the game plan, actual game plan there.

Deepak Pandey: Got it. Thank you.

Moderator: Thank you. The next question comes from the line of Krishnam Saraf, an Individual Investor. Please go ahead.

Krishnam Saraf: Hi. Thank you for the opportunity. I am a bit new to this industry. I just have a basic question as to why doesn't anyone hedge their steel exposure in the market?

Anubhav Gupta: You will have to say it again, please?

Krishnam Saraf: Yes, the question is, why don't players hedge their steel inventory exposure in the market?

Anubhav Gupta: There is no such product to do this. So there is no way, there is no instrument to do this.

Moderator: Thank you. The question comes from the line of Anupam Gupta from IIFL Capital. Please go ahead.

Anupam Gupta: Yes, thank you for opportunity. So you highlighted a very strong cost reduction target for employee cost from 1000 to 600 over the next few years. So obviously next year Mr. Sanjay Gupta not taking salary will help. But let's say you're still looking at a meaningful greenfield

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capacity expansion coming up over the next 2-3 years. This will again add to your cost and this will again depend on how far those capacities get utilized in terms of cost reduction. So is this 600 actually doable over the next couple of years and what will enable you to drive this over the next couple of years apart from operating level? Is that any other lever, apart from operating leverage, that enable you to drive the cost down?

Sanjay Gupta: Good evening. Anupam, salary cost from 1000 to 600 is not a big task. These are just the tasks of automation and discipline. Like, our plant's salary cost is close to Rs. 400 per ton. And our expense of our HO which is almost the same for example if we make 10 million ton it will be the same, if we make 5 million ton it will be the same or whether we make 4 million ton it will be the same. As our volume increases, our cost will come down a bit. We are doing some automation in some plants, like I told you we will incur a CAPEX of Rs. 200 - Rs. 300. Our lines are operating at 80 to 90 meters; we are trying to take it to 120 meter to 130 meter. We have to

assign people for bundling so we are bringing bundling into automation. We are working to put an end on handling by using as much as automation is possible. We are targeting that to bring down our plant cost. We are trying to bring the plants to optimum utilization so that the cost of the plant which is right now Rs. 400 per ton we want to bring it to Rs. 300 per ton. And our HO, brand, and marketing cost of 500 crore to 600 crores we want to reduce that to Rs. 300. So this is more or less, we have to maintain the discipline. We have capacity utilization we have to take it to 100% and some automation. All the 3 mixer, we can find the result. And till we don't think about it, we won't target it, so how can we do? So our try will be to at least do 700 if not 600, or 550. But we have to try.

Anupam Gupta: This is helpful, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Anubhav Gupta to give his closing remarks,

Anubhav Gupta: Thanks everyone for dropping by. Look forward to talk to you again during Quarter 1 FY'26 Earnings Call. Thank you so much.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Batlivala & Karani Securities India Private Limited that concludes this conference. You may now disconnect your lines.

## Call: Jul 2025

26th July 2025

Electronic Filing

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NSE Symbol : APLAPOLLO Department of Corporate Services/Listing  
BSE Limited  
Phiroze Jeejeebhoy Tower,  
Dalal Street, Fort,  
Mumbai -400001

Scrip Code : 533758

Subject : Transcript of the Conference Call held on July 24, 2025

Dear Sir/ Madam,

With reference to our letter dated 17th July 2025 intimating you about the conference call with Analyst(s)/ Institutional Investor(s) held on July 24, 2025 . Please find attached the transcript of the aforesaid conference call.

This above information is also available on the website of the Company.

We request you to kindly take the above information on your record.

Thanking you

Yours faithfully

For APL Apollo Tubes Limited

(Vipul Jain)  
Company Secretary and  
Compliance Officer

Encl: a/a

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"APL Apollo Tubes Limited Q1 FY'26 Earnings  
Conference Call "

July 24, 2025

MANAGEMENT : MR. SANJAY GUPTA - CHAIRMAN & MANAGING  
DIRECTOR , APL APOLLO TUBES LIMITED  
MR. DEEPAK GOYAL - DIRECTOR (OPERATIONS ), APL  
APOLLO TUBES LIMITED  
MR. ANUBHAV GUPTA - CHIEF STRATEGY OFFICER ,  
APL APOLLO TUBES LIMITED  
MR. CHETAN KHANDLWAL - CHIEF FINANCIAL

OFFICER , APL APOLLO TUBES LIMITED  
MODERATOR : MR. AMIT LAHOTI - EMKAY GLOBAL FINANCIAL SERVICES

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Moderator : Ladies and gentlemen, good day and welcome to APL Apollo Tubes Earnings Conference Call hosted by Emkay Global Financial Services.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" and "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Lahoti – Emkay Global Financial Services. Thank you and over to you, sir.

Amit Lahoti: Thanks, Avirat. Good evening, everyone. I would like to welcome the Management of APL Apollo and thank them for this opportunity. We have with us today Mr. Sanjay Gupta – Chairman and MD, Deepak Goyal – Director (Operations), Anubhav Gupta – Chief Strategy Officer and Chetan Khand elwal – Chief Financial Officer.

I shall now hand over the call to the Management for the opening remarks. Over to you.

Anubhav Gupta : Thanks, Amit. Thanks, Emkay Global for hosting APL Apollo for its Quarter 1 FY' 26 Earnings Call. I welcome all the participants and thanks to all the participants for dropping by.

One performance for APL Apollo Tubes was definitely below our expectations. The sales volume should have been higher by at least 5 %, but there were various reasons why we could not achieve the target set by ourselves .

Number one reason is the continued slowdown in the macro environment, which is evident from the weak industrial production data from the government side. As we know, for April and May, the IAP growth was mere 2 % to 3% and the expectations for Q1 FY'26 GDP growth is also a bit on the softer side.

Reason number two, which resulted in loss of volume was the elevated geopolitical tensions which hit our volumes in two ways. Number one, India -Pakistan war, which impacted northern state volumes for almost one week and then in the last 20 days of July, the Middle Eastern war between Israel and Iran, it led to lower volumes in the Middle Eastern market, and it hit our export volumes also from Indian mills.

Third reason is the early onset of monsoon, wherein the construction activity got halted. Whether it were ongoing projects or the commencement of new projects, everything gets slowed down because no one was expecting that the monsoon should start or would hit the country within June month itself.

Lastly, what we are witnessing is the softer money supply in the system, which is leading to the reduction in the buying power of our dealers and stockiest, because their money is also stuck

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with the agencies and EPC contractors who are working on the government projects. So, what we are seeing is that the buying power of our channel partners has gone down a bit.

Coming to the EBITDA spreads for Quarter 1 :

Of course, they are up YOY significantly, but on QOQ basis, they are down by like Rs. 250. The reason for that is, of course, lower volume, which led to negative operating leverage and Rs. 100 per ton is impacted from the one-time notional expense led to ESOP, which increased our employee cost.

Coming to the ongoing quarter :

Things remain sluggish as compared to Quarter 1, but we do believe that the second half of FY'26 should be pretty promising. By that time, the monsoons will get over and the government spends would also turn into the actual money supply into the system, which will increase the buying power of our channel partners. At the start of the year, during Q4 FY '25 earnings call, we had guided for 15 %-20% volume growth for FY '26. However, we believe this is slightly unlikely given the softer start to the first half. So, we believe that the sales volume for full year should increase between 10 %-15%, assuming

the macro environment does not worsen from the current levels.

As you know that APL Apollo started its brand premium strategy in January of 2025, wherein we are focusing on maintaining EBITDA spreads. So, what we believe is that once the demand environment comes back or it recovers, APL Apollo is ready with its capacity, its product line, its distribution network, its brand pool. So, volumes will come on its own. There is no point

chasing volume at the cost of EBITDA spreads.

So, that's why we are not into push strategy as of now. Our focus is to continue to generate higher EBITDA spreads and elevate our APL Apollo brand in the customer's mind. And thankfully, we are pretty successful. Now it's been seven months we started this, we implemented this strategy and it is going fine so far. For the full year, we are hopeful, we are confident that EBITDA spreads should be between Rs. 4,600 to Rs. 5,000 per ton, which is significantly higher than FY'25 EBITDA spreads of below Rs. 4,000 a ton. In the midst of this economic slowdown, we continue to focus on our long-term capacity expansion plans and fill in the gaps where we believe that we can take our capacity from Rs. 4.5 million -Rs. 5 million ton to Rs. 7 million ton in the next two to three years. So, there are like four areas where we are working. Number one is expansion in the newer markets, which are Eastern India and Dubai market. So, in Eastern India, we are putting up two plants with capacity of 500,000 tons. In Dubai, we are expanding capacity by further 200,000 tons. In South India also, we are coming up with 400,000 tons of newer plants where existing products are fully utilized and the capacity.

Then, the second area we are focusing on is the expansion of new products, wherein we are adding 500,000 ton of coated capacity and 100,000 ton of heavy structural tubes. The third area

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which we are focusing is on export sales from Indian mills. So, that's why we are planning to set up a plant in Bhuj, Gujarat area. And the plant will be majorly focused towards exports and then it will also feed the Gujarat market for localization. And lastly, we are also working on putting up capacity for Specialty Tubes, wherein we believe that 300,000 -400,000 ton of multiple product categories can be created over the next two to three years in non-structural space.

On balance sheet front :

We are net cash and our working capital days remain prudent in single digit. By end of FY '26, we shall be sitting on much larger cash surplus what you see today. And lastly, proud to tell you that our plants have achieved 72% of power consumption based on renewable energy, which states our heavy commitment to our ESG goals. And we target to take this contribution from renewable energy to 80 %-85% over the next two to three years. And this not only helps us in meeting our ESG targets, but also reduces the overall power cost for the company, which right now is 0.8% of the product value. It continues to go down and it gets aligned with our cost optimization strategy.

Amit, that's all from our side. We are open to take questions now.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Dixit from Goldman Sachs. Please go ahead.

Amit Dixit: Good evening, everyone and thanks for the opportunity. Just a couple of questions from my side. The first one is regarding the slowdown that you mentioned in your opening remarks appears to be transient. But how is the competition brewing up, particularly from your peers and in the general structure category, if you can highlight that? And do you see this payables build up largely because, possibly because of your cash strain on your dealers, essentially? So, do you see it going away in H2? So, just wanted your thoughts around the same.

Anubhav G

up ta: So, see, I mean, if you look at our general category, okay, we mentioned the general category because earlier we were making EBITDA spreads below Rs. 2,000 a ton, right? Now, it's been two quarters that the EBITDA spreads are near about Rs. 2,800 a ton, right? So, we are able to increase our margins by almost Rs. 1000 a ton in last six months. So, it's no more commodity, right? And you can see that the volume also, it has not declined in last six months. So, the market has absorbed this price hike, right? And in next few quarters, you will see that this general doesn't remain general, okay, because everything is making superior margins. So, this suggests that there is no competition in this space, even when we have increased our pricing. And this general also takes account of products manufactured in Dubai, right, because this is as per the sizes, correct? And in Dubai, at the same size, you also make Rs. 4,000-Rs. 5,000 per ton EBITDA spread, right? So, I think, as a strategy of de-commoditization, we are pretty much on track and whatever we are producing in range of 50 mm x 50 mm to 100 mm x 100 mm range, APR Apollo has created its own niche, own brand in this segment. The competition is playing almost now Rs.

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3,000 per ton below pricing levels, right? So, we don't feel the heat from the competitors at this price point. And on second question, you talked about payable days, right?

Amit Dixit: Yes.

Anubhav Gupta: So, payable days are not related to the stress at the dealer level. If you see our receivable days,

it remains unchanged quarter -on-quarter basis. Creditors, of course, have come down because we generated cash, right? So, we just paid 2 steel mills in advance, right? And we did get some benefit also on cash purchases.

Amit Dixit: Okay, fine. The second question is essentially on the employee cost. So, you mentioned that there was a one-time impact of ESOP so is it possible to quantify that? And what could be the sustainable employee cost also? Is there any element of dealer incentives in the other expenses?

Anubhav Gupta: Right. So, that notional ESOP cost was Rs. 6 crore, right? So, going forward, you can assume Rs. 88 crores, Rs. 87 crores -Rs. 88 crores to be the sustainable quarterly employee cost. It should come around eventually Rs. 600 to Rs. 700 per ton, right? Right now, you would see it at Rs. 800-Rs. 900 a ton. But the absolute employee cost will not go up from current level. And it will settle around Rs. 600-Rs. 700 a ton.

Amit Dixit: Okay. And dealer incentives, any element in this quarter?

Anubhav Gupta: No. So, no discounting, nothing.

Amit Dixit: Okay. Thanks a lot and all the best.

Moderator: Thank you. The next question is from the line of Vikas Singh from ICICI Securities. Please go ahead.

Vikas Singh: Thank you for the opportunity. So, my first question regarding your 10 %-15% volume guidance. Even if you look at currently, since the last three years, second half was heavy. Our asking rate is still closer to 900 KT or more. So, and you talked about the slowdown which usually takes time to reverse. So, just wanted to understand then which are the pockets from where we are generating this confidence of meeting that certain kind of the volume guidance?

Anubhav Gupta: So, there are two -three areas, right, from where we will get the volume. Number one is our exports and Middle East, right, which actually got impacted in month of July due to the war, right? So, that volume will recover in Quarter 2. We have already started seeing that from July, right? That is one big pocket where we are getting incremental volumes. Number two is our two new product lines got started, right, which will contribute in the next seven to eight months. Number one is the 1000 x 1000 heavy structural tube, right, with capacity of almost 100,000 tons. And second, in

rust-proof tubes, right, that also 300,000 ton of capacity has come up. That will give incremental volume because we are already running short of capacities in that segment.

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And thirdly, see, I mean, second half normally is always skewed over H1 for the construction material sector. Assuming that we are over with monsoon by August -September, right, it will give a very good runway for projects to take off in the third quarter. And in Q4, the focus areas from the government side, whether it is Indian Railways, where a lot of our product is going, or whether it is aviation, again, a lot of our products go there, right, healthcare infrastructure, and then private infrastructure, which comprises of warehousing, new factories from the corporates, right. So, we expect a lot of activity within the economy to pick up, right, and we are present in all these segments. And lastly, which has not done well for last two years now, Vikas, is the retail side, right, which comprises almost 50 %-60% of our sales. I am talking about independent homes, right. Now, with inflation coming down and interest rates coming down, at some point, discretionary spending will also pick up, right, and people will go for home renovation, home improvement, right, and our distribution network, our product portfolio, our innovation, our innovative products, everything will fall into place, we see pick-up in that segment also. So, I guess there are multiple levers, Vikas, which can give this asking run rate over the next three quarters. Of course, second quarter will remain soft, right, as far as July is concerned, but yes, lot of skewness will come in the last six months of the financial year assuming macro does not worsen from here, right, macro does not worsen from here.

Vikas Singh: Noted. My second question pertains to our capital allocation. This has come in the past as well. Our CAPEX requirement and working capital requirement is far below than the cash we are generating. So, how should we look at the excess cash in terms of dividends you would distribute or what would we do with that cash? If you could just throw some light on the CAPEX, capital allocation.

Anubhav Gupta: So, Amit, so there are two things, right. One is that if I generate \$100 of EBITDA, okay, my operating cash flow will be similar, right, \$9,500. So, we have created four buckets, okay, of \$25 each. Number one will go for serving tax, which will go to the government, first bucket. Second bucket will go into CAPEX. We are a growth-oriented company, right. We are looking for newer geographies, newer areas, newer products. So, 20 %-25% of our cash flow we want to spend on CAPEX. Third bucket of 25% is shareholder reward in form of dividend or buyback, right. It will depend on the board and shareholder approvals, right. But yes, we do want to distribute more dividend or go for buyback, right. And the last bucket, which is 25%, that is, we are keeping as a buffer, which gets added onto our balance sheet and we repay our liabilities, right. So, if you see that in Q1 also, our current liabilities, which are payables, creditors, are

reduced by almost Rs. 400 crores -Rs. 500 crore s. So, as we generate more cash, we want to have our balance sheet as totally liability -free. We are debt -free today, but we want to be liability -free. And maybe we buy steel on cash and look for some discounts from the steel mills.

Vikas Singh: Understood. If I may just ask one more question, see, our sequential, if you see, our value -added product sales has jumped 3 percentage points and general has also relativ ely done pretty well. Still, our EBITDA per ton was on the lower side. In fact, we have maintained that we have a low

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fixed cost kind of a thing, we are lean production. So, what else we are missing, basic

ally? If

you could just give us some more color on that.

Anubhav Gupta: So, Vikas, I mean, the quarter -on-quarter EBIT DA decline was Rs. 180 per ton . Now, out of this, employee cost is almost higher by Rs. 300 a ton on Q OQ basis. So, actually, because of better value -added mix, our EBITDA spread increased by Rs. 100 a ton. If you look at my gross spreads, they also increased by Rs. 400 a ton. So, if you deduct this Rs. 100 per ton of ESOP expense, which is notional one tim e, and also the reversal in the employee cost, which happened in Q4, s o my improving gross spreads, they are because of my improving product mix and our strategy of de -quantization coming into play.

Vikas Singh: Noted, sir. Thank you for answering this que stion and all the best for future.

Moderator: Thank you. The next question is from the line of Muskan from B&K Securities. Please go ahead.

Muskan: Hi, sir. Thank you for the opportunity. So, my first question is, in Middle East, your sales were at an aver age of Rs. 17,000 per metric ton last quarter. So, what is the monthly average sales from Dubai plants now? And how is the demand and pricing situation in Dubai?

Anubhav Gupta: So, the mix, I mean, the run rate was same, right? It was supposed to go up in July, but because of the tension, which came from the geopolitical war, right , the run rate got a bit disturbed. So, overall, Dubai contributed 6% to our overall volumes.

Muskan: Okay. And how is the demand and pricing situation in Dubai?

Anubhav Gupta: Now, it's back on track. Things are pretty stable now and the utilization rates are going up.

Muskan: Okay, sir. So, there has been some delays in commissioning of the HRC capacities in India, which is one of the reasons that is keeping the spreads higher. And when do you expect this to ease out?

Anubhav Gupta: I didn't get your question. Come again.

Muskan: There has been some delays in commissioning of the HRC capacities in India, which is one of the reasons that is keeping the spreads higher between HRC and Patra. So, when do you expect this to ease out?

Anubhav Gupta: See, I mean, commissioning a steel plant is 5 to 6 years process, right? I mean, delay of 6 months, 1 year is very normal when projects at such large magnitude come online, right? So, we ex pect that in second half, steel supply should increase, right? And then, depending on like what's the pricing strategy from the steel mills, we'll see how spreads behave. But, I mean, when APL Apollo decided to change its strategy to elevate its brand in J anuary 2025, so, we were pretty

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sure that, I mean, our general segment should not fight with Patra, right? And we are confident that within the same segment, we can demonstrate the desired volume growth.

Muskan: Okay , sir. Sir , in the last call, you mentio ned you are charging some premium over general products. So, what is the current premium that you are charging over Patra players in general products? And if there is continued increase in spreads between HRC and Patra, and also introduction of SG brand, d o you expect the EBITDA per metric and for general products to sustain?

Anubhav Gupta: Okay. So, coming to first question that earlier when we increased our prices, before that, we were selling or I would say our competitors who make HR coil based structur al steel tubes, they were selling Rs. 1,000 to Rs. 1,500 per ton below APL Apollo pricing. Now, the gap is Rs. 3,000 after we increase our pricing by Rs. 1,000 to Rs. 1,500 a ton. Adding to this, that HR coil tube pricing and Patra pricing will always, like, right now the gap is Rs. 8,000 to Rs. 10,000 a ton. And with us, with Apollo increasing its selling price by 1 ,500 to 2 ,000, so, that is Rs. 10,000 per ton and with competition against Patra could be Rs. 8000 a ton. So, again, as a strategy, whether to add products, whether to utiliz

e capacities, our business model is to switch away from that

general sales, which can impact volume or which suffers because of this gap, which is be tween Patra and HR coil. So, we want to move our business model away from this and be consistent with the construction activity in the country.

Muskan: Okay, sir. One last question. SG Mart has won orders of solar module mounting structures under APL Apollo Sun Steel. How is this product different from the products that Apollo is trying to cater to solar industry? Could you please talk about the order wins in solar?

Anubhav Gupta: So, they are very different. What Apollo does for solar sector is the manufacturing of top tubes. For our flat steel, which goes into, into, into, into solar mounted structures. That's like pure manufacturing. What SG Mart is doing is mild profiling of solar structures. So, both are very, very different products and have very different applications.

Muskan: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.

Pallav Agarwal: Good evening, sir. So, with HRC prices softening a little from the month of June, so do we expect any destocking at the distributor level?

Anubhav Gupta: Pallav, it's been almost 1.5 years that dealers have been destocking only. From October 2023, when we started seeing the decline in steel prices in India, except that Rs. 2,000 -Rs. 3,000 per ton uptick which came in March -April 2025, after the tariffs were imposed. Dealers have been treating light only, like since October 2023. So, it's not that now that steel prices are again

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coming off to Rs. 3,000 a ton, that we will see massive destocking, because dealers are anyway sitting light on inventory for last 18 months now, consistently.

Pallav Agarwal: Also, you mentioned this payables we've reduced. So, how does the pricing work with these major steel mills? Like, do they give some credit period or they insist on upfront cash payments?

So, if you could just explain that broadly?

Anubhav Gupta: Pallav, this is a bit sensitive matter, but what I can tell you is that we have been getting credit from our suppliers. As you would see, credit of days of 25 -30 days throughout in our balance sheet. Now, with surplus cash coming in our books, we want to reduce some current liabilities and see if we can get some extra discounts, which we are. But quantum is a bit sensitive to discuss.

Pallav Agarwal: Okay, thank you.

Moderator: Thank you. The next question is from the line of Sneha Talreja from Nuvama. Please go ahead.

Sneha Talreja: Good evening, sir. And thanks a lot for the opportunity. Just a couple of questions from my end. We, of course, hinted to H2 demand revival and we always do that in the building materials space. But what's the real change that we're expecting and how confident are we for that demand pickup, especially on the infrastructure part as well?

Anubhav Gupta: So, Sneha, two, three factors which give us confidence. Number one is like the critical infrastructure from the government side, whether it is railways, aviation. These two sectors have not seen any slowdown in the funding. Roadways, of course, but we don't supply to roadways except some foot over bridges where our products go for NHAI projects. But the critical infrastructure remains the focus area for the government. So, that gives us a lot of confidence. Then second, private infrastructure, whether it is warehousing and corporate expanding which are putting up factories. So, our structural steel tubes go in both the segments. Then another category in private infrastructure is commercial, whether it is like large developers, organized developers adding more A grade, B grade office space, data centers which are coming up. It requires a lot of steel, structural steel

tubes. Then the third segment, which we see as a sunlight area is solar. So, whether it is top tubes or our flat steel, which is going in this segment, we are getting good traction from here as well. So, yes, mix of these segments, Sneha, we believe that second half should be significantly better than first half.

Sneha Talreja: Understood. So, secondly, on the primary and the secondary steel gap, I clearly recall that, you were telling that, things actually worsen when gap hits Rs. 10 odd until Rs. 8 odd probably, you were safe. We are almost at that level now. Are you seeing demand moving back on the general structure side to Patra players? If yes, what is the structural way of dealing with this volatility? Because whenever we see a gap reducing, we, of course, see a great amount of volume uptick for your company. But then it always reverses whenever the gap extends. What is the structural way of looking at this gap?

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Anubhav Gupta: So, Sneha, addressing the second part first, right? As a strategy, we are de-commoditizing our portfolio. So, that means we add products such as heavy structural tubes, light structural tubes, coated products, pre-galv rust-proof products and galvanized products. So, these are all which don't get impacted from whatever is happening between primary and secondary because the inability of secondary steel to produce such products. Second, moving or increasing sales in

Dubai and export markets, right? There also you don't get impacted from primary, secondary .

Sanjay, you want to add to this?

Sanjay Gupta : Sneha, you have to see that there are two types of markets in India. One is the primary steel tubes market in India and number two, the secondary steel market of India. When the gap is more, what we are doing in our primary, we are doing well. We keep doing our thing and the system goes on. But when the gap is narrow, then we enter the secondary market also. We have another advantage. Then we talk about 20 %-30%-40%, we can take any type of growth. But if there is a gap between the secondary and primary is too much, then our growth is restricted to near about 15% depending on the market.

Sneha Talreja: Understood . So, I think the change in strategy as per the gap changes, I think that's likely to continue even ahead.

Sanjay Gupta: Yes, when the gap is narrow, then again, we go for killing the Patra material. But when the gap is too much, our margin is 3,000, if I finish the margin of 3,000 and work, then also I can't reduce its volume. But when the gap is near down by 4 ,000-5,000, which is always there almost, this time comes very less. I have been running this time for the last 1 -2 years. So, when that time comes, then we are going to enter the Patra market again.

Sneha Talreja: Understood , sir. That was quite helpful. Thanks a lot team and all the best.

Moderator: Thank you. The next question is from the line of Anupam Gupta from IIFL Capital. Please go ahead.

Anupam Gupta: Yes, thanks for the opportunity sir. First question is on the sale in Shankara which you have done in the quarter. Can you just give your thoughts on why that sale happened?

Anubhav Gupta: So, Anupam, when we invested in Shankara in March -April of 2022, the idea was to have a small stake to ensure that Shankara starts selling more of APL Apollo products. At that point of time, our market share on Shankara counter was like 20 %-25%, whereas all our distributors of large size were selling 80 %-90% of Apollo products. So, we wanted Shankara to sell more of APL Apollo products. And we identified that the company needed some capital which we infused. And there was this understanding that with this infusion of capital, Shankara will start selling more of APL Apollo products. So, in last 3 years now, 3 -3.5 years, the sales on Shankara counter has quadrupled. Now that we have

achieved this target, there is no point of holding

Shankara shares. Anyway, stake was below 10%. So, we sold whole 4.5% last year and the balance shares we sold in last quarter. So, yes, now the dependence between Shankara and APL Apollo Tubes Limited

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Apollo is high on both of the sides. So, there is no benefit or advantage of Apollo holding shares of Shankara.

Anupam Gupta: I understand. Second question is on the general structures profitability. You mentioned that this 2,700-2,800 which you are achieving also has the benefits from Dubai which if we assume Dubai is selling almost entirety of general structures, it is a meaningful contribution coming from there. If we exclude that, the India profitability of general structures would not be 2 ,800, it would be closer to 2 ,200-2,300 if my calculation is correct.

Anubhav Gupta: No, Anupam, it will be Rs. 2,400-Rs. 2,500 a ton.

Anupam Gupta: Okay. So, are you comfortable with that level or that again come at risk as this gap is increasing?

Anubhav Gupta: No, idea is to take it above Rs. 3,000 a ton.

Anupam Gupta: And will that be doable if let's say this the gap versus Patra continues to expand which you said is right now at Rs. 10 a kg?

Anubhav Gupta: So, Anupam, that's what Sanjayji explained that the primary steel market is different, which is like 5 million tons and secondary steel market is another 5 million tons. So, 5 million tons market will out of that say the general segment is 40% out of that 5 million tons. So, that will continue to grow at 5 %-10%. If the gap reduces, then the 5 million tons from secondary will come to primary. And that's where we will get our incremental volume. But since we don't know when this is going to happen, so there is no point building a business model around it. What we focus is on the primary structural steel to market which right now is 5 million tons. And out of that, almost like 3 million tons is commodity, general. And 2 -2.5 million ton is value -added. So, yes, I mean that's how we build our sales strategy.

Anupam Gupta: I understand. And one last question on the profitability guidance that you gave , 4,600 to 5 ,000. Last time you had said it is somewhere around 4 ,900 or so achievable with 20% volume growth. So, 4,500 is understandable, you have increased the range because of lower volume growth. But does this include the benefits which you are trying to accrue by having lower payable days because lower payable days also impact your ROE in that sense ? Does this range include the benefits from better margins due to lower payable days?

Anubhav Gupta: Of course, yes. But it was just like in the last month of July only. We could have such cash to lower our payable days. So, yes, we are talking to our suppliers. And if we see the benefit, then yes, we will continue with the strategy. If we don't see the benefit, then the surplus funds will

generate 6 %-7% of fixed deposit rate.

Anupam Gupta: And one last question. On employee cost, you said the E SOP cost is notional. But your note says that no ESOP was granted so far. So, has this ESOP, which you have approved in today's board

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meeting, the notional cost for that has been booked entirely or will it recur in the following quarter?

Anubhav Gupta: No, so today's board meeting approval is separate. This was for the previous ESOP which were issued like a year back, year and a half back. They got accrued and they are getting converted.

So, that's why this notional expense.

Anupam Gupta: So, what you have announced today, that will have additional cost in the following quarter?

Anubhav Gupta: This is just an approval. We have not decided how much, what ESOP will be given. I don't think in next 12 months, we will be issuing any ESOPs. In next 12 months, the ESOP will be issued.

So, there is no cost which

is expected in next 1 -2 years.

Anupam Gupta: Okay. Thanks a lot.

Anubhav Gupta: And yes, Anupam, just to add to your previous question on the return profile, like you said that if credit or days come down, right, payables go down, so our ROC E, our return profile will look low, right? So, I think that is the strength of our business model, right? That if we generate cash and we are able to lower our payables and since we churn our inventory 15 times in a year, right, with 20 -25 days of inventory, that means I am churning my inventory 15 times in a year. And whatever cash discount we get from our suppliers, so it should give, we are sure that it will give more return compared to the money lying in the fixed deposit. So, we are a very ROC E-focused company, Anupam, right? So, whatever we will do, we will ensure that it is ROC E-accretive, right? Optically, it may look a bit low, right, if you include cash, but if you look at the gross ROC where you take working capital as inventory plus debtors and you remove creditors, right, so that is how we look at our business model.

Anupam Gupta: Sure. That's it. Thank you.

Moderator: Thank you. The next question is from the line of Akshay from AK Investment. Please go ahead.

Akshay: Thank you, sir. Sir, my first question is there are lots of traction in sectors like data centers, solar, electronics manufacturing, consumer durables, and these players are doing very heavy CAPEX. So, do we supply in any of these sectors and over the next two to three years, how much volume growth do we see from these emerging sectors?

Anubhav Gupta: So, if you talk to the large fabrication companies in India, some are listed also, right? These companies are called pre-engineered building companies, PEB companies, who take contracts from all these corporates who are expanding massively, right? And why only such companies, even APL Apollo is putting up core plants, right? So, yes, Indian corporate is expanding and they're putting up a lot of new facilities, new plants. So, yes, so these large PEB companies, they do take a lot of hollow steel sections, a lot of structural steel tubes from APL Apollo. And our market share is 60 %-70% in this segment. We expect growth to be 20 %-25% for the next three,

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four years, particularly for this segment. And that's why on this conviction, we introduced 1,000 mm x 1,000 mm diameter pipe, which obviously we are first in India and second in the world to be able to produce such an SPU.

Akshay: Okay, sir. And sir, what is the current capacity utilization in our Raipur and Dubai plant?

Anubhav Gupta: So, Dubai plant is around 60% plus, and Raipur is a bit below 60%.

Akshay: Okay. And sir, earlier we said that we are supplying our steel tube to Indian Railways. So, which are the use cases in Indian Railways? Can you please justify?

Anubhav Gupta: Indian Railways, all the modernization of railway station which is taking place, maximum railway stations are coming on steel and that's where we are supplying. We have given list in our presentation also, almost 20 -30 railway stations where we are supplying our products, which are under modernization.

Akshay: Okay, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Hardik from White Whale. Please go ahead.

Hardik: Hi, thank you for taking my question. First question is, why is EBITDA per ton lower in this quarter compared to last quarter? And the second question is, last quarter you had mentioned that you want to reach ROIC of 35% next quarter next year and 45% the next year. Will it be achievable seeing the trade payables increase? Thank you.

Anubhav Gupta: So, EBITDA spread decline on Q OQ basis is mainly because of increase in the employee cost per ton by Rs. 300 per ton. Okay. So, employee costs go up as the volume decline. In Q4, w

e did

850,000 tons. In Q1, we did 794,000 tons. So, employee costs go up, which is negative operating leverage. And second was, like I mentioned, was the ESOP expense, which is notional and one time. So, if you exclude that, we will be at similar EBITDA spread what we achieved in Q4.

Coming to the second question, I mean, payable days. See, I think as in, I mean, at least as businessmen, what we believe is the real ROC E, which is based on gross working capital because creditors also be considered as liability, which we have to repay. Like you have liability in form of borrowing from bank, same way we consider current liabilities, something which you have to pay to our suppliers, no matter what. So, yes, I mean, optically, 35% will not look on paper if we reduce our payable to zero. But like I said, that will depend on like how much discounts we are getting in cash payments. It's too early to comment on that. And if at all, our investors, shareholders board suggest that no ROC E should be 35%. So, we can always go back to taking credit again from the steel suppliers. So, I think it's something which the shareholders and board have to take decision along with the management, like what is good for the company, whether to show optically 35% ROC E or to generate more cash if we are able to churn my our inventory by 15 times in a year and generate more return than a fixed deposit return of 6 %-7%.

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Hardik: Instead of the fixed deposit, which you had mentioned, you always have the opportunity to re-invest back in the business. So, how is that not a case.

Anubhav Gupta: So, 25% of our cash flow, we are investing in adding capacities anyway, and if there is more opportunity, so yes, I mean, we will spend on increasing capacities, or it could be some inorganic growth opportunities whatever comes our way.

Hardik: Okay, thank you.

Moderator: Thank you. The next question is from the line of Neel Shah from Purnatha Investment Advisors Pvt. Ltd. Please go ahead.

Neel Shah: Thank you for the opportunity. So, I would just like to repeat on one of the previous questions.

Can I just know the EBITDA spread guidance and the volume growth guidance for this year?

Anubhav Gupta: Volume growth guidance is 10 %-15% for the full year and EBITDA spread guidance is Rs. 4,600-Rs. 5,000 per ton for the full year.

Neel Shah: Okay. Thank you. And what about the top line? How do you expect the prices to move?

Anubhav Gupta: That's difficult to answer because that's not in our control. So, we don't work on how prices move. What we want to protect is our EBITDA spread no matter how steel prices behave.

Neel Shah: Alright. Thank you. That's it from my side.

Moderator: Thank you. The next question is from the line of Andrey Purushottam from Cogito Advisors. Please go ahead.

Andrey Purushottam: Yes. I noted that your value-added products were about 61% versus 56% or 58% the previous quarter. What I wanted to know is that, let's say if you make a constant volume projection, what is the sensitivity to every percentage increase of value-added product to your EBITDA per ton?

So, let's say if it goes from 61% to 62%, what is the incremental EBITDA per ton that you get?

And is there any outlook that you have for your value-added mix proportion?

Anubhav Gupta: So, Andrey, I guess if you want to see the real benefit of improving sales mix, you should look at the gross spreads. Now in Q1, our mix improved versus Q4 last year. And you can see that our gross spreads also improved by Rs. 400 per ton. But it did not translate into EBITDA spread improvement because my volumes were lower. So, there was negative operating leverage came into play. And secondly, this ESOP cost which was notional. Now if I remove that, then EBITDA should have been much higher compared to Q4 last year. Now coming to the sensitivity, it is

tough to say because APL Apollo has like 5,000 plus SKUs. Out of those, 60% are value-added.

Now within value-added also, we have products which generate Rs. 4,000 per ton and then we have products which may generate Rs. 15,000 per ton EBITDA also. So, depending on which

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segment does well in which quarter, that's how these spreads will improve. But one thing I can tell you is as our sales mix continues to improve, our spreads will also improve in the similar pace.

Andrey Purushottam: So, would you be able to guide us what this 61% could do for the entire year?

Anubhav Gupta: I think it should remain at similar levels. Our ultimate goal with 7 million ton capacity which will be live by FY '28, we will be 70 %-75% value-added.

Andrey Purushottam: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Shweta Dikshit from Systematix. Please go ahead.

Shweta Dikshit: Hi, thank you for the opportunity. I joined a little late, so not sure if you addressed this before I

joined. But volume guidance for the year is now 10 %-15%, which was 20% last quarter. So, any reason behind this revision?

Anubhav Gupta: Shweta, yes, the earlier guidance was 15 %-20% growth for the full year. Now it is 10 %-15%. The reason for downward revision are like number one, slow offtake in H1, because of macro slowdown. If you look at the government data like index of industrial production, GDP growth projections, everything is like kind of on softer side, which is also impacted demand for our product. Second, monsoons which came a bit early in the month of June, so June month got hit badly. Then third was the geopolitical tension which we saw in April when India -Pak war was there and then in June, Iran -Israel war started. So, that also led to some volume loss. And also if you look at the money supply in the system, that's also a bit slow. So, our dealers, stockists, channel partners, they don't have too much of money rotation going on. And this is not only for our sector, you look at the other construction material, other consumer related channel partners, they will have the same issues. So, that's why we kind of revised down our guidance from 15 %-20% to 10%-15% because of the slower offtake in H1.

Shweta Dikshit: Understood. And any potential revision, if we see a second half to be stronger than we expect, then or is this the final guidance that we could get at least as of now seeing?

Anubhav Gupta: No, why not Shweta?

Shweta Dikshit: Are you also including your view that second half should be better? So, does this include your view on the second half being stronger or there could be an upside to this number?

Anubhav Gupta: I mean, we would love to have upside to this number. As far as we are concerned, we are ready with our capacity, we are ready with our product line, we are ready with our distribution network, we are ready with all the working capital which is required to fund this growth. Our brand portfolio is there in the market. It's just that some external pull comes in. And then, yes, I mean, if

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environment supports, the growth can be better than 10 %-15% for the full year. Nothing stops us from achieving higher growth.

Shweta Dikshit: Understood. One last question, if I could squeeze in one more. You said that by 2028, you will be ready with a 6.8 million ton of production capacity. But the sales number could likely be 5.8 million tons?

Anubhav Gupta: So, it will depend on what is the volume growth we actually achieve in FY '26 and then FY '27, FY'28, how they pan out. When we say 6.8 million ton capacity, that is sellable capacity. That means we can produce and sell that 6.8 million tons from our plants. So, this is a sellable capacity.

Shweta Dikshit: Okay, I'll take other questions offline. Thank you.

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erator: Thank you. The next question is from the line of Sneha Talreja from Nuvama Wealth. Please go ahead.

Sneha Talreja: Hi team, thanks a lot for the follow-up. Just two questions from my end. One is you said you are open to inorganic opportunity. If that would be the case, what sort of opportunity and in which area that would be? Can we see anything on the secondary pipes also to target that particular market specifically? That's one. Secondly, could you speak on more export opportunities leaving apart the Dubai part of it which you are already doing and which all geographies can be viable for us?

Sanjay Gupta: Hi Sneha. Good evening. We are not going for the secondary any type of acquisition because secondary still is no future because their quality is very bad. Number two, their cost of production is very high. But in India, there is still scarcity so they are surviving. So, I have not a reason we are going for the secondary steel because then we demotivate our brand also. That will destroy our hard work and brand. Or the secondary business is not in their own hand. When the HR coil and the secondary price go to narrow then the secondary business is wipe off. If you see the last 30 - 40 years history, secondary steel is not in demand other than India. In India steel is less, that is the reason they are surviving. As the steel capacity increases, I don't think this is a good future. So, we are not going for the secondary at all. I am very clear in the two things. We are not going for steel making. We are not going for secondary. Number two, the export opportunity. Yes, there is a very good chance for us in increasing the exports. We have a very good order book in Dubai plant. Now we are also putting a plant in Bhuj for only on focusing export. To and fro freight is very less from there. Right now if you see in the last 10 days there is a big change in the Indian steel industry. Today India is lower than the Chinese steel prices. China is almost increased by steel in the last 10 days 12 %-13%. India has decreased almost to Rs. 1,500 per ton this month. So, India I am very bullish that our export will increase more and primary steel will come back someday if not tomorrow. India will get all the market. 7 million -8 million -10 million is my focus. But right now the things are not good for us. We are maintaining our margin going for a little bit 10 %-15% growth that will come, we are concentrating on that. But we don't want

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growth compromising the margins because geopolitics or economics is not doing well. So, we may face an accident if we go too fast. We are very confident. When the time is right, we back on track in the aggressive mode 20 %-30% whatever volume growth because we are ready with every sense. So, export we have no doubt we are a big vision. In the future, in the 7 million ton capacity we are targeting to take the Dubai to 1 million ton. And India also we are planning 0.5 million ton in Bhuj in the future. Export we are very okay. And secondly there is no question. There is not a question of discussion also in our organization because we know this is not a future.

Sneha Talreja: That was really, really helpful. So, thanks a lot. And all the best once again.

Moderator: Thank you. The next question is from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: Yes, thanks for the opportunity. Just focusing on FY '27. So, if we just keep aside the factors which are not in our control like geopolitical scenario and all. So, you have guided previously that we will grow by 15 %-20% again in FY '27 over FY '26. So, are we putting any kind of market penetration or SKU addition, new product development which gives us some visibility over that growth in FY '27?

Anubhav Gupta: Yes, of course. See, I mean assuming we close FY '26 at 10 %-15% and ev

everything in terms of

macro, in terms of geopolitical, in terms of global trade war, all these things settle down along with Indian consumption starts to revive, then FY '27 growth could be much higher than 15 %-20% because of the low base of FY '26. And like we said that in terms of capacity, in terms of distribution network, in terms of new products which we launched in last one to two years, the new product pipeline which is there in next 2 years, the new segments like renewable energy, like heavy construction where we are adding more products and we are becoming more aggressive, we are penetrating deeper into these industries. So, yes, I mean FY '27 could be much higher than 15 %-20%.

Aditya Welekar: And EBITDA per ton trajectory in that financial year, can we assume it will be north of Rs. 5,000 per ton? See, our ultimate goal is to achieve Rs. 5,500-Rs. 6,000 per ton and on the business model what we have built for 7 million ton capacity and sales volume eventually, this pretty much fits into it. Now the question is that FY '26, we are saying between Rs. 4,600-Rs. 5,000, let's see how second half pans out, right? If volumes grow faster than what we expect because of operating leverage benefits, it could be near about Rs. 5,000 also, but very difficult to say right now because of the uncertainty what we have seen in the first four months of the current financial year. Next year, FY'27 will definitely be better than whatever we close in FY'26.

Aditya Welekar: Fair enough, sir. Thank you. Thanks a lot.

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Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for the day. I now hand the conference over to the management for closing comments.

Anubhav Gupta: Thank you everyone for joining by. I look forward to see you over the next results earnings call. Thank you so much.

Moderator: Thank you. On behalf of Emkay Global Financial Services that concludes this conference. Thank you for joining us and you may now disconnect the lines.

## Call: Nov 2025

November 1, 2025  
Electronic Filing  
National Stock Exchange of India Limited  
"Exchange Plaza" Bandra- Kurla Complex,  
Bandra (E),  
Mumbai -400051  
NSE Symbol : APLAPOLLO Department of Corporate Services/Listing  
BSE Limited  
Phiroze Jeejeebhoy Tower,  
Dalal Street, Fort,  
Mumbai -400001  
Scrip Code : 533758

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ub: Transcript of the Conference Call held on October 29, 2025  
W

ith reference to our letter dated October 23, 2025 intimating you about the conference call with Analyst(s)/ Institutional Investor(s) held on October 29, 2025. In terms of the provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the aforesaid conference call.

This above information is also available on the website of the Company.  
We request you to kindly take the above information on your record.

Thanking you  
Yours faithfully  
For APL Apollo Tubes Limited  
V

ipul Jain  
Company Secretary and  
Compliance Officer

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ncl: a/a  
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Q2 FY '26 Investors Conference Call "  
October 29 , 2025

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MANAGEMENT : M R. SANJAY GUPTA – CHAIRMAN AND MANAGING  
DIRECTOR – APL APOLLO TUBES LIMITED  
MR. RAHUL GUPTA – DIRECTOR – APL APOLLO  
TUBES LIMITED  
MR. DEEPAK GOYAL – DIRECTOR , OPERATIONS –  
APL APOLLO TUBES LIMITED  
MR. ANUBHAV GUPTA – CHIEF STRATEGY OFFICER –  
APL APOLLO TUBES LIMITED  
MR. CHETAN KHANDELWAL – CHIEF FINANCIAL  
OFFICER – APL APOLLO TUBES LIMITED

MODERATOR : M R. DARSHAN MEHTA – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Apollo Tubes Limited Q2 FY '26 Investors Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the

presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Darshan Mehta from Axis Capital Limited. Thank you, and over to you, sir.

Darshan Mehta: Thank you, Swapnali. Good evening, all. This is Darshan Mehta here, and I welcome you all on behalf of Axis Capital to APL Apollo Tubes Limited Q2 FY '26 results conference call. From the management side, we have Mr. Sanjay Gupta, Chairman and Managing Director; Mr. Rahul Gupta, Director; Mr. Deepak Goyal, Director, Operations; Mr. Anubhav Gupta, Chief Strategy Officer; and Mr. Chetan Khandelwal, CFO.

I will now hand over the call to the management for their opening comments. Thank you, and over to team.

Chetan Khandelwal: Thanks, Darshan, and thanks, Axis Securities for hosting us for our quarter 2 earnings call. Good evening, everyone, and thanks for attending the call today. We are glad to announce our all-time highest quarterly volume, EBITDA PAT financials for the quarter 2 in a very challenging environment. Why I say challenging? As you all know that the businesses in India, they suffered from heavy monsoon, extended monsoon; and especially construction material sector, which remained pretty weak because of low construction activity across the country.

APL Apollo performed on two fronts, which is quite commendable. Number one is the sales volume recovery in quarter 2 versus Q1, which was supported by strong capacity utilization in our Raipur and Dubai plants. And secondly was the expansion in EBITDA margins, which took our EBITDA spread above INR 5,000 per ton for the quarter.

Now this was on account of three main reasons. Number one was the brand power of APL Apollo, which we are able to demonstrate in the EBITDA spreads of general category, which have almost doubled to INR 3,400 per ton in last 2 to 3 quarters.

The selling price for this product, we increased in January of 2025, wherein we were brave enough to take a call that we need to increase our pricing by INR 2,000 to INR 3,000 per ton, which we did, and the market has absorbed that over the last 9 months, which is clearly visible from Feb to September financials of this calendar year.

Second reason for margin expansion was the value-added mix improvement, which is mainly coming from our Dubai and Raipur plant, where the EBITDA per ton on -- for these plants is above INR5,500, INR6,000 per ton. And lastly, the operating leverage gains -- as the company

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is generating 850,000 ton plus volume, there are a lot of costs which get optimized at all the fronts, which also aided our EBITDA spreads.

Now first half into financial year of '26, we are fairly confident that we will be able to meet our guidance, which we gave in the quarter 1 call, which was 10% to 15% volume growth and EBITDA spread of INR 4,600 to INR 5,000 per ton. Second half normally is always better compared to H1.

As monsoons are over, there is a lot of certainty coming back on the global trade front as well. So given that second half should be better than H1, and if GDP of India surprises positively or performs better than expected, who knows we may even do better than our guidance when we close the financial year.

Another positive we want to highlight is that India is seeing adequate steel supply in last 4 to 5 months, which is good for downstream companies like APL Apollo, especial

ly when we are  
country's largest steel buyers.

Our strategy to expand capacity in international markets and Eastern Indian markets remain intact, which gives us confidence that we will be able to grow our volume in double-digit over the next 3 to 4 years on a CAGR basis. Lastly, on working capital front, our working capital days remain in single digit, in fact, 0 as at September 2025, which boosted our ROCE upward of 32%, 33%.

And we believe that this is a sustainable ROCE number, which we will keep on showing in years to come. That's all from our side. Happy to take questions now.

Mod erator : Thank you very much. The first question is from the line of Sucrit D. Patil from Eyesight Fintrade Pvt Ltd. Please go ahead.

Sucrit Patil: My question to Mr. Gupta is as APL Apollo continues to scale volume, what strategic vision do you see driving the next phase beyond just growth towards deeper market leadership or ecosystem influence?

Anubhav Gupta: Thank you, Sucrit. Sucrit, our strategy is very clear. Right now, we are close to a capacity of 5 million tons; and in the last 2 or 3 years, we are going to build up the capacity of further 7 million tons. Out of 7 million tons, there is 1 million ton capacity in Middle East. We are putting 1 more plant in Abu Dhabi.

So there our capacity will be 1 million ton and 6 million ton in India. In 6 million ton we are putting one plant in Gorakhpur of a capacity of 2 lakh ton per annum and one plant in Siliguri, a capacity of 3 lakh ton per annum. So, almost this 5 lakh ton and 5 lakh ton in Dubai -- 7 lakh ton in Dubai and 5 lakh ton in East market. This is a totally new area for us. So, we don't see any challenge in this area.

Number two is the existing setup, we are doing almost close to 3 million ton. And we are targeting to our -- to take to this quantity to 5.5 million ton. In this we have a lot of strategy . We

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are developing a lot of product mix, lot of new type of products. Recently we started our thousand-thousand square mill.

We are building some capsule roofing product also. Just we need a tailwind. If we get a little tailwind then we achieve this capacity very soon. May be in next one or two years. I don't feel any big challenge.

Sucrit Patil : My second question is to Mr. Khandelwal. I believe he's on the call today.

Chetan Khandelwal : Yes.

Sucrit Patil : Yes, sir. So, my question is regards to margins, especially in a volatile input cost environment.

Looking ahead, what internal levers or cost management plans do you see most important and or do you have in place?

Chetan Khandelwal : Power rate...

Anubhav Gupta : We are working on the three front modes. One is the power. In power, how we reduce the unit per ton also and the cost of the unit also. Both the area. Some is on the freight factor. Because now we are all across the country. We have a plant. Like in this quarter we have INR 1,900 per ton freight cost. We are targeting to bring it to INR 1,500 per ton.

And number three on the front of our salary cost. We are targeting that today our salary is 5 million per ton. Minimum wages should increase. Nothing much will increase. So as soon as we achieve 5 million per ton then that cost will also increase a lot. Which is now running around INR950. My target is to bring down to INR 600 per ton.

Moderator: The next question comes from the line of Sneha Talreja a from Nuvama.

Sneha Talreja: Many, many congratulations on great set of numbers. Just a couple of questions from my end. Firstly, I wanted to understand the EBITDA per ton increase on a quarter -on-quarter basis. While we understand ESOP cost is missing -- but if at all you can quantify what are the other reasons for margin improvement?

Chetan Khandelwal : So Sneha, it's a mix of three things. One is the gross margin improvement, which is around INR200 per ton. Now that's on

account of our brand premiumization and improvement in value - added mix products, right? So INR200 per ton is coming from there. And then INR200 per ton is coming from operating leverage benefits as we surpassed 850,000 ton of quarterly sales volume.

And INR100 per ton was on account of lower expense, which we booked in quarter 1 for ESOP.

In Q2, it was not there. So this is the breakup of INR500 per ton improvement in EBITDA.

Sneha Talreja: An extension to your answer, Anubhav you are also estimating your second half to be better.

That means your operating leverage should further kick in. So if this is a base level EBITDA per ton of INR5,200, you're still guiding for a number of INR4,600 to INR5,000 EBITDA per ton level on an annualized basis.

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Any reason why you would want to maintain that or not upgrade the EBITDA per ton number?

I'm not asking for volume number because -- while I understand the environment is not such, but on the EBITDA per ton purely where you already hit INR5,200 and assuming there's no one - off here?

Anubhav Gupta : Sneha we have a lot of pressure. When we decrease some guidelines, we have a lot of pressure there. So, we don't want to increase our guidelines. But this I am very sure that 10% growth means almost 3.5 million ton plus volume will be there. And almost INR 1700 crore s EBITDA target that we have taken, we will definitely beat that. And if we get tailwind then God is great.

Sneha Talreja: Perfect, sir. I think that answers. Just one or two more questions from my end. Firstly, on the demand front, are you seeing any improvement happening with respect to government capex?

Any on -ground green shoots that you can see? Because compared to other companies' results, we can make out that there is market share gain at this point of time.

But purely on the demand perspective, any green shoots even at this point of time where you can see? And secondly, with respect to spreads -- just finishing it because your spread has further gone up between the primary and the secondary steel, which doesn't seem to be impacting you at this point of time. But how do we see the spread going and impacting you on ground in any way?

Anubhav Gupta : Sneha , first the matter of demand. Very frankly, I am saying that we are not seeing any boost up in demand. But due to our brand leverage, due to our size, due to our systems, we are sustainable.

We are able to sustain. And we are bullish because the first half that has gone is very bad. On all three fronts, demand was low, steel prices were downwards because extra steel capacity, I think, has entered .

Number three, monsoon was quite long this time. Number four, this time the bike runs, all the holidays, it came in such a way that it ruined a lot of days before and after, like Diwali, Durga Puja, whatever the holidays. It was in the middle of the week and the beginning of the week that there were long holidays.

So, we are bullish on this spread. I don't think anything can go worse than this. Yes, if demand is created, then we are going to rock. I am just giving my guidelines with the existing scenario that is going on. Like in this month also, we are going to do 270, like 270, 275, 265, 270, 275. But from November, we are taking a target of 3.25 lakh ton per month, November and December, this quarter we are going to if the system is good, I think we hit 9 lakh ton . We are very sure that we will definitely complete the EBITDA.

Sneha Talreja: Lastly, sir, on the spread front for primary and secondary that has been inching up, any way impacting us on ground?

Anubhav Gupta: Yes. We have made some strategy on this point, in this subject. Now our APL Apollo brand is not going to talk with the secondary material. We are not looking at it. We are not talking about it at all. We'll launch another -- our brand, SG Premium. There, we are fighti

ng with that brand

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with a little INR 10,000 ton volume, INR 50,000 ton value, volume. If we look at it, what strategy does our work in it? Because in Apollo brand, we don't have to care about the material.

Okay, there is a problem in taking more growth in it, on this like of premium. Like when you check the channel in the market, so today, Apollo is higher than almost with all the other brands, INR3,000 minimum or maybe maximum INR 5,000 to INR 6,000 per ton. Apollo product is costly in the market.

And secondly, the product that is in crisis, their prices are so low that they are like crying all over India. Their costing is not supporting them. Capacity has increased in steel, so steel prices are also going down. So, I think this is a good signal for Apollo.

Sneha Talreja: Perfect, sir. Thanks a lot sir. For all the questions. You are the best team.

Anubhav Gupta: Thank you.

Moderator: The next question comes from the line of Agrim Kanungo from AK Investments. Please go ahead.

Agrim Kanungo : Congratulations for a good set of numbers. I would like to ask that as it was mentioned in the PPT, that we plan on spending INR 1,500 crores to expand the capacity. So just a question that how do we plan on financing this? Is it going to be through internal accruals or external sources?

Anubhav Gupta: 100% will be funded from internal cash flows. If you look at our operating cash flow to EBITDA, that's like above 90%. So this will help us to fund 100% of capex, so.

Agrim Kanungo : Just one brief follow-up. My main question is that what's the long-term vision of the company? And what would be the projected EBITDA margins that we can expect over the next 5 years?

Anubhav Gupta: First for 5 years, we are talking if everything is well. Maybe we touch 10 million tons. Right now, we are preparing for 7 million tons, we are going for outsourcing also. And we will put some new capacity when we cross 5 million tons. And EBITDA margin, I don't think if the maximum spread increases from 5, it will go up to 6,000. It is difficult to commit more today. It can go up to 1000 rupees plus or minus. I don't know what is the scenario.

Agrim Kanungo : Just one last question. What is the current capacity utilization across our different plants? And yes, that's all like.

Anubhav Gupta: 70%. We are right now 5 million ton capacity. We are going to do this year 3.5 million tons, so 70% capacity utilization we are running .

Agrim Kanungo : Thank you, sir.

Moderator: The next question comes from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: Sir, my question is with respect to the safeguard duty, which was proposed by government. So with the 12% safeguard duty, the downside to the HRC prices is slightly now limited. So does

that help us in -- means whatever we see the inventory destocking, restocking. So with the volatility to the downside limited, will it help us going forward because these safeguard duties for the next 3 years? So this is a positive read -through for us? Is that understanding correct?

Anubhav Gupta: Yes, 100% you are correct. Like right now, the HR coil for the month of October is close to INR46,000 per ton landed Ghazi abad or anywhere in the country, or if we do any import with the duties, it cost us to INR52,000 or INR 53,000 per ton. So this is not possible to import anything outside of the country or import.

Whenever there is a steep capacity is more. The local demand is less. So maybe another INR1,000 price will go down INR1,500 will go down. So the restocking that was there till the first half, I think that will also stop and demand will be created.

Aditya Welekar: Understood, sir. And my next question is on the long -term means, you have touched that we may go up to 10 million ton

capacity. And in the slides also, we have projected that the structural steel tube market will grow by 10% CAGR by 2030. So means what are the long -term demand drivers? Do we really foresee that this market will go up to that quantum by 2030 means consistent double -digit growth, 10% CAGR from FY '24?

Anubhav Gupta: Most market is already there. But in India, there is the biggest problem there is a one secondary material is there, which is a very low quality material and it has a low cost. So, people are very much worried about the brand, about good material. So, as soon as the market is over, then 10 million tons will reach very easily. If it does not end, then maybe 1 and a 0.5 years up and down. Growth is coming.

Aditya Welekar: That is good to hear, sir. Thank you very much.

Moderator: The next question comes from the line of Kumar Saumya from Ambit Capital. Please go ahead.

Kumar Saumya: Sir, a couple of questions from my side. So firstly, on the EBITDA per ton. In the general structure, we have seen EBITDA per ton move up from INR2,700 to INR 3,400. If you could please help me understand what is driving it and how sustainable these are?

Anubhav Gupta: Right now I have already told the callers that from January 2025, we are totally focusing on our brand leverage and the size leverage. We spread our margin or pricing from others. We have stopped looking at others. So, because of that, our margin is increasing. And we have also worked a lot on the distribution network. We have developed a lot of our distributors in this way, according to capturing the market. So, I think it is sustainable.

Kumar Saumya: Okay. So, we expect that it will come above INR 3?

Anubhav Gupta: It should be 100%. Otherwise, as the quarter goes on, our confidence level will increase.

Kumar Saumya: Sir, today, what is the SG premium volume that we are doing within the general structure?

Anubhav Gupta: 10,000 to 15,000 tons between per month.

Kumar Saumya: Per month?

Anubhav Gupta: Yes.

Kumar Saumya: In this SG premium, what would be the EBITDA per ton that we usually make?

Anubhav Gupta: I think we are in almost nil or maybe 500 minus.

Kumar Saumya: So on the blended basis, if we are doing 3,400, then that means the rest of the portfolio is... ?

Anubhav Gupta: You can understand that today, Apollo, APL Apollo price, I will tell you in a simple way, INR54,000 is our lowest price in the Southwest. And our SG premium price is around INR49,000-INR 49,500.

Kumar Saumya: Sir, lastly, just bookkeeping question. What is the Dubai capacity today and Raipur capacity as on today?

Anubhav Gupta: Dubai capacity is almost 3 lakh ton per annum. Right now, our one line is starting in November. One line will start in March. So, the capacity of that plant will be 5 lakh ton per annum. That plant is fully booked. We are very bullish. We are opening two warehouses in Europe and Antwerp for that plant, one in Liverpool and one in Antwerp.

So, our margin should be more expanded from there, according to me. And if Raipur's capacity comes in our full order book, then 1.2 million ton ABPL and 0.3 million ton of our old plant, which is the primary one. Total capacity of Raipur is 1.5 million ton.

Kumar Saumya: Okay. And utilization at Raipur, sir?

Anubhav Gupta: It's around 70%.

Kumar Saumya: And Dubai similar? 70%-75%?

Anubhav Gupta: No, no. Dubai is above 85%.

Kumar Saumya: Sir, just for an understanding, when we sell our products in Liverpool -- sorry, say in Europe, from the Liverpool and Antwerp warehouse, how is the profitability in this market different from the Indian market?

Anubhav Gupta: We are already supplying from Dubai. But if we open a warehouse there and make the service better, then we think that our EBITDA spread should increase by EUR 50.

Moderator: The next question comes from the

line of Onkar Ghugardare from Shree Investment.

Onkar Ghugardare: Sir, my question was that, we are a segment that is growing well for Sambhav Steel. Are we present in it? And if not, is there any chance of coming in it? Pre-galvanized coils and pipes, sir?

Anubhav Gupta: No, I don't think there is anyone in the pre-galvanized pipe of Sambhav Steel. I have heard a lot about it. But we will never go into the life of the quality material that is made. It is better that I

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close my system. But I never go to this secondary type of material. That is my biggest, I have been fighting this secondary for 20 years. I am replacing the whole market with secondary. So, I will never go to secondary.

Because what is the problem in secondary, I will tell you. Listen to a problem. Its upper cap is fixed from HR coil. It has to be sold for INR 3-INR 4 cheaper from HR coil. As the capacity of HR coil increases in the country, apart from India, if you see anywhere in the world, there is no secondary going on. And it is the most polluted item. If you look at the carbon of the sponge that is made from sponge and I don't have that much deep knowledge, if you look at the carbon of the blast furnace, there is a big difference.

Now you see in Europe, it is coming in Europe, if you make material from electrical steel, from scrap, then you will get a premium of EUR 100 there. So, I am a little environment-friendly person. So, I can't even think of secondary because it is not a very environment-friendly product. Number 2, not one, there are many pillars. I don't know what is the cost of this, but from the market, from my dealers, it is known that every person is crying at this time. Today, if you consider the basic pipe of secondary in Raipur, then it is 37,000, 37,500, it has an extra of 3,000 thickness, then Raipur is basic around 40,000. There is a freight of 3,000, if the goods have to be sent anywhere, then its rate is around 43,000.

Our HR coil has already reached 45, 46. So, there is no margin there, that's why we take the margin and sell the goods in 54, that's why we have a problem. If I sell the premium at a cheaper price, then there is no problem at all.

Onkar Ghugardare: So, you mean to say that this pre-galvanized coil also comes in secondary?

Anubhav Gupta: No, it does not come in secondary, it is not pre-galvanized, it is a black pipe.

Onkar Ghugardare: Okay, so what do you have to say about pre-galvanized? What do you have to say about it? You are not in this category or there is a chance that you will not go?

Anubhav Gupta: I don't have a concern, I don't know about it. I don't know what it shows, what it does, I don't know anything about it.

Onkar Ghugardare: I am not asking about them. Are you present in this or are you thinking of adding something about it?

Anubhav Gupta: My pre-galvanized will come in the main volume. How much is your pre-galvanized?

Chetan Khandelwal: 2 lakh ton.

Anubhav Gupta: 2 lakh ton is the sale of our quarter.

Chetan Khandelwal: The product break-up that you will see in our presentation, the Coast Guard pipe in it, all that is pre-galvanized.

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Onkar Ghugardare: Okay, all that comes in pre-galvanized.

Anubhav Gupta: Pre-galvanized is innovative.

Onkar Ghugardare: Apollo started pre-galvanized.

Anubhav Gupta: I don't know much about it, I have never heard of it.

Onkar Ghugardare: Okay. Thank you. My second question was that you said that for the next 3-4 years, you will do a double digit growth. Can you give us more information about it? Double digit means how much, 15% to 20% at least we can expect?

Anubhav Gupta: No, no, no, it is 10% to 15%. I can't commit directly.

Onkar Ghugardare: 10% to 15% for the next 3-4 years you are saying?

Anubhav Gupta: I know about 3-4 y

ears, but 10% -15% for the current scenario.

Onkar Ghugardare: So, you are expecting this bare minimum, no matter what the situation is, as of now?

Anubhav Gupta: Yes, bare minimum. In this bad situation, we are doing this much.

Onkar Ghugardare: And this EBITDA that you said of INR 1,700 crores this year, this means that 10 % to 15% of the volume that you are saying...

Anubhav Gupta: I am not saying bad from bad.

Onkar Ghugardare: Yes, yes. So, INR 1,700 crores that you are saying for this year, what will be your target by holding 10% -15% volume growth? Should it be more than this or should it be at a similar level according to volume growth?

Anubhav Gupta: That is on tailwind now. It is difficult to comment now. If we get tailwind, we will increase it by 100%.

Onkar Ghugardare: So, the volume growth should be at least as much as the EBITDA growth?

Anubhav Gupta: I have not done such a deep calculation, but it is on tailwind. Now, I understand it in my language, the target of 9 lakh tons will be Q3, the target of 9.2-9.5 lakh tons will be Q4. In that, the EBITDA of around INR 5,000 is INR 450-INR 450, INR900 crores, and INR 800 crores has come, so INR 1,700 crores. I am saying this.

Onkar Ghugardare: This you are saying for this year of INR1,700 crores?

Management: Yes.

Onkar Ghugardare: I am asking that if in next 3 years to 4 years you are expecting a 10% to 15% bare minimum volume growth then 3 years to 4 years going forward at least this level EBITDA margin can you sustain that?

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Management: Yes maybe 6,000 and if the business gets close d it maybe 4,000.

Management: To answer your question EBITDA growth should be higher than volume growth. Our business model has been maintained that way.

Onkar Ghugardare: So that's what I was asking the EBITDA growth should be higher than the volume growth h you are talking about?

Management: Yes, it will definitely be there. Our volume growth stays at 10% to 15% so our EBITDA growth will be 15% to 20%.

Onkar Ghugardare: Okay. All right. Thank you very much.

Management: Thank you.

Moderator: Thank you. The next question comes from the line of Akshay Chheda from Canara Robeco Mutual Fund . Please go ahead.

Akshay Chheda: Sir, thank you for the opportunity. Sir just sorry, but again on this EBITDA per ton only. Sir actually INR300 of sequential i mprovement well taken because of the GP, because of the operating leverage and the ESOP absence. Sir, but then again on this GP per ton also improves sequentially by INR200. So what defines that?

Was there an element of inventory gain in this quarter becau se sequentially the product mix was adverse and then, I mean, sequentially the product mix is adverse and even the ASP has declined sequentially still there is an expansion in GP per ton. So was there any element of inventory gain or what justifies this?

Chetan Khandelwal: Akshay in fact, I mean there was some inventory loss only in this GP per ton which you are seeing because steel prices came down in the second quarter versus Q1. So there is no inventory gain, in fact there is some inventory loss minuscule not too much. Now this GP per ton expanded because of our value -added mix portfolio.

Raipur plant and Dubai plant they both performed pretty well. The volume expansion came maximum from these two plants and they all – and these two plants carry EBITDA p er ton of INR6,000. So that helped improvement in GP per ton. Our general category product which we are selling at higher realization where we got INR3,400 per ton EBITDA versus INR2,800 per ton in Q1

Akshay Chheda: Okay.

Moderator: Thank you. The next question comes from the line of Andrey Purushottam from Cogito

Advisors. Please go ahead.

Andrey Purushottam: First of all congratulations for an excellent performance with all the headwinds against you, really well done. Tha

nk you and my question I just want to understand Anubhav see from

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quarter -to-quarter your realization per ton has come down in line with what you also said that steel prices have come down.

Now you also said that you took a price increase on a general category in January 2025. So does that mean the increasing EBITDA per ton is also explained by further drop and the more benign raw material price environment, that's why it has happened. So I am just trying to reconcile these numbers and get an explanation?

Anubhav Gupta: No because see whatever steel price movement is there it is like 100% pass-through. So NSR increase or decrease is -- the NSR increase or decrease is 100% linked to steel prices. Now for example, if you look at Q1 versus Q2, our NSR declined by INR5,000 per ton and the steel -- our raw material cost also came down by a similar level.

The only improvement in GP per ton is INR200. So in our business model, you will see that steel prices drop or increase leads to same decrease or increase in our NSR. Whatever gap is there, that is on account of our improvement or deterioration in GP per ton in that particular quarter.

Andrey Purushottam: So your improved profitability is for the reasons you spoke about earlier, the INR500 ton improvement on account of operating leverage, no ESOP cost and this was one more factor that you had mentioned. So -- and of course, your slight change in value product mix. These are the essential explain a little?

Anubhav Gupta: Yes, just to reiterate three main factors. Number one, brand premiumization, which you see improvement in EBITDA per ton in our general category. Number two is operating leverage gains as we do more and more volume. And number three is improving value-added mix portfolio, which is coming from our Raipur and Dubai plant.

Andrey Purushottam: Right. And I just had one more question. This is a more general question. If we were to arrive at a deal with the U.S. on tariffs and tariffs were to come down to reasonable levels, let's say, 20%, etcetera, how will that impact our business?

Anubhav Gupta: No impact as such because our international sales to U.S. is taking place from Dubai plant. So from India, it doesn't impact.

Andrey Purushottam: So you don't see any real risks in the next 6 months to 12 months in this business, right?

Anubhav Gupta: Except further deterioration in GDP from existing levels.

Andrey Purushottam: So as long as demand remains roughly at the same level as it is now, there is no significant downside that you see?

Anubhav Gupta: That's right.

Andrey Purushottam: Thanks very much. Thanks a lot.

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Moderator: Thank you. The next question comes from the line of Saurabh Patwa from ASK Investment Managers. Please go ahead.

Saurabh Patwa: Thanks a lot sir for this opportunity. I just wanted to have just a bit broader question on understanding on the EBITDA per ton trajectory. If I see the company from last 10 years, 15 years history, till pre-COVID, our margins used to be hover around like INR3,000, INR3,500 range. Post-COVID, I think as the capacity increased and our volumes started to pick up significantly from close to 1.2 million to close to 2 million, our margins improved very sharply, EBITDA per ton.

Subsequently, I think while our capacity kept on increasing, I think the utilization level didn't kept pace because the capacity addition was much faster. And that's when the improvement sort of the further improvement couldn't kick in, in terms of operating leverage or gross margin improvement. Also, we got impacted by the macro environment in terms of realization, product mix at some quarters, etcetera. How do you see, sir, things changing there?

Because in this quarter, see some -- from the commentary which you have highlighted

so far, it

appears that you believe that worst in terms of your macro would have been behind, the capacity utilization has reached a decent number and the operating leverage should start kicking in much faster than it would have done in maybe last two years or so. Is this a fair understanding, sir?

Would be happy to have your thoughts on that, sir?

Chetan Khandelwal: Saurabh, that's why we always demonstrate this confidence in our business model that it has the ability to generate EBITDA per ton of INR6,000 per ton, right? Now we may not demonstrate this number throughout four quarters in a year. But on a blended basis for full year, we always wish to have INR 6,000 per ton of EBITDA spread.

Now why we say so? Because if you look at like you said 10-year history, right? Before COVID, we were around INR3,000 per ton, right, between 2016 to 2020, our EBITDA spreads were

around INR3,000 per ton . And if you look at our capacity expansion speed at that point of time, it was doubling every three years, right? We were expanding our capacities every 3 years. Now a lot of upfront costs used to come up, right, which used to depress our margins. And three years, continuously, there was demonetization, there was a slowdown in GDP, then COVID came, right? So that put pressure on our capacities, and we had to down sell our product, right? We had to offer discounts to our channel partners. That's why EBITDA per ton couldn't go up. Now what has changed after COVID, one is that slowly, gradually, Apollo brand has started to become strong, right? And we have lowered the discounts which we used to offer earlier. And now we are not doubling our capacity every three years, okay? Like earlier, we used to look for 25%, 30% volume growth. Now we are seeing mid -- like double-digit volume growth. And now we are running -- we are chasing profitability. We are chasing EBITDA per ton because that's what we have built our brand now, right? So we have to leverage on that. And secondly, all the new capacities, which is coming up, that's for markets where we are not present, so we don't have to go and offer discounts. Secondly, they are towards the value-added

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products, okay? So that's why we are confident that the trajectory from INR 3,000 to INR 5,000 per ton in the last six, seven years. And the next four, five years, definitely, the trajectory could be from INR 5,000 to INR 6,000 per ton.

Saurabh Patwa: Thanks a lot for the details. Just quickly, so last three years, the profit growth, which was slightly below what you would have envisaged and despite sharp -- despite a good revenue growth, do you think -- do you assume -- or do you firmly believe that things would not be the same in the coming next three years, probably it should be much, much higher, right?

Chetan Khandelwal : Definitely, Saurabh. Yes. Because last two, three years, again, we were ramping up our Dubai plant. We were ramping up our Raipur plant, right? So there was some negative operating leverage coming from there. And then FY '25, quarter 2, we took a hit of massive inventory loss, right? So if we -- assuming like steel prices cannot fall again by INR8,000 per ton from current levels, right? So we may not see the same kind of inventory losses, right?

And Raipur, Dubai plants, which were our major capacity expansion in the last three, four years, now they are stabilized. The utilization rates are above 70%. We will not have a negative operating leverage again, right, for the new capacities coming up. So that's why we are confident that EBITDA growth now will be superior than the volume growth.

Saurabh Patwa: Right. Thanks a lot and all the best.

Moderator: Thank you. The next question comes from the line of Nishita from Sapphire Capital . Please go ahead.

Nishita : Yes. So I had a question. So what is the, like split between the Dubai

plant and the India plant currently -- the volume, sir?

Chetan Khandelwal : According to the rate. So Dubai plant is contributing around 8% to the total volume.

Nishita : Okay, understood. So I just wanted to understand, you mentioned that 9 lakh ton is your target for Q3 and around 9.2 lakh tons is the target for Q4 with the EBITDA per ton of around INR5,000 to INR 5,200. Is that correct?

Chetan Khandelwal : That's right.

Nishita : Okay. Understood. That is, it from me . Thank you.

Anubhav Gupta : If we miss by volume, so maybe our EBITDA margin will go up.

Nishita : I am sorry?

Anubhav Gupta : Even if our volume is less, our EBITDA margin will go up. We are not focusing on the volume, we are focusing on the margin.

Nishita : Okay, understood. So would you like to give any revenue guidance for FY '26?

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Anubhav Gupta : Right now we are not able to understand the market, but we can see that the worst is over. Right now we are running at a rate of INR 850. So we think we will cover it in November - December. But we are maintaining the margins. Our focus is on INR 450 crores in Q3 and Q4 each.

Chetan Khandelwal : In quarter 3 and quarter 4 each.

Anubhav Gupta : We have to beat this.

Nishita : Okay. So in quarter 3 and quarter 4, the target is to be at INR450 crores of top line?

Anubhav Gupta : Bottom line, EBITDA margin.

Chetan Khandelwal : Absolutely, EBITDA.

Nishita : Okay. Absolutely, EBITDA, understood. Thank you.

Moderator: Thank you. The next question comes from the line of Angad Saluja from UBS Securities India. Please go ahead.

Angad Saluja : Thanks for taking my question. Sir, first question on SG Premium launch . Like how has the feedback been from the dealers on the launch? And what is the largest strategy here that we are sort of trying to achieve? First question is around that.

Anubhav Gupta: Hi, Angad. Angad, there no logic, because we have a spare capacity there. We have a spare raw material there and our distribution network when we are selling our material on premium they need some to compete with other brands and they used to go here and there so we lost this brand, you don't take material from here and there, we give that material to you.

Angad Saluja: Right. Sir, dealer feedback on that, there no negative pushback or anything from a dealer's perspective.

Anubhav Gupta: It's the same dealer, who take Apollo. If anybody is lifting Apollo 10,000 tons then he picks up 1,000 tons or 1,500 tons because you understand what my marketing system is. Like my dealers, 10,000 tons, 5,000 tons , 15,000 tons, 20,000 tons dealers are, my second competitor doesn't make that much material. So I have to sell material to him and he has to take material from me.

Angad Saluja: Right.

Anubhav Gupta: The amount of material I sell to a dealer his total production structure is not that much. I built up my system like that that we are for each other.

Angad Saluja: Right.

Anubhav Gupta: So they had to take 10%, 20% material he has to take it from here and there, or somebody else used to spoil the brand mark et so we said that we have a spare capacity and our cost will be leveraged and if we don't earn from it then our cost will come down.

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Angad Saluja: Right.

Anubhav Gupta: This is the strategy.

Angad Saluja: Got it, sir. Got it. Sir, the second question in the end market demand where you can see that the demand is slightly stable across the board you think that the demand is challenging or you think that in October there was a pick up in a specific channel. Like, what do you feel on the ground on demand?

Anubhav Gupta: No. It was clear that for the last three months, four months' steel was a downward trend. Now in October it seems that the downward trend has ended. If it doesn't increase from

November then it won't decrease either. So the channel is completely empty so the demand should pick up but right now after 1st the idea will be complete. Everything has gone bad there is nothing left to go bad.

Angad Saluja: Right. Right. Right.

Anubhav Gupta: Today first time -- I have seen for the first time in my history that Indian prices -- steel prices are less than import by INR7,000 per ton, INR8,000 per ton. Otherwise India used to get INR2,000, INR3,000 more than import.

Angad Saluja: Got it, sir. I think that was all.

Moderator: The next question comes from the line of Pallav Agarwal from Antique Stock Broking.

Pallav Agarwal: Yes. Good evening, sir, and congratulations on a good set of numbers. Just had a question on this inventory. We have had a positive impact of change in inventory. So will any of this reverse in the coming quarters or this can -- there will not be any impact in the second half?

Chetan Khandelwal: So Pallav, steel prices are down only. So there is no inventory gain in the first half.

Pallav Agarwal: No. I'm not talking about gain. I'm just talking about the accounts, the change in inventory. So about INR150 crores of benefit is there, right? So either we have built up inventory or there's been a change in price. So what is actually what has led to this amount -- this inventory change?

Chetan Khandelwal: So, yes, finished goods stock is down, right? And we have bought some raw material, right, which is -- which you see in the P&L.

Anubhav Gupta: Better inventory management.

Pallav Agarwal: Okay. So you should not see any reversal of this in the next quarter?

Chetan Khandelwal: No.

Pallav Agarwal: Okay. And also if you could just share, I think, the capacity utilization, you mentioned that Raipur has gone up, I think, on a blended basis. So what was it in the, let's say, in the previous quarters, Dubai is at 85%. So what was this utilization maybe in Q1?

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Chetan Khandelwal: So Q1, Raipur was 55%. Right now, it is around 65%, okay? Dubai was 65% in Q1 and now it is touching 80% in Q2.

Pallav Agarwal: Okay. Okay. Okay. Yes. Okay.

Moderator: The next question comes from the line of Sailesh Raja from B&K Securities.

Sailesh Raja: Yes. Sir, you just mentioned we are focusing more on EBITDA per ton than the volumes. So in the same line, I just wanted to know within general category, is it possible to share the volume mix between the products where EBITDA below INR2,000 per ton and those above INR2,000 per ton. Has there been any change in this mix compared to last year's same quarter or last quarter? So what is our long-term strategy here?

Chetan Khandelwal: No. So that is already given in our presentation, the product mix with EBITDA per ton break up.

Sailesh Raja: No, sir, within general category, I'm asking. Within general category, so we have reported around INR3,200 in the first half.

Chetan Khandelwal: Right.

Sailesh Raja: With that category -- can you give the mix where EBITDA we might have reported below INR2,000 per ton and above INR2,000 ton?

Anubhav Gupta: Mostly everything is one, there is nothing, like, two, three category -- in general category, we don't have two, three categories. The pricing is the same.

Chetan Khandelwal: So when we increased our price -- when we increased our pricing, it was increased for the whole lot of general category. It starts from range 20...

Anubhav Gupta: 20 square to 180 square -- 150 square.

Sailesh Raja: Okay. Okay. Okay. Sir, one more last question. Our cash generation is very strong. Even after considering capex and dividend, I'm assuming 20% payout, we would be still generating average of INR400 crores per annum for next three years. So we would be sitting with INR1,200 crores of excess cash.

So what is our strategy here? Is there any plan to increase dividend or buyback? Also,

if you see

our payable is INR2,300 crores. So instead of holding cash and having -- we have, I think, fixed deposit also. So instead of getting yield of around 4%, 5%, can we pay upfront and get more discounts? So what is our strategy here?

Anubhav Gupta: First, our strategy is to remove the liabilities from the book and get some more discounts from the suppliers.

Sailesh Raja: Okay.

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Anubhav Gupta: Number two, we go for the capex, like, our capex which is declared for 7 million. For the remaining 10 million tons, I think, we will have to put 1.5-million-ton capacity. We will go for outsourcing. So 10 million tons. The remaining money is a good problem to solve. We will increase dividends or buy back. We will do something. Keeping in company -- we will not make an FD.

Sailesh Raja: Okay. Okay, sir. Thank you, sir.

Moderator: Thank you. The next question comes from the line of Vikas Singh from ICICI Securities. Please go ahead.

Vikas Singh: Thank you for the opportunity, and congratulations on a very good set of numbers in a difficult time. Sir, my first question pertains to the fact that you said a lot of HRC capacity is coming in India. So, will this facilitate you to gain more market share because of the price gap differential coming down? Or there is still a legroom that you get incremental discounts from the steel mills to catch margin? So which should be the better way to utilize this opportunity?

Anubhav Gupta: First, both of the ways, amount of capacity that has come in India. Either it should be a demand growth and now the capacity is ramping up. This is a good thing. Maybe they hit the secondary to sell this type of material.

Vikas Singh: Is there a more scope to get the benefit out of this overcapacity situation?

Anubhav Gupta: Our focus is to hit the secondary and get the Indian market on the primary steel. We are focusing on that.

Vikas Singh: Noted. Sir, my second question pertains to some of your competitors basically, though smaller in size. I didn't see any volume growth because they didn't have the capacity. They are also primary producers now. Now going forward, they would have the capacity basically cumulatively about 1 million tons.

So how should we look the primary competitive -- segment competitive scenario, because you are saying that you are focusing on profitability, but would grow the volume, both can't go hand in hand, right, in case of -- since the demand is not that great, you yourself said.

Anubhav Gupta: We don't pay much attention to the competitor to be frank. We are working on our own strategy

on how we have to do. We are going in a new area and we are not building up any capacity in our competitive items. We are building up new type of products and new type of area. We are building up from different types. I don't want to compare who will invest how much. We will see when there is a problem. I am the lowest cost producer in the world. And if there is a fight then there will be a price war. I don't see anything like that today.

Vikas Singh: Noted, sir. Noted. Thank you for answering my questions .

Moderator: Thank you. The next question comes from the line of Udit from Yes Securities. Please go ahead.

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Udit : Yes. Hi, sir. Thank you for taking my question and congratulations on a great set of numbers.

Sir, we clearly understand that you all have been gaining market share. Just if you can throw some light in terms of the new uses that have been coming up, is that also aiding to your volume growth? And if so, then which sectors from where are you getting that incremental demand?

Chetan Khandelwal : So, there are two areas where we are working on. Number one is new markets like international markets, we worked upon, right? And now we are going to work on Eastern

markets. So Eastern

markets and international markets, they are giving us additional volume.

And in terms of new applications, yes, our products in the heavy construction with the launch of 1000x1000 tube. And also some of the products for the renewable sector, where we are able to sell for the structures. So, these are the two new applications which have come up and increase our sales volume.

Udit: Got it. Thank you, sir. The rest of the questions have been answered. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference back to the management for closing comments. Over to you, sir.

Anubhav Gupta : Thank you, everyone, and thanks to Axis for hosting us. Look forward to see you next time. Thanks so much.

Moderator: On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us today, and you may now disconnect your lines.

## Call: Jan 2026

January 27, 2026

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NSE Symbol : APLAPOLLO Department of Corporate Services/Listing  
BSE Limited  
Phiroze Jeejeebhoy Tower,  
Dalal Street, Fort,  
Mumbai -400001

Scrip Code : 533758

Subject : Transcript of the Conference Call held on January 22, 2026

Dear Sir/ Madam,

With reference to our letter dated January 15, 2026 intimating you about the conference call with Analyst(s)/ Institutional Investor(s) held on January 22, 2026. Please find attached the transcript of the aforesaid conference call.

The above information is also available on the website of the Company .

We request you to kindly take the above information on your record.

Thanking you

Yours faithfully

For APL Apollo Tubes Limited

(Vipul Jain)  
Company Secretary and  
Compliance Officer

Encl: a/a

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MANAGEMENT : MR. SANJAY GUPTA – CHAIRMAN AND MANAGING  
DIRECTOR – APL APOLLO TUBES LIMITED  
M R. RAHUL GUPTA – DIRECTOR – APL APOLLO  
TUBES LIMITED  
M R. DEEPAK GOYAL – DIRECTOR, OPERATIONS –  
APL APOLLO TUBES LIMITED  
M R. ANUBHAV GUPTA – CHIEF STRATEGY OFFICER –  
APL APOLLO TUBES LIMITED  
M R. CHETAN KHANDELWAL – CHIEF FINANCIAL  
OFFICER – APL APOLLO TUBES LIMITED

MODERATOR : MR. KUMAR SAUMYA – AMBIT CAPITAL PRIVATE  
LIMITED

APL Apollo Tubes Limited  
January 22, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the APL Apollo Tubes 3QFY26 Results Conference Call, hosted by Ambit Capital Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kumar Saumya from Ambit Capital Private Limited.

Thank you, and over to you, sir.

Kumar Saumya: Thank you, Swapnali. Good afternoon, everyone. Welcome to 3Q and 9-month FY '26 post-results conference call of APL Apollo Tubes. From the management we have with us, Mr. Sanjay Gupta, Chairman and Managing Director; Mr. Rahul Gupta, Director; Mr. Deepak Goyal, Director of Operations; Mr. Anubhav Gupta, Chief Strategy Officer; Mr. Chetan Khandelwal, Chief Financial Officer.

I'll now request the management for an opening remark, post which we'll open the floor for Q&A. Over to you, sir.

Anubhav Gupta: Good evening, everyone, and welcome to APL Apollo's 3QFY26 earnings call. I would like to take this opportunity to congratulate Team Apollo on such a stupendous performance in a quarter that faced multiple headwinds, including a subdued macro construction ban in Delhi NCR and falling raw material prices.

If you look at our performance, I would like to highlight a few points. So, number one, the 9-month sales volume increased 11% YoY, which is well within our guidance range of 10% to 15% growth, as we had communicated on the 1QFY26 earnings call. And the 9-month EBITDA per ton is above INR5,000, surpassing our own guidance given on the quarter 1 earnings call. So our strategy of pricing premiumization by leveraging APL Apollo brand has worked excellently to expand our EBITDA spreads, and the launch of SG brand in the base category worked well to compete with the smaller players in the structural steel tube segment and the sponge iron pipe players.

It's been 12 months since we increased the selling price for APL Apollo-branded products, which suggests the markets have accepted our brand equity, and the INR3,000 to INR4,000 per ton premium for APL Apollo-branded products is now the new normal for the structural steel tube segment.

Another highlight for the 3Q result is that we sold 375,000 tons in December, implying an annual figure of 4.4 million tons. So we have successfully tested our 5 million ton capacity, achieving almost 90% utilization in December 2025. So we are very confident that this momentum will continue. Hence, we are upgrading our sales volume growth guidance of 20% for 4QFY26 and FY27, with the EBITDA guidance of almost INR5,500 per ton.

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And at the same time, we are aggressively pursuing capacity expansion to 8 million tons from current 5 million tons in next 2 years, which is a mix of 4 greenfield projects; 2 being in East India, 1 in South India and 1 in West India, 1 being the brownfield project in Raipur for value-added products.

And very interestingly, we identified a 1 million ton expansion through debottlenecking, wherein we identified existing mills that could be replaced with much faster, modernized mills, which will expand our ROCE to the next level because the investment there will be very, very minimal. So total investment to expand our capacity from 5 million to 8 million tons is around INR1,500 crores, and this will be funded from internal cash flows over the next 2 years.

Now one thing which, obviously, we will be talking much more about over our earnings call is the additional 2 million tons to achieve our vision of 10 million tons of capacity by 2030. This incremental 2 million tons will be in the s

uper specialty segment, wherein we are identifying

various targets worldwide for the JVs with Japanese, Korean, and European and American companies to offer products in specialized segments like EV category, aerospace, petrochem, oil and gas, and heavy engineering.

We are already talking to a few targets. So over the next 12 months, there will be much more coming from our side. So 8 million tons of structural steel tube capacity by FY '28, and overall 10 million tons of steel tube capacity by 2030. This is our vision, and every member of the APL Apollo team is working on it.

We are also working on a lot of cost control measures, which Sanjayji will elaborate on later in the call, so that we are able to achieve the 5,500-ton EBITDA target on a per-ton basis because

it's a big jump in our guidance, which we gave from INR4,800 to INR5,000 to INR5,500 per ton. So a lot of working has gone while we are giving or throwing up this number to our investors.

On cash flow generation, you can see that our balance sheet shows a surplus cash of INR5.6 billion. Now, most of the capex is behind us, right? And the company is throwing off such large cash flows, plus the sales run rate, which is what we are achieving. So we are seeing a lot of opportunities to rationalize the inventory days, which right now is 30-plus. It will be in our 20-day range.

And with the strong Q4, our surplus cash on the balance sheet could be INR1,500 crores, which was always the target that we would have as much cash on our books to match our current liabilities, so that we can be a liability-free company. A debt-free company we began 2 years ago, we are now on the verge of becoming a liability-free company. And with such high inventory churn and better EBITDA spreads and volume growth, our ROCE, which right now stands at 33%, it would also further expand to sub-40 levels.

So things look very, very promising. Thank you, everyone, for joining the call. We are happy to take questions now.

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sneha Talreja from Nuvama. Please go ahead.

Sneha Talreja: Hi, good evening, team, and many congratulations on great set of numbers. Just a couple of questions from my end. Did we hear it correctly that you said 20% volume growth in Q4 as well as FY '27? I'm more concerned about FY '27, while quarter 4 is understood.

And secondly, what's changed between in the last, I would say, 3 to 4 months or 6 months, where your EBITDA per ton guidance has suddenly moved up significantly, like you said, from INR4,800 to INR5,000 to now INR5,500. What are the measures you are taking or what are the developments which are happening in the product mix, which is leading to this kind of increase in guidance?

Management: Thank you, Sneha. Our mainly volume growth is coming from our strategy. We have decided to go with the other brands also. Right now, you can say we are H1 in our segment in the market, and also we are L1 in our market. So we are not facing any pressure in volume growth. We were taking trial for 2-3 months. This trial is totally successful. We started in November and December, and till now in January, we are going very well with our targets. So I think our strategy has worked completely.

According to the strategy, we are not facing any problems with volume growth. So, rightly you can say that this year we will do around 3.55 million tons, which we are targeting in Q4 between 10-11 lakh tons. You can say 10.25 or 10.5, we can easily achieve.

So with this, our fixed cost has reduced a lot. Because our fixed cost whether we were making 2.6 lakh tons per month or 3.7 lakh tons per month, our cost is the same. So that has reduced our fixed cost from 300-400.

Plus, according to the pricing in Apollo, we did marketing. So we got a lot of leverage from that

that Apollo as a brand has been well stabilized. Our margin would have been more but due to our margin being less in premium because our margin is coming between 1500-2000 per ton. Because of that, our spread has reduced a lot overall. Otherwise, in Apollo, we are well in head and slowly as our volume will set up at 5 million tons, then I will not finish the premium, but slowly we will slow it down and increase Apollo more. But as a brand, it is difficult to achieve abnormal growth.

But in the lower brand, I used to say that we can take growth. We were afraid that if our volume does not increase, our cost will not decrease, and if our goods are sold cheaply, then our margin will be very bad. That's why we were afraid.

But after October, we took this step. In October, we are doing so-so. Like we did in October, 2.5 lakh tons. In November, we have done almost 3 lakh tons, and in December, we have done 3.7 lakh tons. And in January also we are looking for 3.7 lakh tons or 3.8 lakh tons.

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So, because of this, we have made a difference in cost. When our sales picked up, our value-added product also started selling more. When our sales were picked, then the goods were sold

locally. So we have reduced our freight cost also by INR100, INR200 per ton. Earlier when the sales were less then the goods were going from one place to another to fulfill the customer demand.

Now every plant is focusing on its local market. So this has made a difference in our freight cost. It has also made a difference in our power costs. Like, if we talk about it, earlier our electricity cost was around 90 units. How much was 90 Chetan?

Chetan Khandelwal: 92.

Management: 92 units were coming till October. That in December was 80...

Chetan Khandelwal: No, it is combined of quarter. How much was in December 84?

Management: In December that 84 units came. So in these small plus fees cost there was a difference of INR200-INR300. So, because of this, our margin has increased. Thank you.

Sneha Talreja: Thanks a lot sir. Thank you so much. And all the very best team.

Management: Thank you, Sneha. So just to reiterate that we are seeing 20% volume growth for Q4 FY '26 and for the full year FY '27 over FY '26.

Moderator: Thank you. The next question is from the line of Bharath Shah. Please go ahead.

Bharath Shah: First, I wanted to make a point before I ask a question.

Sanjay Gupta: Yes.

Bharath Shah: Experience. He keeps on saying headwinds and challenges. In the quarterly presentation also he said that headwinds and challenges etc. But I believe that the birth of an entrepreneur like Sanjay Gupta is to overcome challenges. So I think we should stop writing these pre-embedded articles...

Sanjay Gupta: I have never seen it till date. You are absolutely right. First of all I am very thankful to you for giving such a big regard. I also believe that there is either success or failure in life. I mean these are all excuses. Headwinds and challenges are just your excuses.

Bharath Shah: I just wanted -- would that be the first point?

Sanjay Gupta: Headwinds and challenges are just your excuses. Pass or fail.

Bharath Shah: Okay. So basically, I think fundamentally, the most important change in strategic focus that we have last year, and which I think is providing superior outcomes, is to focus on overall growth of the profit pool, whether it comes through volumes, it comes from the lead rate due to volumes, or whether it comes through the mix.

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But I think we use those levers, but objective clearly is to grow the profit growth. And I think that strategy, you're focusing on the profit pool. Perhaps is the most important strategy change that we have initiated in the last few quarters. And, in my personal opinion, it's absolutely the right area to focus on. So I want to get your perspective on the matter

Sanjay Gupta: So, Bharath Bhai. We have divided it into 4-5 parts. We are selling 2,40,000 tons per month from the Apollo brand. After that, our Dubai plant reached almost 25,000 tons. The third product of that is our scaffolding, which we sell by hitting Patra and Raipur. And in the SGP, we have about 50,000 tons. And in the routine product, we work for about 40,000 tons. So in this way, we have made a bracket of 3,75,000 tons.

In Apollo, we are targeting 7,000, in Dubai, we will easily reach INR7,000 easily. From Q4, we have no problem at all. Even in roofing, we will get a beta of around INR7,000. In Scaff and SG Premium, our EBITDA is around INR1,500 to INR2,000. So, if we calculate the total average, it is close to INR6,000 per ton. In 3,70,000 tons. 3,70,000 tons into INR6,000. It is INR220 crores per month.

So, we have decided that if we fail or pass 20,000-30,000-40,000 tons, the rate at which 20,000-30,000 tons will be sold, we will sell it. If we sell 20,000-30,000 tons at INR4 per kilo, then we will incur a loss of INR10 crores. If we sell it at INR5 per kilo, then we will incur a loss of INR15 crores. So, we will definitely take out INR200 crores.

So, we have come up with this type of strategy. Earlier, we were afraid of this type of strategy. Now, we are working with this type of strategy. We had a little drawback till now. Before, there was a benefit in the raw material of Raipur, and now, in Raipur, the freight cost has increased, and the factor of benefit of raw material in Raipur has stopped.

Now, the Raipur area is the regional area, or it is all-India value-added products now. We have strategize the plant so we can take all the value added product in Raipur and the remaining plants we have made them focussed on local.

We have freight cost, it was coming INR2,600 per ton from Raipur on average, and from the local plant, it was coming at INR1,150. So we are targeting INR1,150 to come down to INR750 and INR2,500, INR2,600 we have not been able to reduce so value addition of freight we want to make up because local rate has been increased and the main capacity is in Raipur so we are

facing this problem.

So we have worked on that strategically, and because of that, we got one more benefit, which Anubhav said that free cash flow will be very good. Before, we made all types of products in every plant, but now we have strategized every plant so that in this plant, this thing will only be made, and all mixers we have taken to Raipur, and because of that, the inventory is very low, and free cash will be generated. So I think we are very hopeful that pressure shouldn't come until and unless there is change in management. We are at very comfort position.

Bharath Shah: Yes, absolutely. That's what I was repeating, basically, how much is the volume, what is the mix, what is the tactical strategy, and we have a tremendous focus and control on cost and

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operating leverage. These are all in our hands. Overall, that should culminate into profits. And focusing on profits and growing the profit pool is far more strategically simpler objective. And in my opinion, an efficient objective rather than getting carried away by moving parts that sometimes it has been done in volume and we have kept the product under cover and apart from that the strategy which we have adopted from last three, four quarters. Of course, in between, we suffered from a particularly big quarter where steel prices swung. Nobody can do anything. So that is something exempted?

Sanjay Gupta: The first guideline, which we have given of INR1,700 crores this year and INR1,800 crores, there is no doubt. We are targeting that we should cross INR1,900 crores.

Bharath Shah: Absolutely. Then a second question I wanted to -- when I'm looking at conversion of EBITDA into operational cash flow. In this particular period of 9 months, it has suffered. And cle

arly, that

has suffered because some amount of working capital has come into the play, but our free cash has gone up because our capex is now behind us.

So the question that I wanted to raise was -- Anubhav mentioned at the beginning, from a zero debt company -- zero debt balance sheet to a liability-free balance sheet. If I have to interpret it appropriately, it means that, basically, even current liabilities will probably be knocked off, which means our management of inventory and accounts receivable is so efficient that the reduction of working capital through current liabilities itself may be an objective. Is that the right understanding?

Sanjay Gupta: That's right, Bharat bhai. So the working capital, which right now stands at 3, will go to negative.

Bharath Shah: Absolutely. Now that is the most wealthy objective because liability is a way of funding assets.

So we don't treat them as working capital. I think working capital is inventory and receivables.

So, working capital shortens without liability, then great deduction?

Sanjay Gupta: In Q4 results you will see the inventory and debtors very minimum. We have done a lot of work on this, and you will definitely see the reduction. As an example I am telling you that every plant used to make pipe of 12 mm and every plant has been restricted to 6 mm and the 6mm product I have taken to Raipur.

When I studied at 1st December my sales was above 6 mm and including all plant I have inventory of INR50,000 and everywhere I have emptied all the product of December, January and in December it was less and after that things come into notice.

In January we have emptied all the products and all the 6 mm product we have taken to Raipur and because of that all the work will be done from INR10,000 tons inventory. From INR40,000 the above product the inventory will be less. So we are doing all such type of work and according to me Q4 is the best performance by taking these criteria.

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Bharath Shah: And one last question. Given the fact that volume outlook is also now healthy, mixing any cases is steadily improving. Dubai operation is moving forward in a fast forward basis. And our strategic focus is now on raising the margins.

And first time I have heard right at the beginning, Anubhav's spilling out EBITDA per ton objective. So that clearly tells me to rethink that. So will it be possible to see EBITDA of INR3,000 crores plus in '27 or am I being greedy?

Sanjay Gupta: Right now, you are greedy, Bharat. Frankly you ask me we are thinking about 42 million ton this 4.2 million tons and above 5,500 we will done the complete work or to increase this number we need one or two quarters more. I will not speedily give the answer because nothing will happen to me the goodwill which I made in the last 20 years to become bad it will take only 1

minute like last year.

We are saying that we will do this much, then all of a sudden we have reduced our guidelines, so it's hard to meet because of that we have done a lot of hard work in last 6 months that we should give some guideline then again, in next quarter, we changed the guideline it will hurt my reputation and my mind also. So I can't give you that guideline. Now I can confirm that 4.2 million ton plus I will do and INR5,500 ton EBITDA I will surely make it.

Bharath Shah: No. That's a very, very fair answer, which means INR3,000 crores in any case has to be certain?

Sanjay Gupta: One year here and there. The target which has been given is of 10 million ton, EBITDA 6,000 to 10,000 definitely I will make it happen.

Bharath Shah: No, so delighted hear all that I heard and between what you stated and you didn't state I think this is a remarkable want, but statement about challenges it should come because people like Sanjay Gupta has been born to meet challenges.

Sanjay Gupta: When we have reduced the guidelines we were hurt badly that time

and all the system has

working very hard and we are not ready to take back the guidelines at any cost. Whatever we say, we will say with a lot of thought. To do that, how much will we try?

Moderator: The next question is from the line of Aditya Walekar from Axis Securities.

Aditya Walekar: Congrats for the great set of numbers. So my question is to Anubhav. Just a few bookkeeping questions on the capacity expansion plan. So in the last quarter's presentation, we have existing capacity of 4.5 million tons. So now we have 5 million tons. So the increment has come from Dubai. And what else apart from Dubai?

Anubhav Gupta: So this 4.5 million tons to 5 million tons capacity, one is super heavy, we had added. So that got added, plus some capacity we added through debottlenecking only. So the team is working very, very aggressively, right, to identify that within the existing capacity, how we can increase our capacities by doing small, small improvements, like the mill has multiple components.

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So, replacing old components with new components, the efficiency improves. So 4.5 million tons to 5 million tons new capacity got added by 100,000, 200,000 tons, and the rest, to 300,000 tons, is through debottlenecking only.

Aditya Welekar: Okay. And these specialty tools, which we were projecting earlier at 0.5 million tons, will remain the same in the quantum and...?

Anubhav Gupta: Now we are targeting 2 million tons. Beyond 8 million tons, to reach 10 million tons, 2 million tons will be specialty tubes. Earlier, it was 1 million tons. Now we have increased it to 2 million tons. Because as we started working, we are identifying a lot of areas where our company can work across.

Aditya Welekar: Yes. So what gives us -- I mean, if you can throw some use cases or demand pointers that we are now projecting higher capacity additions. So anything on that front?

Anubhav Gupta: So, from 5 to 8 journey, right, 2 million tons consists of 4 greenfield plants, 1 in Gorakhpur, another 1 in Siliguri, third 1 in New Malur, which is in South India, and fourth in Bhuj. So these are the 4 greenfield plants and one brownfield expansion in Raipur for value-added products. So this put together will add 2 million tons over 5 million tons. And 1 million tons again, through debottlenecking, we are going to increase. And the greenfield plus brownfield expansion will require INR1,300 crores, and debottlenecking expansion will require INR200 crores.

Aditya Welekar: Sir, my question was on demand drivers because we are expanding the capacity. So, from a demand perspective, do you see that means from an overall perspective, because the last few quarters, we have seen there was some subdued demand.

Sanjay Gupta: Yes. No, no. Demand is not subdued. We are selling the material in one segment. Now we have split ourselves. Now, what I have said at the start, now we are H1 in the market, we are L1 in the market. We are not going to spread anything. We have to make our capacity full. We are very clear.

Anubhav Gupta: So what Sanjay is saying is that APL Apollo brand is the highest selling price point. SG brand is at the lower selling price point, correct? So that way, we have captured the market heavily.

Second, see, all these expansions which are coming, no. So, East India, we are not selling our production in East India because we don't have any plant as yet. So Gorakhpur and Siliguri will cater to all the new virgin market for APL Apollo. Then Bhuj, Bhuj is for export market.

Again, the segment where we have been lagging behind. New Bangalore, Malur project, right? There, the capacity for the existing products is already fully utilized. So we are adding new capacity. So whatever new capacity is coming, either it is for new areas or the products which are fully utilized as on date. And third, the roofing -- the value-added products in Raipur. Even Raipur plant

today, the capacity utilization has reached 70%, okay, in quarter 3.  
So 1 year down the line, we also need to reinvest again in Raipur to expand the capacity because the demand for some of the products is very, very strong. So we're just gearing for that. So there's

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a 2 million ton of incremental capacity. It's not going to cannibalize existing sales. It's on 3-point fundamental new market, new product. This is an overlap. This will be an overlap, yes. But then the market will increase, assuming India's construction growth is 7%, 8% year-on-year. So that much market will increase.

Moderator: The next question is from the line of Omkar Ghugardare from Shree Investment.

Omkar Ghugardare: Congrats on a good set of numbers. I just wanted to know this specialty tube, which you are talking about, from FY '28 to FY '30, what kind of EBITDA per ton is there? You can give a range, that would be fine.

Anubhav Gupta: So, if you look at the specialty tubes, some of the Indian companies are present and some of the global companies, which we are studying, the EBITDA spreads are in the range of INR10,000 to INR15,000 per ton. It will depend on what kind of product segment we get into. It's a bit early to comment.

In the next 2 to 3 quarters, we'll have much more clarity on which global partner, which segment we are tying up with. And -- but yes, whatever we do, it should be above INR10,000 per ton EBITDA.

Omkar Ghugardare: And here, you were talking about JVs, right, in the international markets?

Anubhav Gupta: Yes, that's right. Because super-specialty products, now, if we build this capacity in-house in India, it will take time. So a partnership with a global player always put things on fast track, and we can capture pretty quickly.

Omkar Ghugardare: Okay. Second one is on the capacity you mentioned. I guess you will be doing around 3.6 million tons this year and then 42 million, 43 million tons -- 4.2 million tons, 4.3 million tons in FY '27.

So is the understanding correct?

Management: Yes. Minimum 4.2 million ton, minimum.

Omkar Ghugardare: Okay. And you're talking about 5,500 of EBITDA per ton, right?

Management: Yes, minimum.

Omkar Ghugardare: Okay. This is minimum you are talking about. And then with all the efforts you are doing and when the free cash we'll be generating, what kind of ROCE are you targeting?

Management: It could hit 40%.

Omkar Ghugardare: In FY '27, right?

Management: 40% will be more. So optically, right, as on net INR5,000 crores.

Omkar Ghugardare: So next year's INR1,000 crores and next year's INR6,000 crores. How much do you want from 50%?

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Management: You want EBIT?

Omkar Ghugardare: Yes, EBIT. So...

Management: After depreciation of 300 for 50%, need 3,200 EBITDA, 40%.

Anubhav Gupta: So 40% is what you can see within FY '27.

Omkar Ghugardare: And like the free cash flow which you will be generating, you are like, you will be using that to reduce the working capital days? Or will you be giving out some extra dividends, like increasing your dividend payout as well?

Management: We're going to increase some dividend payout. Surely, no doubt. Like right now, we are -- we achieved our targets, but we are thinking. So right now, we are going with minimum 20% of dividend payout policy. We increased to 25% minimum.

Moderator: The next question is from the line of Abhishek from DSP Mutual Fund.

Abhishek: Yes. Sir, congratulations for a great set of numbers, but I wanted to understand two things. That this INR5,500 EBITDA per ton, does it have sourcing advantages built in? Because there is a lot of capacity coming in as far as tailments are concerned. So is that sourcing advantage already built in?

Sanjay Gupta: Sir, the level of sourcing I am doing, I don't have any scope in that. Because I have to take more material, so I am not looking, I

am not looking for money from backward people at this time.

Because I have to take more material, I am assuming that I am not taking any sourcing advantage in this.

Abhishek: Okay. Okay. Because you...

Sanjay Gupta: Whatever I get, I just want to maintain it.

Abhishek: Okay, okay, okay. And secondly, Sanjay ji, the 20% volume that you are thinking about, in this, will you feel any market tailwind that even if their market tailwind is not falling in demand, still you are confident of that number?

Sanjay Gupta: I have thought a lot that if L1 is being sold, then what will the market tailwind say? When I thought that L1 is being sold, then what will the market tailwind say?

Abhishek: Okay. So, if there is a market tailwind, there can be upside to this number?

Sanjay Gupta: Yes.

Abhishek: Okay. Okay, sir. Thank you so much, and wish you all the best.

Moderator: Thank you. The next question is from the line of Darshan Mehta from Axis Capital. Please go ahead.

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Darshan Mehta: Yes, sir. Thank you for taking my question. Sir, my question was also on the similar line. When we target for 5,500 per ton EBITDA, so what HRC price are we working for this unitary EBITDA?

Anubhav Gupta: No, Darshan. So HRC is a pass-through for us, right? So there is no assumption on the HR coil pricing. Whatever the price is, up or down, it will be fully passed on to our customers.

Darshan Mehta: So, we are able to fully pass on? Like, there is no absorption that we have to take in our books? Are we able to fully pass it to the end consumer?

Anubhav Gupta: That's right. That's right, Darshan.

Darshan Mehta: Okay. Okay. And sir, just one more thing. In terms of the conciliation of the capacity, sir, in the presentation given that for this 2 million ton greenfield capacity, Raipur would be close to 0.6 million ton. However, my understanding is that the Raipur plant is for debottlenecking. It doesn't fit into the greenfield capacity.

Anubhav Gupta: No, no. Within Raipur, same land, same land parcel, there will be new sheds coming up, new machinery coming up for 6 lakh tons.

Darshan Mehta: Okay. Okay. So this Raipur, 0.6 million ton is purely greenfield. And then can you give the breakup of this debottlenecking capacity of this 1 million ton?

Anubhav Gupta: That will be across the plants, Darshan, that will be across the plants.

Darshan Mehta: Okay. That would be across the plants. Okay. And one more question is on the -- sir, we saw an increase in interest cost this quarter. However, I think that our total debt quarter-on-quarter, which you gave in the presentation, has decreased. So just wanted to know why did we see this increase in overall interest cost?

Anubhav Gupta: So it is -- so listen, if you see like the debt we have on the books, right, the gross debt, let's not talk about the net debt. If we talk about the gross debt, on March '25, it used to be around INR600 crores, INR615 crores, okay, March '25.

And 9 months, we closed at INR548 crores, okay? That's the gross debt on the books. So, because there was interest rate movement during the year, this is what it is, and charges because of bill discounting, etcetera, we do. So some increase in interest cost because of that.

Darshan Mehta: So, basically, you are saying that overall debt has also gone down. Basically, there are some bank charges as well as maybe an increase in the overall borrowing rate, which has basically led to an increase in interest.

Anubhav Gupta: Yes. That's right. So, as we are going to have a lot of cash flow generation during quarter 4, I mean, from quarter 1 FY '27 onwards, this interest rate will drastically reduce to almost zero levels.

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Darshan Mehta: Okay. And just one -- two more questions, if I can squeeze. So, first was on the consolidated tax rate. Can we -- can you assume a lower tax rate

going ahead once this Dubai facility comes into

play? Already, I think we are now at 20% to 23%. Would there be any more reduction in the tax rate going forward once this Dubai plant keeps running, like once it is on stream?

Anubhav Gupta: So, Darshan, both Dubai and Raipur plants are at a low tax rate because Raipur, we started in 2018 under that scheme when the government gave tax benefits for the new ventures. So eventually, we expect our tax rate to be around 20%, when the contribution from both Dubai and Raipur will be at its peak.

Darshan Mehta: Okay. So, can I say FY '28, would you see more like 20% tax rate?

Anubhav Gupta: Kind of, yes.

Darshan Mehta: Okay, okay. And yes, I think I'm done with my questions. And congratulations on the numbers, sir. Thank you.

Anubhav Gupta: Thanks, Darshan.

Moderator: The next question is from the line of Sanjay Nandi from VT Capital. Please go ahead.

Sanjay Nandi: Hello. Yes, congrats, sir, on a good set of numbers. Sir, just a broad vision picture, kind of like as we are heading for 10 million tons by 2030 from 5 as we talk. So, which of the industries can we expect the green shoots from?

Anubhav Gupta: From 5 to 8, we are betting on our existing industry, which is a structural steel tubing, which is linked to the construction across the country for residential, for commercial, government infrastructure, real estate, private construction has been on a slow track around 2, 2.5 years because of various reasons.

But the next 3, 4 years look very promising, and the government spending on infrastructure, once it kicks off, will also bring a lot of tailwinds. So we are very bullish on the construction and infrastructure spending over the next 3 to 4 years. So, 5 million to 8 million tons is the existing structural steel tubing.

And beyond 8 million tons, to reach 10 million tons, that is for the special segments, new emerging categories like EVs, aerospace, and highly mechanical engineering, petrochem, and oil and gas segments. That we will -- that we are still evaluating and studying. Maybe in 2, 3 quarters' time, we'll have a fine blueprint that how we are going to cater to this segment.

Sanjay Nandi: So, sir, in the specialized segment, we are also planning for the structural steel, supplying the structural steel, right?

Anubhav Gupta: Which one?

Sanjay Nandi: In the specialized steel also, we are planning to supply the structural steel, right, in the respect of those segments?

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Anubhav Gupta: No, that won't be structural steel. That will be non-structural like ground pipes or coated pipes or like titanium pipes. Structural steel tubes don't require that kind of specialty segment, yes.

Sanjay Nandi: So, that's it from my side, sir. Wish you all the very best. Thank you so much.

Moderator: Thank you. The next question is from the line of Harsh Vasa from SBI Capital Securities. Please go ahead.

Harsh Vasa: Yes. First of all, congratulations on a great set of numbers to the entire APL Apollo team, and thank you for the opportunity. So, my question was that like currently, we have a capacity of 5 million tons at the end of FY '26. So by the time of FY '27, sir, what would be our like exit capacity at the end of FY '27? And what would be our FY '28 volume growth, if you can tentatively give like ballpark number from FY '27 Y-o-Y growth?

Anubhav Gupta: So, FY '26, the exit capacity will be 6 million tons. FY '28, target is 8 million ton, right? So almost 3 million tons will come in 24 months from April '26 to March '28, okay? Now exact number, you can assume like 6 -- 6.5 million tons would be -- 6 million tons, 6.25 million tons would be as of FY '27 and 8 million ton by FY '28.

But majority of the capacity will come in FY'28 because these are the greenfield plants we are setting up. So bulk of that will start coming from Q1 of FY'28. And as far as the volume growth for FY'28, so

the guidance is that we should continue -- 20%, we should maintain 20% growth rate for FY'27 and FY'28.

Moderator: The next question is from the line of Radha from B&K Securities. Please go ahead. Radha, please proceed with your question. Due to no response, we will take the next participant. The next question is from the line of Prashant Sharma from JM Financial. Please go ahead.

Prashant Sharma: Sir, my question is regarding this new safeguard duty that has come into play in December. So what's the impact of that on APL Apollo?

Anubhav Gupta: No impact on Apollo, except the fact that our raw material prices went up, but that is fully passed on. So no impact as such.

Prashant Sharma: Okay. Thank you. That's all from my end.

Moderator: The next question is from the line of Ajit Shetty from LCO Quantum Solutions. Please go ahead.

Ajit Shetty: Thanks for the opportunity. As we will be doing L1 going forward. So do we expect any realization hit going forward?

Anubhav Gupta: So this is going to be a very small part of the business. You saw that contribution in Q2 and Q3 also. And we still maintained the EBITDA spread of INR5,200 per ton. So whatever projections guidance we are giving in, we have built in the volume from low category brand.

Ajit Shetty: Okay. Thank you.

Moderator: The next question is from the line of Mudit Bhandari from IIFL Capital. Please go ahead.

Mudit Bhandari: Hi sir. Just one question. In the SG premium, I think you said 1,500 to 2,000 is EBITDA per ton. So what kind of volumes did we make in 3Q FY'26? And is there any -- if we want to increase those volumes, would there be any additional assembly line or machinery different from what we are using would be required?

Sanjay Gupta: No, no. Machinery is almost same. We are doing almost 60,000, 70,000 tons per ton in quarter Q3. It depends on our balanced product mix sales, where, if my sales are less in the other -- my premium products, maybe I go for 1 lakh ton in the quarter. We have no problem at all because machinery is same.

Anubhav Gupta: I hope this answers your question. Can we take next one, please?

Moderator: The next question is from the line of Pallav Agarwal from Antique Stockbroking. Please go ahead.

Pallav Agarwal: Good evening, and congratulations on the record quarter. So, a couple of questions. One is the safeguard duty, and HRC prices are going up. Are we seeing some restocking demand happening in the quarter, so that it can lead to better volumes?

Anubhav Gupta: Very minor color because it's too early for channel partners to act on this. Once there is more clarity on how prices will behave, then restocking should start.

Pallav Agarwal: Okay. The other question was on the purchase of stock in trade. So in some quarters, it is a pretty high number.

Moderator: Hello? Due to no response, we'll take the next participant. The next question is from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghugardare: Yes, I just wanted to know, with the recent upside in all the commodities, I mean, will there be any impact on the guidance which you have given -- I mean, you cannot comment on the revenue front, but what would be your prediction on that?

Anubhav Gupta: Sorry, say it again, prediction on what?

Onkar Ghugardare: Prediction on overall guidance, which you have given, of 20% volume growth, I mean, where do you see the trajectory of commodity prices and how much it can impact your overall revenue?

Anubhav Gupta: So we don't factor in how steel prices will behave because there is no major -- where we can have clarity while working on our business plan for the next 2 years. We work on simple fundamentals that whatever increase or decrease in raw material prices we get, we immediately pass it on to our customers.

And this we have been doing for many years now. And our channel partners, our network of

800

distributors, have also kind of got used to this model. And not only us, but our competitors also

work on the same fundamentals. So industry has adopted this that the increase or decrease in raw material prices should be easily passed on to the customers.

Onkar Ghugardare: So generally, how much is the lag in that?

Anubhav Gupta: 5 to 8 days.

Onkar Ghugardare: Just 5 to 8 days?

Anubhav Gupta: That's right.

Onkar Ghugardare: So, practically speaking, there should be no impact because of the commodity steel prices or the commodity price increase if it sustains like this?

Anubhav Gupta: Yes. Unless there is a drop or increase of like 10% or more in a single quarter, right, which happens like once in 10 years. So last year, we had this impact, but we don't expect this to come again, such a sharp increase or decrease again during this decade, at least.

Onkar Ghugardare: Okay. Less than that is easily passed on, right, as you said, within the same quarter or maybe in 7, 8 days?

Anubhav Gupta: Yes, yes, that's right. That's right.

Onkar Ghugardare: All right. No problem. Thank you very much.

Moderator: The next question is from the line of Kumar Soumya from Ambit Capital.

Kumar Soumya: Hi Anubhav, just one question from my side. I'm just trying to understand the math here. The market is roughly 10 million to 12 million tons. Assuming 55% is your HRC coil base, that implies 5.5 million to 6.5 million tons. Now, based on 20% guidance, you would be touching 4.5 million tons next year.

And if I remove 200,000 tons for SG premium and 300,000 tons of Dubai, you're left with 4 million tons for the domestic market. So that implies 65% market share. And your competition is also planning for capacity additions. So how comfortable are you with this volume?

Anubhav Gupta: So, Kumar, 65% market share we've been maintaining for almost 4 years now after COVID. Before COVID, we were at 40%. Now, after COVID, from 2021 straight into '25, as we entered in '26, we are above 60%. Sanjay, do you want to add to this?

Sanjay Gupta: Yes. And number two, Kumar, in our competition, I think the number two player, like we are talking 4 lakh tons per month. So, the number two player is at 15,000-20,000 tons per month. So, he will add the capacity. He will add 2,000, 4,000, and 5,000 tons. He will add 10,000 tons. It shouldn't make that much of a difference to us.

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And number two, we are very aggressive in SG premium. We will sell SG premium no matter what the volume is, whatever the price. Maybe price is less than HR coil, or maybe price is less than patra, or maybe price is less than anything.

Kumar Soumya: So, sir, in this guidance of 4 to 4.5, what is the estimate that SG premium will come on in terms of volume share?

Sanjay Gupta: We have caught 3 to 4 lakh tons, which we will need.

Anubhav Gupta: Under 10%, Kumar.

Sanjay Gupta: Under 10%.

Kumar Soumya: Okay. Thank you, sir. That will be all from my side.

Sanjay Gupta: Thank you.

Moderator: Thank you very much. As there are no further questions from the participants, I now hand the conference over to the management for the closing comments.

Anubhav Gupta: Thanks, Kumar and Ambit for hosting Apollo for its 3Q earnings call. And thanks to all the participants who dropped by. Look forward to seeing you again during the 4QFY26 earnings call. Thank you so much.

Moderator: Thank you very much. On behalf of Ambit Capital Limited, that concludes this conference. Thank you for joining us today, and you may now disconnect your lines.

## **Call: May 2026**

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